



VTB BANK

SUMMARY CONSOLIDATED FINANCIAL
STATEMENTS
AND INDEPENDENT
AUDITOR'S REPORT

FOR THE YEAR ENDED 31 DECEMBER 2024

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

SUMMARY CONSOLIDATED FINANCIAL STATEMENTS AND INDEPENDENT AUDITOR'S REPORT

CONTENTS

INDEPENDENT AUDITOR'S REPORT	3
------------------------------------	---

SUMMARY CONSOLIDATED INCOME STATEMENT	5
SUMMARY CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME	6
SUMMARY CONSOLIDATED STATEMENT OF FINANCIAL POSITION	7
SUMMARY CONSOLIDATED STATEMENT OF CHANGES IN SHAREHOLDERS' EQUITY	8

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS

1. Principal Activities	9
-------------------------------	---

DELVING INTO NUMBERS

2. Analysis by Segment	11
3-9. Notes to Summary Income Statement	16
10-26. Notes to Summary Statement of Financial Position ..	27
27-30. Notes to Summary Statement of Changes in Shareholders' Equity	43
31. Contingencies and Commitments	45

RISK

32. Operating Environment of the Group	49
33. Financial Risk Management*	50
34. Fair Value Measurement	65
35. Capital Management and Capital Adequacy*	71

OTHER INFORMATION

36. Related Party Transactions	73
37. Transfer of Financial Assets and Assets Held or Pledged as Collateral	74

BASIS OF PREPARATION AND PRESENTATION

38. Composition of the Group *	74
39. Non-controlling Interests *	74
40. Basis of Preparation of Summary Consolidated Financial Statements	76
41. Summary of Substantial Accounting Policies	77
42. New Standards	85

Independent auditor's report

Translation of the original Russian version

To the Shareholders and Supervisory Council of
VTB Bank (public joint-stock company)

Opinion

The accompanying summary consolidated financial statements, which comprise the summary consolidated income statement and summary consolidated statement of comprehensive income for the year ended 31 December 2024, summary consolidated statement of financial position as at 31 December 2024, and summary consolidated statement of changes in shareholders' equity for the year ended 31 December 2024, and related notes, are derived from the audited consolidated financial statements of VTB Bank (public joint-stock company) and its subsidiaries (the "Group") for the year ended 31 December 2024 prepared in accordance with IFRS Accounting Standards (the "audited consolidated financial statements").

In our opinion, the accompanying summary consolidated financial statements are consistent, in all material respects, with the audited consolidated financial statements, in accordance with the principles specified in Note 40 "Basis of preparation of summary consolidated financial statements".

Summary consolidated financial statements

The summary consolidated financial statements do not contain all the disclosures required by IFRS Accounting Standards. Reading the summary consolidated financial statements and the auditor's report thereon, therefore, is not a substitute for reading the audited consolidated financial statements and the auditor's report thereon. The summary consolidated financial statements and the audited consolidated financial statements do not reflect the effects of events that occurred subsequent to the date of our report on the audited consolidated financial statements.

Audited consolidated financial statements and our auditor's report thereon

We expressed an unmodified audit opinion on the audited consolidated financial statements in our report dated 25 February 2025. That report also includes the communication of key audit matters. Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period.

Emphasis of matter - revision of the summary consolidated financial statements

We draw attention to Note 40 "Basis of preparation of summary consolidated financial statements" to the summary consolidated financial statements which describes the revision of the summary consolidated financial statements for the year ended 31 December 2024 authorised for the issue on 25 February 2025 and on which we conducted our audit and issued our auditor's report dated 25 February 2025. As disclosed in Note 40 "Basis of preparation of summary consolidated financial statements" to the summary consolidated financial statements, amendments to these summary consolidated financial statements on the basis of the Russian Federation Central Bank prescript requiring disclosure of additional information.

Translation of the original Russian version

As described in Note 40 "Basis of preparation of summary consolidated financial statements" to the summary consolidated financial statements the accompanying summary consolidated financial statements were revised. This auditor's report on the revised summary consolidated financial statements supersedes our previously issued auditor's report. Our opinion is not modified in respect of this matter.

Management's responsibility for the summary consolidated financial statements

Management is responsible for the preparation of the summary consolidated financial statements in accordance with the principles specified in Note 40 "Basis of preparation of summary consolidated financial statements".

Auditor's responsibility

Our responsibility is to express an opinion on whether the summary consolidated financial statements are consistent, in all material respects, with the audited consolidated financial statements based on our procedures, which are conducted in accordance with International Standard on Auditing (ISA) 810 (Revised) *Engagements to Report on Summary Financial Statements*.

YOUSHENKOV OLEG VLADIMIROVICH,
acting on behalf of TSATR – Audit Services Limited Liability Company
on the basis of power of attorney 28 October 2024,
partner in charge of the audit resulting in this independent auditor's report
(main registration number 22006013398)

13 May 2025

Details of the auditor

Name: TSATR – Audit Services Limited Liability Company
Record made in the State Register of Legal Entities on 5 December 2002, State Registration Number 1027739707203.
Address: Russia 115035, Moscow, Sadovnicheskaya naberezhnaya, 75.
TSATR – Audit Services Limited Liability Company is a member of Self-regulatory organization of auditors Association "Sodruzhestvo". TSATR – Audit Services Limited Liability Company is included in the control copy of the register of auditors and audit organizations, main registration number 12006020327.

Details of the audited entity

Name: VTB Bank (public joint stock company)
Record made in the State Register of Legal Entities on 22 November 2002, State Registration Number 1027739609391.
Address: Russia 191144, Saint-Petersburg, Degtyarnyy pereulok, 11a.

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

SUMMARY CONSOLIDATED INCOME STATEMENT

FOR THE YEAR ENDED 31 DECEMBER (IN BILLIONS OF RUSSIAN ROUBLES)

	Note	2024	2023	Change
Interest income calculated using the effective interest method	3	3,979.4	2,356.2	68.9%
Other interest income	3	122.5	98.2	24.7%
Interest expense	3	(3,555.1)	(1,648.2)	115.7%
Payments to deposit insurance system	3	(59.6)	(44.8)	33.0%
Net interest income	3	487.2	761.4	-36.0%
Provision charge for expected credit losses on debt financial assets	11, 14, 15	(23.9)	(175.6)	-86.4%
Net interest income after provision charge for expected credit losses		463.3	585.8	-20.9%
Net fee and commission income	4	269.0	217.0	24.0%
Gains net of losses/(losses net of gains) arising from financial instruments at fair value through profit or loss and through other comprehensive income	5	214.2	(45.4)	571.8%
Gains net of losses arising from foreign currencies and precious metals		50.7	132.9	-61.9%
Gains arising from extinguishment of liabilities and other gains net of losses other than interest arising from financial instruments at amortised cost		28.3	19.0	48.9%
Share in profit of associates and joint ventures		13.7	29.8	-54.0%
Impairment of investments in associates and joint ventures		(0.5)	(7.5)	-93.3%
Gains from disposal of subsidiaries, associates and joint ventures		64.0	3.0	2,033.3%
Provision charge for credit losses on other financial assets and credit related commitments	20	(1.5)	(11.9)	-87.4%
Reversal of provision for legal claims and other commitments		5.3	0.3	1,666.7%
Revenue from operating lease of equipment		10.9	14.8	-26.4%
Expenses related to equipment leased out		(13.3)	(7.7)	72.7%
Net result from investment of non-state pension funds' assets	6	88.9	64.0	38.9%
Finance expense of insurance companies and non-state pension funds	6	(81.6)	(67.2)	21.4%
Insurance revenue from insurance companies and non-state pension funds activity	6	156.0	120.8	29.1%
Insurance service expenses from insurance companies and non-state pension funds activity	6	(132.3)	(114.8)	15.2%
Excess of fair value of acquired net assets over cost		—	35.4	-100.0%
Other operating income		15.3	11.3	35.4%
Other non-interest gains from financial activities		418.1	176.8	136.5%
Revenue and other gains from other non-financial activities		51.5	35.5	45.1%
Cost of sales and other expenses from other non-financial activities		(51.1)	(29.8)	71.5%
Expenses from write-down of property held for sale in the ordinary course of business		(0.1)	(0.2)	-50.0%
Impairment of land, premises and intangible assets other than goodwill used in other non-financial activities	17, 19	(0.4)	—	n/a
Net loss from disposal of land, premises and intangible assets other than goodwill used in other non-financial activities	17, 19	(0.4)	(0.4)	0.0%
Net gain from change in fair value of investment property recognised on revaluation or disposal	18	7.0	1.5	366.7%
Revenues less expenses from other non-financial activities		6.5	6.6	-1.5%
Impairment of goodwill	19	(0.5)	(1.7)	-70.6%
Impairment of land, premises and intangible assets	17, 19	(22.0)	(6.3)	249.2%
Net loss from disposal of land, premises and intangible assets other than goodwill	17, 19	(7.0)	(16.2)	-56.8%
Other operating expense	8	(73.5)	(43.5)	69.0%
Staff costs and administrative expenses	7	(478.8)	(400.3)	19.6%
Non-interest expenses		(581.8)	(468.0)	24.3%
Profit before tax		575.1	518.2	11.0%
Income tax expense	9	(22.5)	(86.0)	-73.8%
Net profit after tax		552.6	432.2	27.9%
Loss after tax from subsidiaries acquired exclusively for resale		(1.2)	—	n/a
Net profit		551.4	432.2	27.6%
Net profit attributable to:				
Shareholders of the parent		535.3	420.6	27.3%
Non-controlling interests		16.1	11.6	38.8%
Basic and diluted earnings per share (expressed in Russian roubles per share) after consolidation	10	94.0	95.5	-1.6%
Basic and diluted earnings per share before loss after tax from subsidiaries acquired exclusively for resale (expressed in Russian roubles per share) after consolidation	10	94.2	95.5	-1.4%

The notes form an integral part of these summary consolidated financial statements.

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

SUMMARY CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER (IN BILLIONS OF RUSSIAN ROUBLES)

	2024	2023
Net profit	551.4	432.2
Other comprehensive income/(loss)		
Other comprehensive income/(loss) to be reclassified to profit or loss in subsequent periods:		
Net change in fair value of debt financial assets at fair value through other comprehensive income, net of tax	(75.0)	(15.8)
Reclassification of fair value reserve to income statement on sale of debt financial assets at fair value through other comprehensive income, net of tax	0.3	(1.0)
Finance income of non-state pension funds, disaggregated to other comprehensive income	60.4	7.2
Share of other comprehensive income of associates and joint ventures	0.9	3.6
Effect of translation, net of tax	5.1	13.7
Total other comprehensive (loss)/income to be reclassified to profit or loss in subsequent periods	(8.3)	7.7
Other comprehensive income not to be reclassified to profit or loss in subsequent periods:		
Net change in fair value of equity financial assets at fair value through other comprehensive income, net of tax	9.5	0.5
Land and premises revaluation, net of tax	19.8	0.3
Other income	0.1	—
Total other comprehensive income not to be reclassified to profit or loss in subsequent periods	29.4	0.8
Other comprehensive income, net of tax	21.1	8.5
Total comprehensive income	572.5	440.7
Total comprehensive income attributable to:		
Shareholders of the parent	556.4	428.9
Non-controlling interests	16.1	11.8

The notes form an integral part of these summary consolidated financial statements.

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

SUMMARY CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER (IN BILLIONS OF RUSSIAN ROUBLES)

	Note	2024	2023	Change
ASSETS				
Cash and short-term funds	11	2,018.1	1,210.8	66.7%
Mandatory cash balances with central banks		104.1	54.2	92.1%
Trading financial assets	12	765.8	865.4	-11.5%
• Trading financial assets		754.0	838.1	-10.0%
• Trading financial assets, pledged under repurchase agreements		11.8	27.3	-56.8%
Derivative financial assets	13	131.3	122.2	7.4%
Due from other banks	14	1,680.5	1,082.9	55.2%
• Due to other banks		1,680.5	1,079.4	55.7%
• Due to other banks, pledged under repurchase agreements		–	3.5	-100.0%
Loans and advances to customers	15	22,606.7	19,857.7	13.8%
• Loans and advances to customers		22,116.0	19,513.8	13.3%
• Loans and advances to customers, pledged under repurchase agreements		490.7	343.9	42.7%
Investment financial assets	16	5,406.1	3,901.6	38.6%
• Investment financial assets		3,647.8	1,707.5	113.6%
• Investment financial assets, pledged under repurchase agreements		1,758.3	2,194.1	-19.9%
Investments in associates and joint ventures		391.8	364.3	7.5%
Assets of disposal groups		112.8	2.2	5,027.3%
Land, premises and equipment	17	468.8	420.4	11.5%
Investment property	18	109.2	103.7	5.3%
Goodwill and other intangible assets	19	654.0	548.2	19.3%
Deferred income tax asset	9	543.3	388.9	39.7%
Other assets	20	1,077.7	459.7	134.4%
Total assets		36,070.2	29,382.2	22.8%
LIABILITIES				
Due to other banks	21	2,383.9	1,677.3	42.1%
Customer deposits	22	26,926.8	22,346.8	20.5%
Derivative financial liabilities	13	106.6	78.5	35.8%
Other borrowed funds	23	1,473.8	1,048.9	40.5%
Debt securities issued	24	426.1	316.9	34.5%
Liabilities of disposal groups		61.4	0.3	20,366.7%
Deferred income tax liability	9	64.9	48.1	34.9%
Insurance liabilities	6	1,146.3	1,101.5	4.1%
Other liabilities	26	692.4	476.7	45.2%
Total liabilities before subordinated debt		33,282.2	27,095.0	22.8%
Subordinated debt	25	98.7	122.9	-19.7%
Total liabilities		33,380.9	27,217.9	22.6%
EQUITY				
Share capital	27	798.4	798.4	0.0%
Share premium		540.6	540.6	0.0%
Perpetual bonds and loan participation notes	28	497.3	456.5	8.9%
Treasury shares and bought back perpetual bonds and loan participation notes		(11.8)	(11.4)	3.5%
Other reserves	29	73.6	53.9	36.5%
Retained earnings		745.6	283.3	163.2%
Equity attributable to shareholders of the parent		2,643.7	2,121.3	24.6%
Non-controlling interests		45.6	43.0	6.0%
Total equity		2,689.3	2,164.3	24.3%
Total liabilities and equity		36,070.2	29,382.2	22.8%

Approved for issue and signed on 13 May 2025.

A.L. Kostin
President – Chairman of the Management Board

D.V. Pyanov
First Deputy President – Chairman of the Management Board

The notes form an integral part of these summary consolidated financial statements.

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

SUMMARY CONSOLIDATED STATEMENT OF CHANGES IN SHAREHOLDERS' EQUITY FOR THE YEAR ENDED 31 DECEMBER (IN BILLIONS OF RUSSIAN ROUBLES)

	Attributable to shareholders of the parent								
	Share Capital	Share premium	Perpetual bonds and loan participation notes	Treasury shares and bought back perpetual loan partici- pation loan notes	Other reserves	Retained earnings/ (loss)	Total	Non- controlling interests	Total equity
Balance at 1 January 2023 (corrected)	659.5	433.8	387.0	(12.2)	48.7	(84.4)	1432.4	39.1	1471.5
Impact of adopting IFRS 17 at 1 January 2023	–	–	–	–	–	(0.9)	(0.9)	–	(0.9)
Net result from treasury shares and bought-back perpetual bonds and loan participation notes transactions	–	–	–	0.8	–	1.5	2.3	–	2.3
Profit for the period	–	–	–	–	–	420.6	420.6	11.6	432.2
Other comprehensive income	–	–	–	–	8.3	–	8.3	0.2	8.5
Total comprehensive income for the period	–	–	–	–	8.3	420.6	428.9	11.8	440.7
Ordinary share issue (Note 27)	138.9	106.8	–	–	–	–	245.7	–	245.7
Transfer of premises revaluation reserve upon disposal or depreciation	–	–	–	–	(2.5)	2.5	–	–	–
Disposal of subsidiaries	–	–	–	–	(0.5)	0.5	–	–	–
Acquisition of non-controlling interests and other capital transactions	–	–	–	–	(0.1)	0.3	0.2	(0.8)	(0.6)
Foreign exchange translation of perpetual bonds and loan participation notes	–	–	69.5	–	–	(69.5)	–	–	–
Tax effect recognised on perpetual bonds and loan participation notes	–	–	–	–	–	13.9	13.9	–	13.9
Dividends declared	–	–	–	–	–	–	–	(7.1)	(7.1)
Other changes	–	–	–	–	–	(1.2)	(1.2)	–	(1.2)
Balance at 31 December 2023	798.4	540.6	456.5	(11.4)	53.9	283.3	2,121.3	43.0	2,164.3
Net result from treasury shares and bought-back perpetual bonds and loan participation notes transactions	–	–	–	(0.4)	–	(0.7)	(1.1)	–	(1.1)
Profit for the period	–	–	–	–	–	535.3	535.3	16.1	551.4
Other comprehensive income	–	–	–	–	21.1	–	21.1	–	21.1
Total comprehensive income for the period	–	–	–	–	21.1	535.3	556.4	16.1	572.5
Transfer of premises revaluation reserve upon disposal or depreciation	–	–	–	–	(0.4)	0.4	–	–	–
Disposal of subsidiaries	–	–	–	–	(1.2)	0.1	(1.1)	–	(1.1)
Acquisition of non-controlling interests and other capital transactions	–	–	–	–	0.2	(0.7)	(0.5)	0.5	–
Foreign exchange translation of perpetual bonds and loan participation notes	–	–	40.8	–	–	(40.8)	–	–	–
Tax effect recognised on perpetual bonds and loan participation notes	–	–	–	–	–	8.2	8.2	–	8.2
Payments on perpetual bonds and loan participation notes	–	–	–	–	–	(38.0)	(38.0)	–	(38.0)
Dividends declared	–	–	–	–	–	–	–	(14.0)	(14.0)
Other changes	–	–	–	–	–	(1.5)	(1.5)	–	(1.5)
Balance at 31 December 2024	798.4	540.6	497.3	(11.8)	73.6	745.6	2,643.7	45.6	2,689.3

The notes form an integral part of these summary consolidated financial statements.

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS
31 DECEMBER 2024

1. PRINCIPAL ACTIVITIES

VTB Bank (the “Bank”, or “VTB”) and its subsidiaries (the “Group”) comprise Russian and foreign commercial banks, leasing and other entities controlled by the Group.

The Group operates in the corporate and investment banking, retail banking, real estate and other sectors. The Group’s operations are conducted in both Russian and international markets. The Group conducts its banking business in Russia through VTB as a parent and several subsidiary banks*.

VTB Bank, formerly known as Vneshtorgbank (the “Bank”, or “VTB”), was formed as Russia’s foreign trade bank under the laws of the Russian Federation on 17 October 1990. In 1998, following several reorganisations, VTB was reorganised into an open joint stock company. In March 2007, the Bank for Foreign Trade was renamed into “VTB Bank” (Open Joint-Stock Company). In June 2015 “VTB Bank” (Open Joint-Stock Company) was renamed into VTB Bank (Public Joint-Stock Company) in accordance with the legislative requirements.

VTB’s Head Office is located in Moscow.

VTB’s legal address is 11a Degtyarnyy Pereulok, Saint-Petersburg 191144, Russian Federation.

On 2 January 1991, VTB received a general banking license (number 1000) from the Central Bank of the Russian Federation (CBR). In addition, VTB holds licenses required for trading and holding securities and engaging in other securities-related activities, including acting as a broker, a dealer and a custodian, and providing asset management and special depositary services. VTB and other Russian banks within the Group are regulated and supervised by the CBR. Foreign banks within the Group operate under the bank regulatory regimes of their respective countries.

On 29 December 2004, the Bank became a member of the obligatory deposit insurance system provided by the State Corporation “Deposit Insurance Agency” (DIA). The State deposit insurance scheme implies that DIA guarantees repayment of individual deposits up to the maximum total guaranteed amount of RUR 1.4 million with a 100% compensation of deposited amount from 29 December 2014. Starting 2019, the same guaranties are implied to deposits of legal entities referred to ‘small entities’ as it stated in legislation of the the Russian Federation.

Non-state pension funds included in the Group are participants in the system of guaranteeing the rights of insured persons in the compulsory pension insurance system operating since 2014 and regulated by DIA. Within the framework of this system, upon the occurrence of an insured event, the DIA guarantees the reimbursement of pension savings reflected in the pension account of the insured person, with the exception of investment income*.

From 1 January 2023 a system of compulsory insurance of voluntary savings of citizens in the system of non-state pension provision was launched. It is regulated by the DIA and provides for compensation in the amount of 1.4 million Russian rubles (the maximum amount of guarantee payments) for each individual who is a member of the non-state pension system. From 1 January 2024 a program of long-term savings of citizens was launched. It is regulated by the DIA and provides for compensation in the amount of 2.8 million Russian rubles (the maximum amount of guarantee payments). Compensation will be paid from a separate guarantee fund of the DIA, formed from the annual contributions of non-state pension funds.

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS
31 DECEMBER 2024 (CONTINUED)

DELVING INTO NUMBERS

2. ANALYSIS BY SEGMENT	11	15. LOANS AND ADVANCES TO CUSTOMERS....	30
3. INTEREST INCOME AND EXPENSE	16	16. INVESTMENT FINANCIAL ASSETS	37
4. NET FEE AND COMMISSION INCOME	16	17. LAND, PREMISES AND EQUIPMENT	37
5. GAINS NET OF LOSSES / (LOSSES NET OF GAINS) ARISING FROM FINANCIAL INSTRUMENTS AT FAIR VALUE THROUGH PROFIT OR LOSS AND THROUGH OTHER COMPREHENSIVE INCOME.....	17	18. INVESTMENT PROPERTY	38
6. RESULTS FROM INSURANCE COMPANIES AND NON-STATE PENSION FUNDS ACTIVITY	17	19. GOODWILL AND OTHER INTANGIBLE ASSETS.....	39
7. STAFF COSTS AND ADMINISTRATIVE EXPENSES	24	20. OTHER ASSETS	41
8. OTHER OPERATING EXPENSES.....	24	21. DUE TO OTHER BANKS.....	42
9. INCOME TAX	25	22. CUSTOMER DEPOSITS	42
10. BASIC AND DILUTED EARNINGS PER SHARE	27	23. OTHER BORROWED FUNDS.....	42
11. CASH AND SHORT-TERM FUNDS.....	28	24. DEBT SECURITIES ISSUED.....	42
12. TRADING FINANCIAL ASSETS.....	28	25. SUBORDINATED DEBT	43
13. DERIVATIVE FINANCIAL INSTRUMENTS.....	28	26. OTHER LIABILITIES.....	43
14. DUE FROM OTHER BANKS.....	29	27. SHARE CAPITAL.....	43
		28. PERPETUAL BONDS AND LOAN PARTICIPATION NOTES	44
		29. OTHER RESERVES.....	44
		30. DIVIDENDS DECLARED	45
		31. CONTINGENCIES AND COMMITMENTS	45

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS
31 DECEMBER 2024 (CONTINUED)**2. ANALYSIS BY SEGMENT**

In accordance with IFRS 8, *Operating Segments*, the Group has defined seven reportable segments.

- Corporate-Investment banking (CIB).
- Medium and Small banking (MSB).
- Retail business (RB).
- Treasury.
- Other business.
- Corporate center.
- Non-distributed acquisitions.

The composition of reportable segments is approved by resolutions of VTB Group's Management Committee, the body that on a regular basis assesses performance of reportable segments and allocates resources to them.

(a) Factors that management considered in order to identify the reportable segments

The Group's segments are strategic business lines that are managed separately, focus on different clients and have product specialisation.

The majority of the Group's activities and resources are allocated and managed, and their performance is assessed via the respective segment information.

(b) Segments' business activities

The CIB, MSB and RB segments are global business lines that focus on servicing different customer segments.

The Treasury, Other business, Corporate center segments, as well as Non-distributed acquisitions do not constitute separate global business lines. *

The Group Management Committee sets the criteria used to identify client segments for each global business line. They include principles for allocating customers between large, medium and small business customer segments.

CIB and MSB

CIB global business line encompasses operations with corporate customers that are "large business" customers, banking financial institutions, Internet and mobile acquiring operations with retail stores chains, as well as operations on the securities market, excluding operations with securities for liquidity management purposes. In addition, CIB global business line makes direct equity investments, becoming a partner in socially significant infrastructure projects and companies in various industries. CIB's global business line offers partnership experience, infrastructure and financial resources of VTB Group, which allows them to increase their operational efficiency and investment appeal as part of a long-term strategy.

MSB global business line encompasses operations with corporate customers of "medium business" and "small business" categories.

Reportable segments comprise:

- Operations with prevailing market risk including loans with exposure to market risks;
- Corporate finance operations;
- Asset management, brokerage services and financial consulting;
- All types of operations with precious metals;
- All types of profit-taking operations on the financial and currency markets, including interbank market;
- Other products and services with prevailing market risk;
- Operations with prevailing credit risk and interest rate risk, such as lending to corporate customers (large and medium businesses segments), including overdrafts on customers' current accounts;
- Trade and export financing;
- Operations with corporate customers: current and settlement accounts and term deposits;
- Documentary operations, including letters of credit and guarantees;
- Depositary operations;
- fee-based services of all kinds not related to operations on the financial markets and currency valuables: settlement and cash services, collection, storage box, remote banking services;
- Internet and mobile acquiring operations with retail stores chain;
- Investments in non-banking digital business.

2. ANALYSIS BY SEGMENT (CONTINUED)

(b) Segments' business activities (continued)

Retail business

RB global business line encompasses operations with individuals and specific operations with corporate customers.

The retail business comprises operations with all banking services for individuals, operations of individuals with plastic cards, payroll related services, payment processing centre service, all types of insurance products (except of pension insurance) and services and Investments in non-banking digital business.

Treasury

The Treasury comprises:

- Operations to manage liquidity (including those with securities portfolios maintained for liquidity management purposes);
- Operations on financial and interbank markets as a part of management of payment and currency positions, as well as interest rate risk management;
- Debt financing operations;
- Reallocation of resources between segments both within the Head office and subsidiary and between VTB Group members.

The net financial results of the Treasury reportable segment are allocated to other reportable segments in accordance with established methodology.

Corporate Centre*

The Corporate Centre represents unallocated staff and administrative expenses related to VTB Group's management, as well as expenses on strategic programmes connected with VTB Group's brand development. It may also include other items resulting from intersegment reallocations as determined by VTB Group's Management Committee. Corporate Centre also includes investments in associates not allocated to reportable segments.

Other business*

The other business includes two lines of business: Construction and development and Other.

The Construction and development business line is non-banking operations undertaken by Group members operating in the construction and development industry.

The Other activities represent non-banking business, including assets, which were transferred to the Group as a result of debt settlement and operations of companies in non-banking digital business.

Non-distributed acquisitions*

The non-distributed acquisitions reportable segment includes data on acquired subsidiaries, banks and financial organizations before the integration of the activities of those subsidiaries into the Group's business lines.

(c) Managing operating segments' profit or loss, assets or liabilities

The performance of a segment and its profit or loss are measured in accordance with IFRS, as adjusted by intersegment reallocations and decisions of VTB Group's Management Committee regarding the allocation of operations between segments.

The Head office and the Group members prepare segment reporting using unified rules.

Intersegment transactions within a single entity of the Group are settled using the internal transfer prices, which are designed to reflect the cost of resources. For VTB Group members operating in the Russian Federation, transfer rates are set centrally. For VTB Group members operating outside the Russian Federation, transfer rates are set and regularly reviewed within a specific legal entity. VTB Group's Management Committee evaluates segments' performance based on their net profit after tax, as well as other qualitative and quantitative information.

Intersegment transactions are predominantly conducted in the normal course of business.

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS
31 DECEMBER 2024 (CONTINUED)

2. ANALYSIS BY SEGMENT (CONTINUED)

	CIB		MSB		RB		Treasury		Corporate Centre*		Other business*		Non-distributed acquisitions*		Inter-segment eliminations		Total	
	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023
Revenues from:																		
External customers	2,297.1	1,293.6	640.8	383.6	1,331.6	962.0	467.0	406.2	131.8	20.1	99.0	48.8	72.6	42.6	—	—	5,039.9	3,156.9
Other segments	1,019.2	545.3	571.7	290.1	1,372.0	581.2	3,349.9	1,770.9	—	—	18.3	9.5	8.1	1.0	(6,339.2)	(3,198.0)	—	—
Total revenues	3,316.3	1,838.9	1,212.5	673.7	2,703.6	1,543.2	3,816.9	2,177.1	131.8	20.1	117.3	58.3	80.7	43.6	(6,339.2)	(3,198.0)	5,039.9	3,156.9
Segment income and expense:																		
Interest income	2,866.3	1,647.2	1,082.7	584.0	2,505.1	1,305.9	3,739.9	2,080.2	—	—	16.1	7.4	64.0	31.3	(6,172.2)	(3,201.6)	4,101.9	2,454.4
Interest expense	(2,678.3)	(1,431.3)	(860.1)	(425.1)	(2,051.6)	(963.0)	(4,042.4)	(1,998.4)	(11.1)	(5.7)	(62.5)	(25.5)	(22.0)	(8.5)	6,172.9	3,209.3	(3,555.1)	(1,648.2)
Payments to deposit insurance system	(3.7)	(3.0)	(11.9)	(8.6)	(42.6)	(32.5)	—	—	—	—	—	—	(1.4)	(0.7)	—	—	(59.6)	(44.8)
Treasury result allocation	144.3	45.6	(5.1)	2.9	(185.0)	(55.1)	161.7	(137.6)	(144.8)	140.7	28.9	3.5	—	—	—	—	—	—
Net interest income/(expense)	328.6	258.5	205.6	153.2	225.9	255.3	(140.8)	(55.8)	(155.9)	135.0	(17.5)	(14.6)	40.6	22.1	0.7	7.7	487.2	761.4
(Provision charge)/reversal of provision for credit losses on debt financial assets	(1.0)	(72.8)	(17.8)	(12.8)	(83.5)	(71.0)	40.9	(6.6)	58.2	1.0	—	—	(20.7)	(13.4)	—	—	(23.9)	(175.6)
Net interest income/(expense) after provision charge for credit losses	327.6	185.7	187.8	140.4	142.4	184.3	(99.9)	(62.4)	(97.7)	136.0	(17.5)	(14.6)	19.9	8.7	0.7	7.7	463.3	585.8
Net fee and commission income/(expense)	103.8	66.7	92.5	62.1	53.4	75.5	9.0	3.1	(1.0)	(0.3)	1.0	0.9	11.7	9.3	(1.4)	(0.3)	269.0	217.0
Gains net of losses / (losses net of gains) arising from financial instruments and foreign currencies	279.1	40.4	4.2	2.1	(6.4)	(1.2)	(12.5)	63.9	—	(1.8)	28.9	1.5	0.6	0.6	(0.7)	1.0	293.2	106.5
Share in profit of associates and joint ventures	2.3	5.1	0.5	0.4	10.2	9.0	1.0	0.4	—	—	(0.5)	14.9	0.2	—	—	—	13.7	29.8
Gains/(losses) from disposal of subsidiaries and associates	0.1	7.0	—	—	—	—	(1.4)	(4.4)	—	—	65.3	0.9	—	(0.5)	—	—	64.0	3.0
(Provision charge) / reversal of provision for impairment of other assets, credit related commitments and legal claims	(15.9)	4.9	4.2	(1.3)	(1.7)	(1.4)	0.8	—	20.5	(15.8)	(0.7)	(1.9)	(3.4)	3.9	—	—	3.8	(11.6)
Other operating (expense)/income	(20.8)	4.7	(25.4)	(4.4)	(101.3)	(31.6)	103.0	(0.6)	22.7	(0.1)	(28.8)	(2.3)	(0.1)	35.3	(2.4)	(13.0)	(53.1)	(12.0)
Net operating income/(expense)	676.2	314.5	263.8	199.3	96.6	234.6	—	—	(55.5)	118.0	47.7	(0.6)	28.9	57.3	(3.8)	(4.6)	1,053.9	918.5
Staff costs and administrative expenses	(83.7)	(72.7)	(74.2)	(68.0)	(206.9)	(162.1)	—	—	(59.0)	(48.2)	(41.4)	(41.2)	(18.0)	(11.3)	4.4	3.2	(478.8)	(400.3)
Profit/(loss) before tax	592.5	241.8	189.6	131.3	(110.3)	72.5	—	—	(114.5)	69.8	6.3	(41.8)	10.9	46.0	0.6	(1.4)	575.1	518.2
Income tax (expense)/benefit	(112.8)	(49.8)	(35.7)	(23.5)	30.1	(10.7)	—	—	105.2	(9.2)	(5.6)	9.2	(3.3)	(1.9)	(0.4)	(0.1)	(22.5)	(86.0)
Net Profit/(loss) after taxation	479.7	192.0	153.9	107.8	(80.2)	61.8	—	—	(9.3)	60.6	0.7	(32.6)	7.6	44.1	0.2	(1.5)	552.6	432.2
Profit after tax from subsidiaries acquired exclusively for resale	—	—	—	—	—	—	—	—	—	—	(1.2)	—	—	—	—	—	(1.2)	—
Net profit/(loss)	479.7	192.0	153.9	107.8	(80.2)	61.8	—	—	(9.3)	60.6	(0.5)	(32.6)	7.6	44.1	0.2	(1.5)	551.4	432.2
Capital expenditure	52.3	23.5	27.7	14.2	43.5	93.9	—	—	18.7	12.7	73.9	47.8	1.0	—	—	—	217.1	192.1
Depreciation	17.0	13.0	16.1	13.2	47.4	33.9	—	—	6.2	4.3	18.2	18.7	0.6	0.8	(0.2)	(0.2)	105.3	83.7

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS
31 DECEMBER 2024 (CONTINUED)

2. ANALYSIS BY SEGMENT (CONTINUED)

	CIB		MSB		RB		Treasury		Corporate Centre*		Other business*		Non-distributed acquisitions*		Inter-segment eliminations		Total	
	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023
Net profit/(loss)	479.7	192.0	153.9	107.8	(80.2)	61.8	–	–	(9.3)	60.6	(0.5)	(32.6)	7.6	44.1	0.2	(1.5)	551.4	432.2
Net result on debt financial assets at fair value through other comprehensive income, net of tax	(4.9)	(3.1)	–	–	(31.2)	(20.4)	(27.1)	7.2	(1.9)	–	–	–	(0.1)	–	–	–	(65.2)	(16.3)
Share of other comprehensive income/(loss) of associates and joint ventures	0.1	(0.1)	–	–	(1.0)	2.4	1.8	1.3	–	–	–	–	–	–	–	–	0.9	3.6
Effect of translation, net of tax	–	0.2	–	–	–	–	5.1	13.5	–	–	–	–	–	–	–	–	5.1	13.7
Actuarial losses net of gains arising from difference between pension plan assets and obligations	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–
Finance income of non-state pension funds, disaggregated to other comprehensive income	–	–	–	–	–	–	–	–	60.4	7.2	–	–	–	–	–	–	60.4	7.2
Land and premises revaluation, net of tax	2.3	–	3.0	–	5.1	–	–	–	2.6	–	6.3	0.3	0.5	–	–	–	19.8	0.3
Other income	–	–	–	–	–	–	0.1	–	–	–	–	–	–	–	–	–	0.1	–
Total other comprehensive income/(loss) before treasury result allocation	(2.5)	(3.0)	3.0	–	(27.1)	(18.0)	(20.1)	22.0	61.1	7.2	6.3	0.3	0.4	–	–	–	21.1	8.5
Treasury result allocation	(8.3)	5.8	(4.3)	2.0	(11.1)	4.4	20.1	(22.0)	3.9	9.8	(0.3)	–	–	–	–	–	–	–
Total other comprehensive income/(loss)	(10.8)	2.8	(1.3)	2.0	(38.2)	(13.6)	–	–	65.0	17.0	6.0	0.3	0.4	–	–	–	21.1	8.5
Total comprehensive income/(loss)	468.9	194.8	152.6	109.8	(118.4)	48.2	–	–	55.7	77.6	5.5	(32.3)	8.0	44.1	0.2	(1.5)	572.5	440.7

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS 31 DECEMBER 2024 (CONTINUED)

2. ANALYSIS BY SEGMENT (CONTINUED)

	CIB		MSB		RB		Treasury		Corporate Centre*		Other business*		Non-distributed acquisitions*		Inter-segment eliminations		Total	
	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023
Cash and short-term funds	98.0	127.5	3.6	21.4	357.8	322.1	1,472.0	691.2	0.6	19.8	23.0	0.3	63.1	28.5	—	—	2,018.1	1,210.8
Mandatory cash balances with central banks	—	—	—	—	—	—	101.4	53.6	—	—	—	—	2.7	0.6	—	—	104.1	54.2
Due from other banks	537.4	623.9	—	—	68.5	73.2	869.4	284.9	203.7	87.5	1.3	0.1	0.2	13.3	—	—	1,680.5	1,082.9
Loans and advances to customers	11,303.0	10,008.4	3,587.3	3,038.5	6,866.7	6,424.9	145.3	142.3	7.5	(39.1)	9.5	2.9	687.4	279.8	—	—	22,606.7	19,857.7
Other financial instruments	1,324.9	751.3	10.2	7.6	138.9	103.7	3,470.2	3,123.4	879.3	834.1	429.1	19.1	50.6	50.0	—	—	6,303.2	4,889.2
Investments in associates and joint ventures	284.1	200.7	1.7	1.4	87.5	120.1	8.2	6.6	—	—	9.6	35.0	0.7	0.5	—	—	391.8	364.3
Other assets	1,150.9	557.1	345.3	213.1	675.6	535.0	22.3	5.2	217.4	133.9	492.1	453.3	62.2	25.5	—	—	2,965.8	1,923.1
Net amount of intersegment settlements	—	—	840.2	667.1	4,078.2	1,683.5	117.5	1,567.6	10.3	188.8	—	—	92.8	49.7	(5,139.0)	(4,156.7)	—	—
Segment assets	14,698.3	12,268.9	4,788.3	3,949.1	12,273.2	9,262.5	6,206.3	5,874.8	1,318.8	1,225.0	964.6	510.7	959.7	447.9	(5,139.0)	(4,156.7)	36,070.2	29,382.2
Due to other banks	559.5	513.9	—	1.1	0.5	1.4	1,820.8	1,160.8	—	—	—	—	3.1	0.1	—	—	2,383.9	1,677.3
Customer deposits	7,938.4	6,642.9	4,301.8	3,584.1	11,127.4	8,222.5	2,683.0	3,574.4	—	—	67.0	0.2	809.2	322.7	—	—	26,926.8	22,346.8
Other borrowed funds	—	117.1	0.3	0.2	5.2	4.2	1,343.7	923.9	—	—	119.1	—	5.5	3.5	—	—	1,473.8	1,048.9
Debt securities issued	40.4	29.4	18.5	25.8	138.8	171.6	227.0	87.8	—	—	—	—	1.4	2.3	—	—	426.1	316.9
Subordinated debt	—	—	—	—	—	—	98.7	122.9	—	—	—	—	—	—	—	—	98.7	122.9
Other liabilities items	493.1	332.7	44.8	45.9	339.2	272.4	33.1	5.0	946.6	967.6	184.2	58.2	30.6	23.3	—	—	2,071.6	1,705.1
Net amount of intersegment settlements	4,795.1	3,853.8	—	—	—	—	—	—	—	—	343.9	302.9	—	—	(5,139.0)	(4,156.7)	—	—
Segment liabilities	13,826.5	11,489.8	4,365.4	3,657.1	11,611.1	8,672.1	6,206.3	5,874.8	946.6	967.6	714.2	361.3	849.8	351.9	(5,139.0)	(4,156.7)	33,380.9	27,217.9

The Group does not present separate quantitative geographical segment information based on geographical location of entities within the Group. After the geopolitical changes which began in February 2022 (Note 32), principal activity of the Group is attributable to the Russian Federation. The share of this segment in revenues from external customers and in non-current assets amounts to 99.0%.*

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS 31 DECEMBER 2024 (CONTINUED)

3. INTEREST INCOME AND EXPENSE

	2024	2023
Interest income calculated using the effective interest method		
Financial assets measured at amortised cost		
• Loans and advances to customers	3,283.6	1,957.7
• Due from other banks	155.9	68.7
• Investment financial assets	97.8	84.3
• Other financial assets	0.2	0.7
Debt financial assets measured at fair value through other comprehensive income	441.9	244.8
Total interest income calculated using the effective interest method	3,979.4	2,356.2
Other interest income		
Net investments in finance lease	86.7	49.4
Financial assets at fair value through profit or loss	35.8	48.8
Total other interest income	122.5	98.2
Total interest income	4,101.9	2,454.4
Interest expense		
Customer deposits	(2,925.2)	(1,345.3)
Due to other banks and other borrowed funds	(543.2)	(261.0)
Debt securities issued	(72.3)	(27.7)
Subordinated debt	(10.1)	(10.9)
Total interest expense calculated using the effective interest method	(3,550.8)	(1,644.9)
Interest expense on lease liabilities and others	(4.3)	(3.2)
Advances received under construction agreements and other	—	(0.1)
Total interest expense	(3,555.1)	(1,648.2)
Payments to deposit insurance system	(59.6)	(44.8)
Net interest income	487.2	761.4

4. NET FEE AND COMMISSION INCOME

	2024	2023
Commission on settlement transactions and trade finance	242.8	203.0
Commission for client operations with foreign currency and precious metals	36.7	19.9
Commission on guarantees and other credit related commitments issued	26.2	24.3
Commission on cash transactions	13.7	9.7
Commission on securities and capital markets transactions	12.8	12.9
Fees received for insurance products distribution and other agency services	9.8	17.7
Other	5.9	4.3
Total fee and commission income	347.9	291.8
Commission on settlement transactions and trade finance	(63.6)	(64.2)
Commission on securities and capital markets transactions	(6.1)	(4.2)
Commission on agents' services	(4.0)	(2.7)
Commission on cash transactions	(3.3)	(2.5)
Commission on guarantees and other credit related facilities received	(0.2)	(0.5)
Other	(1.7)	(0.7)
Total fee and commission expense	(78.9)	(74.8)
Net fee and commission income	269.0	217.0

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS
31 DECEMBER 2024 (CONTINUED)

5. GAINS NET OF LOSSES / (LOSSES NET OF GAINS) ARISING FROM FINANCIAL INSTRUMENTS AT FAIR VALUE THROUGH PROFIT OR LOSS AND THROUGH OTHER COMPREHENSIVE INCOME

	2024	2023
(Losses net of gains) / gains net of losses arising from financial instruments at fair value through profit or loss		
• derivative financial instruments	(26.9)	(23.3)
• non-derivative trading financial assets	(13.8)	10.5
• investment financial assets as at fair value through profit or loss	56.9	(10.9)
• other financial instruments designated as at fair value through profit or loss	85.4	2.0
• other investments designated as at fair value through profit or loss	95.2	7.4
Losses net of gains arising from sale of loans at fair value through profit or loss	(2.1)	(32.3)
Gains net of losses on initial recognition of financial assets at fair value through other comprehensive income	19.6	–
(Losses net of gains)/gains net of losses arising from sale of financial assets at fair value through other comprehensive income	(0.1)	1.2
Total gains net of losses / (losses net of gains) arising from financial instruments at fair value through profit or loss and through other comprehensive income	214.2	(45.4)

6. RESULTS FROM INSURANCE COMPANIES AND NON-STATE PENSION FUNDS ACTIVITY

The following table presents results from insurance companies (IC) and non-state pension funds activity (NSPF):

	2024		2023	
	NSPF	IC	NSPF	IC
Assets underlying to invested pension liabilities				
Interest income calculated using the effective interest method	71.0	–	27.1	–
Other interest income	38.4	–	44.0	–
Losses net of gains arising from financial instruments at fair value through profit or loss	(22.3)	–	(6.9)	–
Provision charge for expected credit losses on debt financial assets	(0.9)	–	(0.2)	–
Other financial assets				
Interest income calculated using the effective interest method	2.3	–	0.8	–
Other interest income	0.1	–	–	–
Gains net of losses / (losses net of gains) arising from financial instruments at fair value through profit or loss	0.3	–	(0.8)	–
Total net result from investment of non-state pension funds' assets	88.9	–	64.0	–
Finance expense of insurance companies and non-state pension funds recognized through profit or loss	(74.8)	(6.8)	(65.8)	(1.4)
Revenue related to contracts evaluated using premium allocation approach (PAA)	–	91.1	–	83.1
Revenue recognised in relation to the changes in the liabilities evaluated using models other than PAA:				
Expected incurred claims and other expenses	39.9	2.3	19.9	1.8
Contractual service margin recognised in profit or loss for the services provided	4.1	14.2	2.2	10.7
Acquisition cash flows amortisation	0.4	3.9	0.4	2.4
Change in the risk adjustment for non-financial risk for the risk expired	0.3	0.1	0.2	0.1
Other	–	(0.3)	–	–
Total insurance and reinsurance revenue from insurance companies and non-state pension funds activity	44.7	111.3	22.7	98.1
Incurred claims	(23.5)	(51.2)	(16.5)	(57.3)
Reimbursement of losses / (losses) on onerous contracts	–	1.5	(3.1)	0.7
Acquisition cash flows amortisation	(0.4)	(37.3)	(0.4)	(24.4)
Changes in liabilities under claims incurred	–	(0.9)	–	(0.3)
Other directly attributable expenses to implementation and maintenance of insurance contracts	(14.4)	(5.0)	(6.6)	(5.0)
Net expenses related to reinsurance contracts held	–	(1.1)	–	(1.9)
Total insurance and reinsurance service expenses from insurance companies and non-state pension funds activity	(38.3)	(94.0)	(26.6)	(88.2)

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS 31 DECEMBER 2024 (CONTINUED)

6. RESULTS FROM INSURANCE COMPANIES AND NON-STATE PENSION FUNDS ACTIVITY (CONTINUED)

The table below presents information about fair value of the underlying assets of NSPF for contracts measured under the VFA. The methodologies and assumptions used to determine fair values are described in Note 34. The assets mentioned below are primarily held to satisfy the obligations to the policy holders:

	2024	2023
Cash and short-term funds	0.6	19.8
Trading financial assets	402.4	533.4
Due from other banks	190.2	79.4
Loans and advances to customers	7.5	18.3
Investment financial assets	476.4	292.5
Other assets	0.7	0.2

Current legislation provides for guaranteed lossless return of non-state pension insurance contracts (NSPIC) for policyholders over each five years' period.

Pension insurance is treated by the Group as principal and significant type of insurance. Accordingly, the Group presents reconciliations required by IFRS 17 separately for pension insurance liabilities of NSPF and for the assets and liabilities of IC related to other types of insurance which are not individually significant for the Group.

The table below presents insurance liabilities of NSPF and IC by remaining coverage and incurred claims:

	2024		2023	
	Measured under PAA	Measured under other methods than PAA	Measured under PAA	Measured under other methods than PAA
IC requirements related to reinsurance contracts held				
Assets for reinsurance contracts	5.9	–	5.7	0.1
NSPF pension insurance liabilities				
Liabilities for remaining coverage	–	916.6	–	914.3
Liabilities for incurred claims	–	3.9	–	3.0
Total pension insurance liabilities of NSPF	–	920.5	–	917.3
IC liabilities related to other types of insurance				
Liabilities for remaining coverage	32.1	159.7	38.5	124.6
Liabilities for incurred claims	27.6	6.4	17.6	3.5
Total liabilities related to other types of insurance	59.7	166.1	56.1	128.1

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS
31 DECEMBER 2024 (CONTINUED)

6. RESULTS FROM INSURANCE COMPANIES AND NON-STATE PENSION FUNDS ACTIVITY (CONTINUED)

The following tables show reconciliation of insurance liabilities measured under methods other than PAA, by measurement components:

2024	Estimated discounted future cash flows	Risk adjustment	Contractual service margin (CSM)	Total
Pension insurance liabilities of NSPF				
Balance at 1 January	857.0	5.6	54.7	917.3
Changes related to current services				
CSM recognised in profit or loss for the services provided	–	–	(4.1)	(4.1)
Change in the risk adjustment for non-financial risk for the risk expired	–	(0.3)	–	(0.3)
Experience adjustments	(1.9)	–	–	(1.9)
Changes related to future services				
Contracts initially recognised during the period	(3.9)	0.4	3.5	–
Changes in estimates that adjust the CSM	5.0	(1.8)	(3.2)	–
Losses on onerous contracts and (reversal) of those losses	0.1	–	–	0.1
Finance (income)/expense				
• recognised through profit or loss	74.5	–	0.3	74.8
• recognised through other comprehensive income	(60.4)	–	–	(60.4)
Cash flows				
Premiums received	49.1	–	–	49.1
Claims and other directly attributable expenses paid	(53.8)	–	–	(53.8)
Acquisition cash flows	(0.5)	–	–	(0.5)
Other changes	0.1	–	0.1	0.2
Balance at 31 December	865.3	3.9	51.3	920.5
Other insurance liabilities of IC				
Balance at 1 January	105.6	0.2	22.3	128.1
Changes related to current services				
CSM recognised in profit or loss for the services provided	–	–	(14.2)	(14.2)
Change in the risk adjustment for non-financial risk for the risk expired	–	(0.1)	–	(0.1)
Experience adjustments	(1.2)	–	–	(1.2)
Changes related to future services				
Contracts initially recognised during the period	(9.7)	0.2	9.7	0.2
Changes in estimates that adjust the CSM	(1.4)	–	1.4	–
Losses on onerous contracts and (reversal) of those losses	0.1	–	–	0.1
Changes related to past services				
Changes in liabilities under claims incurred	0.7	–	–	0.7
Finance expense				
• recognised through profit or loss	3.6	–	3.2	6.8
Foreign exchange	1.7	–	–	1.7
Cash flows				
Premiums received	81.0	–	–	81.0
Claims and other directly attributable expenses paid	(30.3)	–	–	(30.3)
Acquisition cash flows	(7.2)	–	–	(7.2)
Other changes	(0.5)	–	1.0	0.5
Balance at 31 December	142.4	0.3	23.4	166.1

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS
31 DECEMBER 2024 (CONTINUED)

**6. RESULTS FROM INSURANCE COMPANIES AND NON-STATE PENSION FUNDS ACTIVITY
(CONTINUED)**

2023	Estimated discounted future cash flows	Risk adjustment	Contractual service margin (CSM)	Total
Pension insurance liabilities of NSPF				
Balance at 1 January	699.2	6.5	166.8	872.5
Changes related to current services				
CSM recognised in profit or loss for the services provided	–	–	(2.2)	(2.2)
Change in the risk adjustment for non-financial risk for the risk expired	–	(0.2)	–	(0.2)
Experience adjustments	3.4	–	–	3.4
Changes related to future services				
Contracts initially recognised during the period	(1.8)	0.1	1.7	–
Changes in estimates that adjust the CSM	112.3	(0.5)	(111.8)	–
Losses on onerous contracts and (reversal) of those losses	3.4	(0.3)	–	3.1
Finance (income)/expense				
• recognised through profit or loss	65.6	–	0.2	65.8
• recognised through other comprehensive income	(7.2)	–	–	(7.2)
Cash flows				
Premiums received	20.5	–	–	20.5
Claims and other directly attributable expenses paid	(38.1)	–	–	(38.1)
Acquisition cash flows	(0.3)	–	–	(0.3)
Balance at 31 December	857.0	5.6	54.7	917.3
Other insurance liabilities of IC				
Balance at 1 January	71.0	0.2	12.2	83.4
Changes related to current services				
CSM recognised in profit or loss for the services provided	–	–	(10.7)	(10.7)
Change in the risk adjustment for non-financial risk for the risk expired	–	(0.1)	–	(0.1)
Experience adjustments	1.7	–	–	1.7
Changes related to future services				
Contracts initially recognised during the period	(20.4)	0.1	20.3	–
Changes in estimates that adjust the CSM	0.4	–	(0.4)	–
Losses on onerous contracts and (reversal) of those losses	(0.7)	–	–	(0.7)
Changes related to past services				
Changes in liabilities under claims incurred	0.3	–	–	0.3
Finance expense				
• recognised through profit or loss	0.8	–	0.9	1.7
Foreign exchange	2.8	–	–	2.8
Cash flows				
Premiums received	66.1	–	–	66.1
Claims and other directly attributable expenses paid	(13.8)	–	–	(13.8)
Acquisition cash flows	(3.1)	–	–	(3.1)
Acquisition of subsidiaries	0.5	–	–	0.5
Balance at 31 December	105.6	0.2	22.3	128.1

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS
31 DECEMBER 2024 (CONTINUED)

6. RESULTS FROM INSURANCE COMPANIES AND NON-STATE PENSION FUNDS ACTIVITY (CONTINUED)

The following table shows reconciliation contractual service margin (CSM) related to insurance liabilities by transition methods used by non-state pension funds at initial application of IFRS 17, measured under other methods than PAA:

CSM	2024		2023	
	Modified retrospective method	New contracts recognised after initial application of IFRS 17	Modified retrospective method	New contracts recognised after initial application of IFRS 17
Pension insurance liabilities of NSPF				
Balance at 1 January	25.4	29.3	62.4	104.4
CSM recognised in profit or loss for the services provided	(1.7)	(2.4)	(0.4)	(1.8)
Contracts initially recognised during the period	–	3.5	–	1.7
Changes in estimates that adjust the CSM	(2.6)	(0.5)	(36.6)	(75.2)
Other	–	0.3	–	0.2
Balance at 31 December	21.1	30.2	25.4	29.3
Other insurance liabilities of IC				
Balance at 1 January	–	22.3	–	12.2
CSM recognised in profit or loss for the services provided	–	(14.2)	–	(10.7)
Contracts initially recognised during the period	–	9.7	–	20.3
Changes in estimates that adjust the CSM	–	1.4	–	(0.4)
Other	–	4.2	–	0.9
Balance at 31 December	–	23.4	–	22.3

An analysis of the expected recognition in profit or loss of the CSM related to insurance contracts, measured under other methods than PAA, remaining as at 31 December 2024 is provided in the following table:

	Less than 1 year	From 1 to 2 years	From 2 to 3 years	From 3 to 4 years	From 4 to 5 years	From 5 to 10 years	More than 10 years	Total
CSM of NPFS related to pension insurance	4.8	4.5	4.2	3.8	3.5	13.7	16.9	51.3
CSM of IC related to other types of insurance	8.5	6.1	3.9	2.1	1.1	1.4	0.3	23.4

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS
31 DECEMBER 2024 (CONTINUED)

6. RESULTS FROM INSURANCE COMPANIES AND NON-STATE PENSION FUNDS ACTIVITY (CONTINUED)

The following tables show reconciliation of insurance liabilities by remaining coverage and incurred claims:

	Liabilities for remaining coverage (all measurement methods)		Liabilities for incurred claims		
	Excluding loss component	Loss component	Measured under other methods than PAA	Measured under PAA	
				Present value of future cash flows	Non-financial risk adjustment
2024					
Pension insurance liabilities of NSPF					
Balance at 1 January	909.9	4.4	3.0	—	—
Insurance revenue	(44.7)	—	—	—	—
Insurance service expenses					
Claims incurred and other expenses	—	(0.6)	38.6	—	—
Acquisition cash flows amortisation	0.4	—	—	—	—
Change in estimates of losses/reversal of losses on onerous contracts	—	(0.1)	—	—	—
Investment components	(15.9)	—	15.9	—	—
Finance (income)/expense					
• recognised through profit or loss	74.8	—	—	—	—
• recognised through other comprehensive income	(60.4)	—	—	—	—
Cash flows					
Premiums received	49.1	—	—	—	—
Claims and other directly attributable expenses paid	—	—	(53.8)	—	—
Acquisition cash flows	(0.5)	—	—	—	—
Other changes	0.3	(0.1)	0.2	—	—
Balance at 31 December	913.0	3.6	3.9	—	—
Other insurance liabilities of IC					
Balance at 1 January	160.5	2.6	1.6	18.3	1.2
Insurance revenue	(111.3)	—	—	—	—
Insurance service expenses					
Claims incurred and other expenses	—	0.4	0.9	54.8	1.0
Acquisition cash flows amortisation	37.9	—	—	—	—
Losses/reversal of losses on onerous contracts	—	(1.9)	—	—	—
Changes that relate to past service – changes in liabilities under claims incurred	—	—	(0.1)	1.0	—
Investment components	(31.9)	—	31.9	—	—
Finance expense					
• recognised through profit or loss	7.3	—	(0.2)	(0.3)	—
Foreign exchange	1.7	—	0.1	—	—
Cash flows					
Premiums received	169.9	—	—	—	—
Claims and other directly attributable expenses paid	—	—	(30.3)	(48.5)	—
Acquisition cash flows	(40.4)	—	—	—	—
Other changes	(2.7)	(0.3)	2.5	0.1	—
Balance at 31 December	191.0	0.8	6.4	25.4	2.2

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS
31 DECEMBER 2024 (CONTINUED)

**6. RESULTS FROM INSURANCE COMPANIES AND NON-STATE PENSION FUNDS ACTIVITY
(CONTINUED)**

	Liabilities for remaining coverage (all measurement methods)		Liabilities for incurred claims		
	Excluding loss component	Loss component	Measured under other methods than PAA	Measured under PAA	
				Present value of future cash flows	Non-financial risk adjustment
2023					
Pension insurance liabilities of NSPF					
Balance at 1 January	868.8	1.3	2.4	–	–
Insurance revenue	(22.7)	–	–	–	–
Insurance service expenses					
Claims incurred and other expenses	–	–	23.4	–	–
Acquisition cash flows amortisation	0.4	–	–	–	–
Change in estimates of losses/reversal of losses on onerous contracts	–	3.1	–	–	–
Investment components	(15.3)	–	15.3	–	–
Finance (income)/expense					
• recognised through profit or loss	65.8	–	–	–	–
• recognised through other comprehensive income	(7.2)	–	–	–	–
Cash flows					
Premiums received	20.5	–	–	–	–
Claims and other directly attributable expenses paid	–	–	(38.1)	–	–
Acquisition cash flows	(0.4)	–	–	–	–
Balance at 31 December	909.9	4.4	3.0	–	–
Other insurance liabilities of IC					
Balance at 1 January	123.9	–	3.0	–	–
Insurance revenue	(98.1)	–	–	–	–
Insurance service expenses					
Claims incurred and other expenses	–	3.3	0.2	56.0	–
Acquisition cash flows amortisation	24.4	–	–	–	–
Change in estimates of losses/reversal of losses on onerous contracts	–	(0.7)	–	–	–
Changes that relate to past service – changes in liabilities under claims incurred	–	–	0.3	–	1.2
Investment components	(11.9)	–	11.9	–	–
Finance expense					
recognized through profit or loss	1.7	–	–	(0.6)	–
Foreign exchange	2.8	–	–	–	–
Cash flows					
Premiums received	140.2	–	–	–	–
Claims and other directly attributable expenses paid	–	–	(13.8)	(37.1)	–
Acquisition cash flows	(23.0)	–	–	–	–
Acquisition of subsidiaries	0.5	–	–	–	–
Balance at 31 December	160.5	2.6	1.6	18.3	1.2

Analysis of discount rates (yield curves) that were used to estimate the present value of future cash flows for insurance contracts as at 31 December 2024 and 31 December 2023 is provided below:

	1 year	2 years	3 years	4 years	5 years	10 years	20 years	30 years
2024								
Pension insurance	18.9%	17.9%	16.7%	15.8%	15.1%	14.0%	10.1%	6.8%
Life insurance	18.8%	18.3%	17.7%	17.2%	16.8%	15.5%	14.5%	14.1%
Other insurance	19.0%	18.5%	18.0%	17.5%	17.0%	15.7%	14.7%	14.4%
2023								
Pension insurance	13.9%	12.8%	12.0%	11.7%	11.5%	12.2%	10.4%	9.0%
Life insurance	13.0%	12.7%	12.3%	12.1%	12.0%	11.8%	11.8%	11.6%
Other insurance	13.4%	13.1%	12.7%	12.5%	12.4%	12.5%	12.4%	12.3%

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS 31 DECEMBER 2024 (CONTINUED)

6. RESULTS FROM INSURANCE COMPANIES AND NON-STATE PENSION FUNDS ACTIVITY (CONTINUED)

Information about discount rates and components of risk adjustment used as of 31 December 2024 and 31 December 2023 for pension and life insurance is presented below:

	2024	2023
Pension insurance		
Risk adjustment		
Obligatory pension insurance agreements (OPIA)	0.4%	0.6%-0.7%
Non-state pension insurance contracts (NSPIC), (depending of scheme)	0.5%	0.3%-2.2%
Long-term savings program (LTSP)	0.5%	n.a.
Actuarial assumptions		
Lapse and surrender rates OPIA	0.0%-0.6%	0.1%
Lapse and surrender rates NSPIC	0.2%-11.6%	4.8%
Lapse and surrender rates LTSP	0.0%-9.0%	n.a.
Age of retirement (male), years	61-65	60-63
Age of retirement (female), years	56-62	55-62
Amount of management services OPIA, roubles per month	9.1	13.7
Amount of management services NSPIC, roubles per month	64.5	24.4
Amount of management services LTSP, roubles per month	46.4	n.a.
Life insurance		
Risk adjustment in terms of expenses for the remaining part of insurance coverage	0.1%-4.8%	0.1%-4.8%
Risk adjustment for liabilities on claims incurred	9.5%	9.5%
Actuarial assumptions		
Lapse and surrender rate (depending on scheme), %	0.2%-9.7%	0.2%-9.7%
Mortality rates (depending on male and scheme), %	0.05%-0.12%	0.05%-0.12%
Amount of management services (depending on scheme), roubles in month	24.5-373.9	24.5-373.9
Other types of insurance		
Risk adjustment (depending on the scheme)	3.4%-17.6%	3.1%-24.5%
Actuarial assumptions		
Loss rate on losses incurred, %	3.2%-192.7%	3.0%-176.0%
Loss rate on expenses for settlement of losses, %	0.3%-16.4%	0.3%-12.0%

The Group does not provide the claims development disclosure because of:

- The liabilities of NPFs to pay lifelong pensions or pensions paid until the account is exhausted, as well as obligations to participants before the pension is assigned, represent pension contributions received and accrued income, so there is not uncertainty related to these amounts;
- Claims amounts related to life insurance are known from the contractual arrangements and claims are settled shortly (no longer than one year) after the insured event occurs;
- Claims amounts related to other types of insurance contracts issued by insurance companies acquired by the Group in December 2022 are insignificant.

7. STAFF COSTS AND ADMINISTRATIVE EXPENSES

	2024	2023
Staff costs	216.1	190.0
Defined contribution pension expense	28.7	28.9
Amortisation and other expenses related to intangibles	73.9	56.2
Depreciation and other expenses related to premises and equipment	65.3	55.8
Advertising expenses	47.5	31.7
Other administrative expenses	47.3	37.7
Total staff costs and administrative expenses	478.8	400.3

8. OTHER OPERATING EXPENSES

	2024	2023
Expenses related to credit lines usage	21.2	–
Expenses related to SMS-information service	13.5	9.8
Expenses related to plastic cards' issue and servicing	9.6	8.6
Losses under claims and frauds	4.9	2.1
Expenses under additional customer service programmes	3.2	3.5
Expenses related to credit bureau service	3.0	2.1
Debt collection	2.9	1.7
Other	15.2	15.7
Total other operating expense	73.5	43.5

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS 31 DECEMBER 2024 (CONTINUED)

9. INCOME TAX

Income tax expense comprises the following:

	2024	2023
Current tax expense	128.6	84.3
Deferred income tax expense due to the origination and reversal of temporary differences	16.5	1.7
Deferred tax related to the changes in tax rate from 1 January 2025	(122.6)	–
Income tax expense	22.5	86.0

The income tax rate applicable to the majority of the Group's income in 2024 is 20% (2023: 20%). The income tax rate applicable to subsidiaries' income ranges from 0% to 35% in 2024 (2023: 0% to 35%).

	2024	2023
IFRS profit before tax	575.1	518.2
Theoretical tax expense at the applicable statutory rate of each Group entity	115.6	104.8
Tax effect of items, which are not deductible or assessable for tax purposes:		
Change in unrecognised deferred taxes	53.8	(5.8)
Non-deductible expenses	19.3	13.4
Income, which is exempt from taxation	(3.1)	(7.8)
Income taxed at different rates	(29.2)	(23.1)
Effect of changes in income tax rate	(122.6)	–
Other	(11.3)	4.5
Income tax expense	22.5	86.0

Differences between IFRS and taxation regulations give rise to certain temporary differences between the carrying amount of certain assets and liabilities for financial reporting purposes and for profits tax purposes.

The tax effect of the movement on these temporary differences is recorded at tax rates applicable to respective members of the Group. The Bank and its subsidiaries have no right to set off current tax assets and tax liabilities between legal entities, so deferred income tax assets and deferred income tax liabilities are separately assessed for each entity.

In the second quarter of 2024 Group had recognized additional deferred tax asset in the amount of RUR 62.2 billion related to tax loss carried forward. *

On 12 July 2024 the Federal law No. 176-FZ *On amendments to the first and second parts of the Tax code, certain legislative acts of the Russian Federation and about recognition became invalid for specific provisions of legislative acts of the Russian Federation* (the "Law") was enacted. The Law provides for an increase in the income tax rate from 20% to 25% starting 1 January 2025. Furthermore, starting from the 1 January 2025 the income tax rate on state and municipal bonds, as well as bonds of Russian issuers, mortgage bonds specified in the first subparagraph of paragraph 1 of paragraph 4 of Article 284 of the Tax Code of the Russian Federation will be increased to 20%.

Following this legislative amendment the Group has recognized in these summary consolidated financial statements an additional deferred tax asset in the amount of RUR 145.7 billion and deferred tax liability in the amount of RUR 17.4 billion as well as additional deferred tax income resulting from the reassessment of deferred tax asset and liability at the revised income tax rates which will be in effect at a time when such asset and liability are expected to be realized or settled after 1 January 2025 in the amount of RUR 124.8 billion, including income tax income in the income statement of RUR 122.6 billion and in the statement of comprehensive income of RUR 2.2 billion. This legislative amendment does not affect current tax expense for 2024.

In accordance with the forecast of future taxable income in these summary consolidated financial statements deferred tax assets in the amount of RUR 125.4 billion were written off, including deferred tax expense in profit or loss – RUR 125.4 billion.

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS 31 DECEMBER 2024 (CONTINUED)

9. INCOME TAX (CONTINUED)

Origination and reversal of temporary differences	2022 (corrected)	Origination and reversal of temporary differences			Currency translation difference	2023	Origination and reversal of temporary differences			Currency translation difference	Business Combination and Disposal of subsidiary companies and banks	2024
		Credited/ (charged) to profit or loss	Credited/ (charged) to other comprehensive income	Credited/ (charged) to retained earnings			Credited/ (charged) to profit or loss	Credited/ (charged) to other comprehensive income	Credited/ (charged) to retained earnings			
Tax effect of deductible temporary differences:												
Fair value of loans acquired through business combinations	0.9	—	—	—	—	0.9	—	—	—	—	9.4	10.3
Allowances for impairment and provisions for other losses	110.2	17.8	0.1	—	0.1	128.2	(25.5)	—	—	(0.1)	1.9	104.5
Tax losses carried forward	318.3	(15.7)	—	(1.0)	1.1	302.7	197.5	—	—	—	(2.1)	498.1
Fair value of derivatives	1.9	1.7	—	—	(0.8)	2.8	(1.5)	—	—	0.1	—	1.4
Accruals	14.8	(2.6)	—	1.4	(1.1)	12.5	(5.4)	—	0.7	(0.1)	—	7.7
Fair value of debt financial assets	0.9	9.3	(2.8)	1.9	(0.1)	9.2	(21.9)	14.4	(0.2)	(0.1)	—	1.4
Fair value of equity financial assets	8.8	1.3	—	—	(0.1)	10.0	5.7	—	—	—	0.2	15.9
Fair value of investment property	17.6	(2.4)	—	—	—	15.2	2.0	—	—	0.1	—	17.3
Loans and advances to customers	56.5	(27.0)	5.3	4.8	(0.1)	39.5	15.4	11.7	1.2	—	3.1	70.9
Property and equipment	11.6	(1.8)	(0.4)	—	—	9.4	4.7	(0.2)	—	—	—	13.9
Investments in subsidiaries and associates	23.6	—	—	—	—	23.6	5.9	—	—	—	—	29.5
Other	(1.5)	1.9	(3.2)	—	4.8	2.0	3.1	0.2	0.2	0.3	2.7	8.5
Gross deferred income tax assets	563.6	(17.5)	(1.0)	7.1	3.8	556.0	180.0	26.1	1.9	0.2	15.2	779.4
Unrecognised deferred income tax assets	(105.1)	5.8	(0.5)	(12.1)	0.6	(111.3)	(57.7)	—	(1.9)	(0.2)	2.1	(169.0)
Deferred income tax asset	458.5	(11.7)	(1.5)	(5.0)	4.4	444.7	122.3	26.1	—	—	17.3	610.4
Tax effect of taxable temporary differences:												
Fair value of debt financial assets	(0.1)	—	(0.1)	—	—	(0.2)	(14.4)	(3.1)	—	—	—	(17.7)
Fair value of equity financial assets	(15.3)	1.5	—	—	0.1	(13.7)	8.8	—	—	(0.1)	—	(5.0)
Property and equipment	(18.1)	2.8	0.2	(0.4)	—	(15.5)	(2.3)	(7.5)	—	(0.1)	(1.8)	(27.2)
Intangible assets	(16.1)	5.2	—	2.9	0.1	(7.9)	3.5	—	—	—	—	(4.4)
Net investment in lease	(9.3)	0.4	—	—	—	(8.9)	(7.2)	—	—	—	—	(16.1)
Fair value of investment property	(3.7)	(0.3)	—	—	0.1	(3.9)	(0.6)	—	—	—	—	(4.5)
Allowances for impairment and provisions for other losses	(1.9)	1.8	—	—	0.1	—	(0.1)	—	—	—	—	(0.1)
Fair value of derivatives	(17.7)	2.2	(0.2)	1.4	—	(14.3)	4.8	—	—	—	—	(9.5)
Other borrowed funds	(17.4)	(1.2)	—	—	—	(18.6)	1.3	—	—	(0.1)	—	(17.4)
Effect of currency translation	(1.6)	(2.4)	—	—	0.1	(3.9)	1.6	—	—	—	—	(2.3)
Other	(17.3)	—	(0.4)	0.3	0.4	(17.0)	(11.6)	(0.1)	—	0.2	0.7	(27.8)
Deferred income tax liability	(118.5)	10.0	(0.5)	4.2	0.9	(103.9)	(16.2)	(10.7)	—	(0.1)	(1.1)	(132.0)
Deferred income tax asset, net	376.7	9.3	(1.3)	(1.1)	5.3	388.9	120.0	19.0	—	—	15.4	543.3
Deferred income tax liability, net	(36.7)	(11.0)	(0.7)	0.3	—	(48.1)	(13.9)	(3.6)	—	(0.1)	0.8	(64.9)

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS 31 DECEMBER 2024 (CONTINUED)

9. INCOME TAX (CONTINUED)

Effective 1 January 2017 until 31 December 2026 the taxable income for the reporting (tax) period cannot be reduced by prior period tax loss carry forward by more than 50%.

The Group determined that deferred income tax asset could be utilised, taking into account the level of predicted profitability and assumptions that in the years after 2024, given the planned reorganisations, the predicted profitability would not be lower than that in 2024.

As at 31 December 2024, recognised deferred income tax assets included RUR 356.1 billion resulting from tax losses carried forward (31 December 2023: RUR 228.6 billion) primarily related to the Group

members located in the Russian Federation. The existing tax losses eligible for carry forward are expected to be fully utilised by 2039.

As at 31 December 2024 the Group had unrecognised deferred income tax asset of RUR 140.9 billion in respect of unused tax loss (31 December 2023: RUR 74.1 billion).

As at 31 December 2024, the aggregate amount of temporary differences associated with investments in subsidiaries, associates and joint ventures for which deferred income tax liability has not been recognised amounted to RUR 475.9 billion (31 December 2023: RUR 310.0 billion).

The following table provides disclosure of income tax effects by types of other comprehensive income:

	2024			2023		
	Before tax	Tax expense/ (benefit)	Net of tax	Before tax	Tax expense/ (benefit)	Net of tax
Other comprehensive income/(loss)						
to be reclassified to profit or loss in subsequent periods	(31.3)	23.0	(8.3)	9.5	(1.8)	7.7
not to be reclassified to profit or loss in subsequent periods	37.0	(7.6)	29.4	1.0	(0.2)	0.8
Other comprehensive income/(loss)	5.7	15.4	21.1	10.5	(2.0)	8.5

10. BASIC AND DILUTED EARNINGS PER SHARE

Basic earnings per share are calculated by dividing the net profit or loss attributable to ordinary shareholders of the parent by the weighted average number of ordinary shares in issue during the period, excluding the average number of ordinary shares purchased by the Group and held as treasury shares.

The Group has no dilutive potential ordinary shares, therefore, the diluted earnings per share are equal to basic earnings per share.

	2024	2023
Weighted average number of ordinary shares in issue after consolidation	5,290,017,743	4,404,767,119
Weighted average number of ordinary shares in issue before consolidation	n/a	22,023,835,595,672
Net profit attributable to shareholders of the parent	535.3	420.6
Amounts paid on perpetual bonds and loan participation notes	(38.0)	—
Net profit attributable to shareholders of the parent	497.3	420.6
Basic and diluted earnings per share		
(expressed in Russian roubles per share) before consolidation	n/a	0.01910
Basic and diluted earnings per share		
(expressed in Russian roubles per share) after consolidation	94.0	95.5
Loss after tax on subsidiaries acquired exclusively for resale	(1.2)	—
Net profit attributable to shareholders of the parent before loss after tax on subsidiaries acquired exclusively for resale	498.5	420.6
Basic and diluted earnings per share (expressed in Russian roubles per share) before loss after tax on subsidiaries acquired exclusively for resale after consolidation	94.2	95.5

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS 31 DECEMBER 2024 (CONTINUED)

11. CASH AND SHORT-TERM FUNDS

	2024	2023
Cash on hand	377.4	330.3
Cash balances (other than mandatory) with central banks	1,050.2	654.1
Correspondent accounts with other banks	651.8	267.3
Less: Expected credit loss	(61.3)	(40.9)
Total cash and short-term funds	2,018.1	1,210.8
Less: cash and short-term funds which are not cash equivalents, net of expected credit losses	(17.8)	(22.7)
Total cash and cash equivalents	2,000.3	1,188.1

The following table shows reconciliation from the opening to the closing balance of the expected credit loss (ECL) of correspondent accounts with other banks carried at amortised cost.

	2024			
	12-month ECL	Lifetime ECL not credit- impaired	Lifetime ECL credit- impaired	Total
Balance at 1 January	0.4	–	40.5	40.9
Transfer to lifetime ECL not credit-impaired	–	0.8	(0.8)	–
Net remeasurement of ECL	(0.3)	(0.7)	11.9	10.9
Foreign exchange	0.1	–	9.4	9.5
Balance at 31 December	0.2	0.1	61.0	61.3

	2023			
	12-month ECL	Lifetime ECL not credit- impaired	Lifetime ECL credit- impaired	Total
Balance at 1 January	0.4	–	15.5	15.9
Net remeasurement of ECL	–	–	20.8	20.8
Foreign exchange	–	–	4.2	4.2
Balance at 31 December	0.4	–	40.5	40.9

12. TRADING FINANCIAL ASSETS

	2024	2023
Trading financial assets		
Debt securities	671.4	766.8
Equity securities	82.6	71.3
Trading financial assets, pledged under repurchase agreements		
Debt securities	11.7	25.5
Equity securities	0.1	1.8
Total trading financial assets	765.8	865.4

13. DERIVATIVE FINANCIAL INSTRUMENTS

	2024		2023	
	Positive fair value	Negative fair value	Positive fair value	Negative fair value
Interest rate contracts	111.8	(86.0)	104.5	(52.5)
Foreign exchange and precious metals contracts	11.5	(9.7)	14.5	(16.6)
Contracts with securities	1.6	(5.9)	1.9	(3.7)
Contracts with other underlyings	6.4	(5.0)	1.3	(5.7)
Total derivative financial assets and liabilities	131.3	(106.6)	122.2	(78.5)

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS 31 DECEMBER 2024 (CONTINUED)

14. DUE FROM OTHER BANKS

	2024	2023
Due from other banks at amortised cost*	1,455.2	1,085.8
Due from other banks at amortised cost, pledged under repurchase agreements*	–	3.5
Expected credit loss*	23.6	(21.2)
Total net due from other banks at amortised cost	1,478.8	1,068.1
Due from other banks at fair value through comprehensive income	201.7	–
Due from other banks at fair value through profit or loss	–	14.8
Total due from other banks	1,680.5	1,082.9

As at 31 December 2024 reverse sale and repurchase agreements with other banks at amortised cost amounted to RUR 820.6 billion (31 December 2023: RUR 620.6 billion).

These reverse sale and repurchase agreements with other banks at amortised cost were collateralised by securities with fair value of RUR 928.7 billion (31 December 2023: RUR 687.8 billion).

The following table shows analysis of the amounts due from other banks (gross) by classes, credit quality risk grades and ECL stages: *

	2024				
	12-month ECL	Lifetime ECL not credit- impaired	Lifetime ECL credit- impaired	Purchased credit- impaired	Total
• Pass	1,407.3	–	–	–	1,407.3
• Sub-Standard	–	0.2	–	–	0.2
• Doubtful	–	–	0.1	–	0.1
• NPL	–	–	35.6	12.0	47.6
Total gross due from other banks	1,407.3	0.2	35.7	12.0	1,455.2

	2023				
	12-month ECL	Lifetime ECL not credit- impaired	Lifetime ECL credit- impaired	Purchased credit- impaired	Total
• Pass	1,046.8	–	–	–	1,046.8
• Sub-Standard	–	–	–	10.7	10.7
• Doubtful	–	–	0.1	–	0.1
• NPL	–	–	31.7	–	31.7
Total gross due from other banks	1,046.8	–	31.8	10.7	1,089.3

The following table shows reconciliation from the opening to the closing balance of the expected credit loss (ECL) of amounts due from other banks carried at amortised cost: *

	2024				
	12-month ECL	Lifetime ECL not credit- impaired	Lifetime ECL credit- impaired	Purchased credit- impaired	Total
Balance at 1 January	0.5	–	20.6	–	21.1
Net remeasurement of ECL	–	–	(20)	(32.4)	(52.4)
Unwinding of discount	–	–	1.1	1.0	2.1
Recoveries of amounts previously written off	–	–	–	4.2	4.2
Foreign exchange	0.2	–	1.4	(0.2)	1.4
Balance at 31 December	0.7	–	3.1	(27.4)	(23.6)

	2023				
	12-month ECL	Lifetime ECL not credit- impaired	Lifetime ECL credit- impaired	Purchased credit- impaired	Total
Balance at 1 January	0.1	0.1	23.1	–	23.3
Transfer to 12-month ECL	0.1	–	–	–	0.1
Net remeasurement of ECL	0.2	(0.1)	(11.2)	–	(11.1)
Unwinding of discount	–	–	1.3	–	1.3
Financial assets that have been derecognised	0.1	–	–	–	0.1
Foreign exchange	0.1	–	7.4	–	7.5
Balance at 31 December	0.6	–	20.6	–	21.2

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS 31 DECEMBER 2024 (CONTINUED)

15. LOANS AND ADVANCES TO CUSTOMERS

	2024	2023
Loans and advances to customers at amortised cost		
Loans at amortised cost to legal entities		
• Current activity financing	11,688.0	9,639.7
• Project finance and other	3,385.6	3,331.2
• Finance leases	680.2	655.7
• Reverse sale and repurchase agreements	42.8	290.8
Total gross loans at amortised cost to legal entities	15,796.6	13,917.4
Less: expected credit loss	(766.7)	(763.4)
Net loans at amortised cost to legal entities	15,029.9	13,154.0
Loans at amortised cost to individuals		
• Mortgages	4,038.7	3,837.6
• Consumer loans and other	2,134.3	1,982.1
• Car loans	652.6	411.5
• Credit cards	290.2	232.0
• Reverse sale and repurchase agreements	37.4	39.4
Total gross loans at amortised cost to individuals	7,153.2	6,502.6
Less: expected credit loss	(389.4)	(377.8)
Loans and advances to individuals at amortised cost loaned and pledged under repurchase agreements		
• Mortgages	358.3	227.9
Total loans and advances to individuals at amortised cost loaned and pledged under repurchase agreements	358.3	227.9
Less: expected credit loss	(0.9)	(0.7)
Net loans at amortised cost to individuals	7,121.2	6,352.0
Loans and advances to customers at fair value through profit or loss		
Loans at fair value through profit or loss to legal entities	84.5	45.5
Total loans and advances to customers at fair value through profit or loss	84.5	45.5
Loans and advances to customers at fair value through other comprehensive income		
Loans at fair value through other comprehensive income to individuals	225.7	189.5
Loans at fair value through other comprehensive income to individuals pledged under repurchase agreements	88.2	60.4
Loans at fair value through other comprehensive income to legal entities pledged under repurchase agreements	45.1	56.3
Loans at fair value through other comprehensive income to legal entities	12.1	–
Total loans and advances to customers at fair value through other comprehensive income	371.1	306.2
Total loans and advances to customers	22,606.7	19,857.7

As at 31 December 2024, the gross amount of non-performing loans was RUR 834.0 billion or 3.5% of the aggregate of the gross loan portfolio, including loans pledged under repurchase agreements and loans at fair value through profit or loss or other comprehensive income (31 December 2023: RUR 672.6 billion or 3.2%).

As at 31 December 2024, the Group received securities with a fair value of RUR 64.1 billion (31 December 2023: RUR 333.4 billion) as collateral under reverse sale and repurchase agreements with customers.

As at 31 December 2024, the total amount of pledged loans to customers is RUR 920.7 billion (31 December 2023: RUR 767.8 billion). The loans are pledged against the funds accounted for other borrowed funds (Note 23), customer deposits (Note 22) and due to other banks (Note 21).

The table below represents carrying value of mortgage and consumer loans pledged against debt securities issued under securitization programmes (Note 37).

	2024	2023
Mortgage loans (DOM.RF)	520.9	401.0
Consumer loans	859.0	322.0

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS 31 DECEMBER 2024 (CONTINUED)

15. LOANS AND ADVANCES TO CUSTOMERS (CONTINUED)

Economic sector risk concentrations within the customer loan portfolio are as follows: *

	2024	2023
Individuals	7,825.4	6,980.4
Building construction	3,399.3	2,847.9
Metals	2,203.8	1,621.2
Oil and gas	2,030.4	2,044.2
Transport	1,467.7	1,306.8
Trade and commerce	1,279.0	1,094.2
Coal mining	1,069.7	797.9
Energy	833.7	618.7
Food and agriculture	687.8	677.9
Chemical	681.3	657.9
Engineering and other manufacturing	655.8	641.0
Telecommunications and media	582.7	505.3
Finance	558.5	708.3
Government bodies	184.2	164.6
Other	304.4	333.3
Total gross loans and advances to customers	23,763.7	20,999.6

Finance industry includes loans issued to holding companies of industrial groups, mergers and acquisitions financing, and loans to leasing, insurance and other non-bank financial companies.

Investments in lease

	2024	2023
Gross investment in leases	648.4	560.7
Less: unearned finance lease income	(240.3)	(181.3)
Net investment in leases before allowance	408.1	379.4
Less: expected credit loss	(21.8)	(8.8)
Net investment in leases	386.3	370.6

	Future minimum lease payments		Net investments in leases	
	2024	2023	2024	2023
Within 1 year	190.1	161.5	169.3	145.0
From 1 to 2 years	152.5	130.7	106.6	97.3
From 2 to 3 years	109.2	102.2	60.4	63.0
From 3 to 4 years	84.5	65.6	36.5	33.5
From 4 to 5 years	37.5	55.4	12.5	22.9
More than 5 years	74.6	45.3	22.8	17.7
Total	648.4	560.7	408.1	379.4

Analysis of credit quality of loans and advances to customers

Loans and advances to customers accounted at amortised cost are presented below by credit quality risk grades and by ECL stage:

2024	12-month ECL	Lifetime ECL not credit- impaired	Lifetime ECL credit-impaired	Purchased or originated credit-impaired	Total
Loans to legal entities					
• Pass	12,594.2	168.9	—	1.8	12,764.9
• Watch	481.0	165.2	—	0.6	646.8
• Sub-Standard	72.8	1,447.5	219.0	52.9	1,792.2
• Doubtful	—	—	41.9	20.5	62.4
• NPL	—	—	451.8	78.5	530.3
Total gross loans to legal entities	13,148.0	1,781.6	712.7	154.3	15,796.6
Loans to individuals					
• Pass	6,100.5	0.4	—	0.1	6,101.0
• Watch	571.0	0.3	—	—	571.3
• Sub-Standard	7.8	476.7	—	0.5	485.0
• Doubtful	—	—	59.3	0.1	59.4
• NPL	—	—	293.4	1.4	294.8
Total gross loans to individuals	6,679.3	477.4	352.7	2.1	7,511.5

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS 31 DECEMBER 2024 (CONTINUED)

15. LOANS AND ADVANCES TO CUSTOMERS (CONTINUED)

2023	12-month ECL	Lifetime ECL not credit- impaired	Lifetime ECL credit- impaired	Purchased or originated credit- impaired	Total
Loans to legal entities					
• Pass	10,136.1	318.9	—	0.3	10,455.3
• Watch	434.6	35.2	—	—	469.8
• Sub-Standard	90.6	2,112.2	202.8	132.6	2,538.2
• Doubtful	—	—	27.3	16.9	44.2
• NPL	—	—	390.1	19.8	409.9
Total gross loans to legal entities	10,661.3	2,466.3	620.2	169.6	13,917.4
Loans to individuals					
• Pass	5,695.9	0.3	—	0.1	5,696.3
• Watch	326.9	0.3	—	—	327.2
• Sub-Standard	8.7	396.6	0.1	2.2	407.6
• Doubtful	—	—	43.0	0.8	43.8
• NPL	—	—	252.1	3.5	255.6
Total gross loans to individuals	6,031.5	397.2	295.2	6.6	6,730.5

The significant changes in the carrying amount of the loan portfolio before allowance that resulted in changes in the allowance for expected credit losses are described below:

- The write-off of fully impaired loans to legal entities in the amount of RUR 42.0 billion at the expense of a previously created allowance led to a decrease in the amount of allowances for expected credit losses on these financial assets, measured on the basis of “Lifetime ECL – credit-impaired” and “Purchased credit impaired” (2023: RUR 63.6 billion);
- Reclassification of loans to legal entities in the amount of RUR 528.7 billion and RUR 150.4 billion from the “12-month ECL” stage to the “Lifetime ECL – not credit-impaired” stage and to the “Lifetime ECL – credit-impaired” stage respectively, due to an increase in collectively assessed credit risk, which resulted in an increase in allowance for expected credit losses based on each of these stages of ECL (2023: reclassification of loans to legal entities in the amount of RUR 841.4 billion and RUR 59.7 billion from the “12-month ECL” stage to the “Lifetime ECL – not credit-impaired” stage and the “Lifetime ECL – credit-impaired stage”, respectively, due to an increase in credit risk estimated at collective basis);
- Reclassification of loans to individuals in the amount of RUR 806.1 billion and RUR 25.7 billion from the “12-month ECL” stage to the “Lifetime ECL – not credit-impaired” stage and to the “Lifetime ECL – credit-impaired” stage respectively, due to an increase in collectively assessed credit risk, which resulted in an increase in allowance for expected credit losses based on each of these stages of ECL (2023: reclassification of loans to individuals in the amount of RUR 551.4 billion and RUR 30.5 billion from the “12-month ECL” stage to the “Lifetime ECL – not credit-impaired” stage and to the “Lifetime ECL – credit-impaired” stage respectively, due to an increase in collectively assessed credit risk);
- The sale and write-off of loans to individuals in the amount of RUR 94.8 billion resulted in a decrease in the carrying amount of loans classified as “Lifetime ECL – credit-impaired” and “12-month ECL” (2023: sale and write-off of loans to individuals in the amount of RUR 96.8 billion resulted in a decrease in the carrying amount of loans classified as “Lifetime ECL – credit-impaired”).

Other changes in the carrying amount of loans represent originations and repayments, as well as changes in foreign exchange rates in the course of the Group’s day-to-day operations.

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS 31 DECEMBER 2024 (CONTINUED)

15. LOANS AND ADVANCES TO CUSTOMERS (CONTINUED)

The following tables show reconciliation from the opening to the closing balance of the expected credit loss for loans and advances to legal entities, including pledged under repurchase agreements, at amortised cost by class:

2024	12-month ECL	Lifetime ECL not credit- impaired	Lifetime ECL credit- impaired	Purchased credit- impaired	Total
Current activity financing					
Balance at 1 January	79.3	165.4	252.7	12.0	509.4
Transfer to 12-month ECL	43.0	(39.9)	(3.1)	–	–
Transfer to lifetime ECL not credit-impaired	(6.5)	9.1	(2.6)	–	–
Transfer to lifetime ECL credit-impaired	(1.4)	(4.5)	5.9	–	–
Net remeasurement of expected credit loss	(15.6)	(6.3)	42.1	4.2	24.4
Unwinding of discount	–	–	17.2	0.2	17.4
Write-offs	–	–	(39.1)	(0.4)	(39.5)
Recoveries of amounts previously written off	0.2	0.5	4.0	0.9	5.6
Financial assets that have been derecognised	(0.1)	0.1	(0.1)	–	(0.1)
Foreign exchange	(0.8)	6.7	4.9	(0.1)	10.7
Balance at 31 December	98.1	131.1	281.9	16.8	527.9
Project finance and other					
Balance at 1 January	43.8	101.1	55.4	33.6	233.9
Transfer to 12-month ECL	2.3	(2.2)	(0.1)	–	–
Transfer to lifetime ECL not credit-impaired	(1.1)	1.7	(0.6)	–	–
Transfer to lifetime ECL credit-impaired	(0.8)	(12.5)	13.3	–	–
Net remeasurement of expected credit loss	(2.2)	(72.8)	7.9	5.4	(61.7)
Unwinding of discount	–	–	6.0	4.6	10.6
Write-offs	–	–	(0.4)	(1.9)	(2.3)
Recoveries of amounts previously written off	–	1.4	0.2	19.0	20.6
Financial assets that have been derecognised	0.3	(1.2)	(0.5)	–	(1.4)
Foreign exchange	(0.1)	9.4	3.2	1.7	14.2
Balance at 31 December	42.2	24.9	84.4	62.4	213.9
Reverse sale and repurchase agreements					
Balance at 1 January	0.6	7.4	–	–	8.0
Net remeasurement of expected credit loss	(0.4)	(7.4)	0.1	–	(7.7)
Financial assets that have been derecognised	(0.2)	–	–	–	(0.2)
Balance at 31 December	–	–	0.1	–	0.1
Finance leases					
Balance at 1 January	3.7	1.9	6.4	0.1	12.1
Transfer to 12-month ECL	0.2	(0.1)	(0.1)	–	–
Transfer to lifetime ECL not credit-impaired	(0.2)	0.3	(0.1)	–	–
Transfer to lifetime ECL credit-impaired	–	(0.8)	0.8	–	–
Net remeasurement of expected credit loss	6.3	3.1	3.4	(0.1)	12.7
Write-offs	–	–	(0.1)	–	(0.1)
Financial assets that have been derecognised	–	0.1	–	–	0.1
Foreign exchange	(0.1)	(0.2)	0.2	0.1	–
Balance at 31 December	9.9	4.3	10.5	0.1	24.8

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS
31 DECEMBER 2024 (CONTINUED)

15. LOANS AND ADVANCES TO CUSTOMERS (CONTINUED)

2023	12-month ECL	Lifetime ECL not credit- impaired	Lifetime ECL credit- impaired	Purchased credit- impaired	Total
Current activity financing					
Balance at 1 January	89.8	113.5	215.8	7.8	426.9
Transfer to 12-month ECL	40.8	(39.5)	(1.3)	–	–
Transfer to lifetime ECL not credit-impaired	(16.6)	24.9	(8.3)	–	–
Transfer to lifetime ECL credit-impaired	(1.4)	(17.5)	18.9	–	–
Net remeasurement of expected credit loss	(37.9)	83.5	12.0	3.8	61.4
Unwinding of discount	–	–	11.7	(0.1)	11.6
Write-offs	–	–	(5.7)	(2.7)	(8.4)
Recoveries of amounts previously written off	1.2	0.5	0.9	3.3	5.9
Financial assets that have been derecognised	–	(0.2)	–	(0.2)	(0.4)
Foreign exchange	3.4	0.2	8.7	0.1	12.4
Balance at 31 December	79.3	165.4	252.7	12.0	509.4
Project finance and other					
Balance at 1 January	34.0	76.3	110.5	3.6	224.4
Transfer to 12-month ECL	1.3	(0.8)	(0.5)	–	–
Transfer to lifetime ECL not credit-impaired	(2.7)	6.4	(3.7)	–	–
Transfer to lifetime ECL credit-impaired	(1.4)	(11.4)	12.8	–	–
Net remeasurement of expected credit loss	12.3	22.9	25.7	6.3	67.2
Unwinding of discount	–	–	(60.0)	–	(60.0)
Early redemption or modifications	–	–	8.5	1.5	10.0
Write-offs	–	–	(52.2)	(2.7)	(54.9)
Recoveries of amounts previously written off	–	0.9	0.2	23.2	24.3
Financial assets that have been derecognised	–	(1.9)	–	(0.1)	(2.0)
Foreign exchange	0.3	8.7	14.1	1.8	24.9
Balance at 31 December	43.8	101.1	55.4	33.6	233.9
Reverse sale and repurchase agreements					
Balance at 1 January	9.3	6.8	–	–	16.1
Net remeasurement of expected credit loss	(8.7)	0.6	–	–	(8.1)
Balance at 31 December	0.6	7.4	–	–	8.0
Finance leases					
Balance at 1 January	2.1	1.3	6.5	1.1	11.0
Transfer to 12-month ECL	0.1	(0.1)	–	–	–
Transfer to lifetime ECL not credit-impaired	(0.2)	0.2	–	–	–
Transfer to lifetime ECL credit-impaired	(0.1)	(0.1)	0.2	–	–
Net remeasurement of expected credit loss	1.8	0.7	(0.1)	(2.7)	(0.3)
Write-offs	–	–	(0.3)	–	(0.3)
Recoveries of amounts previously written off	0.1	–	–	1.7	1.8
Financial assets that have been derecognised	(0.1)	–	–	–	(0.1)
Foreign exchange	–	(0.1)	0.1	–	–
Balance at 31 December	3.7	1.9	6.4	0.1	12.1

In accordance with the analysis carried out by the Group's Management, the volume of the corporate loan portfolio exposed to the specific geopolitical (sanction) portfolio risks as at 31 December 2024 amounted to RUR 10,094.2 billion and an additional RUR 7,555.5 billion of off-balance sheet liabilities (31 December 2023: RUR 9,302.7 billion and RUR 8,276.5 billion, respectively).

The ECL allowance for this portfolio (including off-balance sheet liabilities), calculated as at 31 December 2024 using the model developed by the Group, amounted to RUR 153.8 billion, including ECL allowance for the loan portfolio in the amount of RUR 127.4 billion and ECL allowance for off-balance sheet liabilities in the amount of RUR 26.4 billion (31 December 2023: RUR 165.5 billion, including RUR 137.4 billion and RUR 28.1 billion, respectively).

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS 31 DECEMBER 2024 (CONTINUED)

15. LOANS AND ADVANCES TO CUSTOMERS (CONTINUED)

The following tables show reconciliation from the opening to the closing balance of the expected credit loss for loans and advances to individuals at amortised cost by class:

2024	12-month ECL	Lifetime ECL not credit- impaired	Lifetime ECL credit- impaired	Purchased credit- impaired	Total
Consumer loans and other					
Balance at 1 January	54.9	43.6	184.6	0.6	283.7
Transfer to 12-month ECL	56.9	(56.4)	(0.5)	—	—
Transfer to lifetime ECL not credit-impaired	(21.5)	27.3	(5.8)	—	—
Transfer to lifetime ECL credit-impaired	(1.0)	(40.9)	41.9	—	—
Net remeasurement of expected credit loss	(41.6)	53.9	22.2	(0.4)	34.1
Unwinding of discount	—	—	6.2	—	6.2
Write-offs	—	—	(66.5)	(1.1)	(67.6)
Recoveries of amounts previously written off	—	—	0.9	1.4	2.3
Financial assets that have been derecognised	(0.1)	—	(6.8)	—	(6.9)
Foreign exchange	0.4	0.4	(0.4)	(0.1)	0.3
Early redemptions or modifications	—	—	(0.5)	—	(0.5)
Balance at 31 December	48.0	27.9	175.3	0.4	251.6
Credit cards					
Balance at 1 January	4.9	0.9	34.0	0.3	40.1
Transfer to 12-month ECL	3.0	(1.4)	(1.6)	—	—
Transfer to lifetime ECL not credit-impaired	(1.7)	2.4	(0.7)	—	—
Transfer to lifetime ECL credit-impaired	(1.0)	(4.6)	5.6	—	—
Net remeasurement of expected credit loss	1.4	3.9	9.7	(0.1)	14.9
Unwinding of discount	—	—	1.2	—	1.2
Write-offs	—	—	(15.2)	(0.3)	(15.5)
Recoveries of amounts previously written off	—	—	0.1	0.3	0.4
Financial assets that have been derecognised	—	—	(2.4)	—	(2.4)
Foreign exchange	—	—	0.1	—	0.1
Balance at 31 December	6.6	1.2	30.8	0.2	38.8
Mortgages					
Balance at 1 January	10.3	4.9	21.5	0.2	36.9
Transfer to 12-month ECL	8.8	(8.2)	(0.6)	—	—
Transfer to lifetime ECL not credit-impaired	(0.9)	1.9	(1.0)	—	—
Transfer to lifetime ECL credit-impaired	—	(4.4)	4.4	—	—
Net remeasurement of expected credit loss	(9.5)	12.4	9.8	(0.1)	12.6
Unwinding of discount	—	—	2.0	—	2.0
Write-offs	—	—	(8.6)	—	(8.6)
Recoveries of amounts previously written off	—	—	2.9	0.1	3.0
Financial assets that have been derecognised	0.1	—	(0.7)	—	(0.6)
Foreign exchange	(0.1)	—	0.3	—	0.2
Balance at 31 December	8.7	6.6	30.0	0.2	45.5
Car loans					
Balance at 1 January	3.7	1.3	12.8	0.1	17.9
Transfer to 12-month ECL	3.0	(2.9)	(0.1)	—	—
Transfer to lifetime ECL not credit-impaired	(2.8)	2.9	(0.1)	—	—
Transfer to lifetime ECL credit-impaired	(0.2)	(18.4)	18.6	—	—
Net remeasurement of expected credit loss	(0.5)	22.2	15.4	(0.1)	37.0
Unwinding of discount	—	—	2.0	—	2.0
Write-offs	—	—	(2.5)	—	(2.5)
Recoveries of amounts previously written off	—	—	0.4	—	0.4
Financial assets that have been derecognised	—	—	(0.6)	—	(0.6)
Foreign exchange	—	—	0.1	0.1	0.2
Balance at 31 December	3.2	5.1	46.0	0.1	54.4

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS
31 DECEMBER 2024 (CONTINUED)

15. LOANS AND ADVANCES TO CUSTOMERS (CONTINUED)

2023	12-month ECL	Lifetime ECL not credit- impaired	Lifetime ECL credit- impaired	Purchased credit- impaired	Total
Consumer loans and other					
Balance at 1 January	71.2	54.2	167.0	–	292.4
Transfer to 12-month ECL	52.1	(49.2)	(2.9)	–	–
Transfer to lifetime ECL not credit-impaired	(18.1)	27.2	(9.1)	–	–
Transfer to lifetime ECL credit-impaired	(3.4)	(31.5)	34.9	–	–
Net remeasurement of expected credit loss	(60.3)	42.6	40.5	0.3	23.1
Unwinding of discount	–	–	6.7	–	6.7
Write-offs	–	–	(53.5)	(0.2)	(53.7)
Recoveries of amounts previously written off	12.9	–	1.3	0.7	14.9
Financial assets that have been derecognised	0.4	–	(1.3)	(0.2)	(1.1)
Foreign exchange	0.1	0.3	1.0	–	1.4
Balance at 31 December	54.9	43.6	184.6	0.6	283.7
Credit cards					
Balance at 1 January	7.8	1.2	29.6	0.1	38.7
Transfer to 12-month ECL	2.0	(1.6)	(0.4)	–	–
Transfer to lifetime ECL not credit-impaired	(1.9)	2.0	(0.1)	–	–
Transfer to lifetime ECL credit-impaired	(0.4)	(4.5)	4.9	–	–
Net remeasurement of expected credit loss	(2.6)	3.7	2.9	–	4.0
Unwinding of discount	–	–	2.4	–	2.4
Write-offs	–	–	(5.0)	–	(5.0)
Recoveries of amounts previously written off	–	–	0.2	0.2	0.4
Reclassification between categories	–	–	(0.5)	–	(0.5)
Foreign exchange	–	0.1	–	–	0.1
Balance at 31 December	4.9	0.9	34.0	0.3	40.1
Mortgages					
Balance at 1 January	2.7	3.8	17.5	(1.8)	22.2
Transfer to 12-month ECL	7.1	(6.2)	(0.9)	–	–
Transfer to lifetime ECL not credit-impaired	(0.8)	2.3	(1.5)	–	–
Transfer to lifetime ECL credit-impaired	(0.7)	(2.6)	3.3	–	–
Net remeasurement of expected credit loss	2.1	7.5	1.6	(0.3)	10.9
Unwinding of discount	–	–	1.9	–	1.9
Write-offs	–	–	(2.0)	–	(2.0)
Recoveries of amounts previously written off	–	–	1.6	0.1	1.7
Financial assets that have been derecognised	(0.2)	–	–	2.6	2.4
Foreign exchange	0.1	0.1	–	(0.4)	(0.2)
Balance at 31 December	10.3	4.9	21.5	0.2	36.9
Car loans					
Balance at 1 January	2.6	0.5	10.1	–	13.2
Transfer to 12-month ECL	0.9	(0.8)	(0.1)	–	–
Transfer to lifetime ECL not credit-impaired	(0.4)	0.7	(0.3)	–	–
Transfer to lifetime ECL credit-impaired	(0.6)	(1.0)	1.6	–	–
Net remeasurement of expected credit loss	1.0	2.0	1.5	0.1	4.6
Unwinding of discount	–	–	0.4	–	0.4
Write-offs	–	–	(1.8)	–	(1.8)
Recoveries of amounts previously written off	–	–	1.1	–	1.1
Foreign exchange	0.2	(0.1)	0.3	–	0.4
Balance at 31 December	3.7	1.3	12.8	0.1	17.9

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS 31 DECEMBER 2024 (CONTINUED)

16. INVESTMENT FINANCIAL ASSETS

	2024	2023
Investment financial assets measured at fair value through other comprehensive income		
Debt securities	1,729.3	840.4
Equity securities	211.5	1.0
Investment financial assets measured at fair value through other comprehensive income, pledged under repurchase agreements		
Debt securities	1,152.8	1,567.3
Total investment financial assets measured at fair value through other comprehensive income	3,093.6	2,408.7
Investment financial assets mandatorily measured at fair value through profit or loss		
Debt securities	430.7	11.4
Equity securities	59.4	45.7
Investment financial assets mandatorily measured at fair value through profit or loss, pledged under repurchase agreements		
Equity securities	—	1.1
Total investment financial assets mandatorily measured at fair value through profit or loss	490.1	58.2
Investment financial assets measured at amortised cost		
Debt securities	1,218.8	809.8
Less: Expected credit loss	(1.9)	(0.8)
Investment financial assets measured at amortised cost, pledged under repurchase agreements		
Debt securities	605.7	625.9
Less: Expected credit loss	(0.2)	(0.2)
Total investment financial assets measured at amortised cost	1,822.4	1,434.7
Total investment financial assets	5,406.1	3,901.6

17. LAND, PREMISES AND EQUIPMENT

2024	Land and premises	Equipment	Construction in progress	Equipment in operating lease	Right-of-use assets	Total
Cost or revalued amount						
Opening balance at 1 January	188.5	229.0	49.3	27.2	68.4	562.4
Acquisitions of subsidiaries	0.1	5.7	—	—	2.4	8.2
Disposals of subsidiaries	(1.9)	(0.5)	(0.2)	—	(0.2)	(2.8)
Additions	2.5	3.3	76.0	—	13.3	95.1
Transfers and reclassifications	(14.2)	68.9	(72.6)	(11.7)	—	(29.6)
Disposals	(1.8)	(9.8)	(0.3)	(1.5)	—	(13.4)
Write-off as a result of discontinuance	(0.1)	(0.2)	(0.4)	—	(7.2)	(7.9)
Impairment	(2.0)	(0.7)	(1.2)	—	—	(3.9)
Reversal of impairment	4.6	—	3.3	0.2	0.1	8.2
Reassessment	26.0	—	—	—	—	26.0
Elimination of accumulated depreciation on overvalued fixed assets	(9.0)	—	—	—	—	(9.0)
Reassessment and modification of right-of-use assets	—	—	—	—	(2.0)	(2.0)
Effect of translation	0.4	0.4	—	—	—	0.8
Closing balance at 31 December	193.1	296.1	53.9	14.2	74.8	632.1
Accumulated depreciation						
Opening balance at 1 January	5.7	96.1	—	8.0	32.2	142.0
Depreciation charge	3.6	35.1	—	1.7	9.2	49.6
Disposals	(0.4)	(7.2)	—	(0.5)	—	(8.1)
Disposals of subsidiaries	(0.1)	(0.1)	—	—	—	(0.2)
Write-off as a result of discontinuance	(0.1)	(0.1)	—	—	(2.3)	(2.5)
Elimination of accumulated depreciation on overvalued fixed assets	(9.0)	—	—	—	—	(9.0)
Transfers and reclassifications	—	—	—	(5.4)	—	(5.4)
Effect of translation	0.3	0.2	—	(0.1)	(0.1)	0.3
Reassessment and modification of right-of-use assets	—	—	—	—	(3.4)	(3.4)
Closing balance at 31 December	—	124.0	—	3.7	35.6	163.3
Net book amount at 31 December	193.1	172.1	53.9	10.5	39.2	468.8

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS 31 DECEMBER 2024 (CONTINUED)

17. LAND, PREMISES AND EQUIPMENT (CONTINUED)

2023	Land and premises	Equipment	Construction in progress	Equipment in operating lease	Right-of-use assets	Total
Cost or revalued amount						
Opening balance at 1 January	185.2	169.8	69.7	29.7	63.1	517.5
Acquisitions of subsidiaries	4.0	1.7	0.1	—	1.1	6.9
Additions	1.6	3.0	55.2	—	3.7	63.5
Transfers and reclassifications	6.5	59.7	(77.0)	3.1	—	(7.7)
Disposals	(7.3)	(6.6)	(0.5)	(6.3)	(0.4)	(21.1)
Write-off as a result of discontinuance	—	—	—	—	—	—
Impairment	(3.6)	(0.7)	(0.5)	—	—	(4.8)
Reversal of impairment	1.6	1.0	2.3	0.7	0.1	5.7
Reassessment and modification of right-of-use assets	—	—	—	—	0.5	0.5
Effect of translation	0.5	1.1	—	—	0.3	1.9
Closing balance at 31 December	188.5	229.0	49.3	27.2	68.4	562.4
Accumulated depreciation						
Opening balance at 1 January	2.9	75.1	—	7.7	25.0	110.7
Depreciation charge	3.8	25.8	—	2.2	9.1	40.9
Disposals	(0.5)	(5.4)	—	(1.2)	(0.2)	(7.3)
Write-off as a result of discontinuance	—	—	—	—	—	—
Transfers and reclassifications	(0.5)	0.1	—	(0.8)	(0.1)	(1.3)
Effect of translation	—	0.5	—	0.1	(0.1)	0.5
Reassessment and modification of right-of-use assets	—	—	—	—	(1.5)	(1.5)
Closing balance at 31 December	5.7	96.1	—	8.0	32.2	142.0
Net book amount at 31 December	182.8	132.9	49.3	19.2	36.2	420.4

Right-of-use assets category is mainly presented by premises.

Transfers and reclassifications include both transfers between the categories of the land, premises and equipment, and reclassifications to/from investment property and other assets.

Land and premises were revalued at fair value at 31 December 2024. The valuation was carried out by an independent firm of appraisers, who hold a recognised and relevant professional qualification and who had experience in the valuation of assets in similar locations

and in a similar category. Fair value was determined by reference to market-based evidence using comparative and direct capitalization methods.

If the premises were measured using the cost model, the carrying amounts would be as follows:

	2024	2023
Cost	234.6	249.6
Less: accumulated depreciation and impairment	(40.7)	(37.4)
Net carrying amount	193.9	212.2

18. INVESTMENT PROPERTY

	2024	2023
Investment property at 1 January	103.7	103.3
Acquisition of subsidiaries	5.0	0.1
Disposal of subsidiaries	(5.9)	(1.6)
Additions	1.1	1.7
Disposals	(15.6)	(10.1)
Reclassified (to)/from premises	6.8	3.1
Reclassified (to)/from property intended for sale in the ordinary course of business	1.5	(2.0)
Reclassified (to)/from other assets	(1.4)	1.2
Net gains/(losses) from changes in fair value	7.0	1.5
Capitalisation of expenses	6.9	5.9
Effect of translation	0.1	0.6
Investment property at 31 December	109.2	103.7

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS
31 DECEMBER 2024 (CONTINUED)

19. GOODWILL AND OTHER INTANGIBLE ASSETS

The movements in goodwill and other intangible assets were as follows:

	Computer software	Computer software under development	Other rights	Brands and trademarks	Goodwill	Total
2024						
Cost net of impairment						
Balance at 1 January	364.3	56.3	83.0	2.5	119.8	625.9
Additions	8.3	172.7	0.2	0.3	—	181.5
Acquisition of subsidiaries and banks	6.6	—	—	—	12.9	19.5
Disposal of subsidiaries and banks	(0.8)	—	(0.6)	(0.3)	(1.1)	(2.8)
Transfers and reclassifications	161.3	(163.8)	3.0	(0.1)	(0.4)	—
Disposals	(0.1)	—	(0.1)	(0.1)	—	(0.3)
Write-offs of fully amortised and impaired items	(26.9)	(0.2)	(0.1)	—	(0.5)	(27.7)
Write-off as a result of discontinuance	(17.0)	(0.6)	(0.2)	(0.3)	—	(18.1)
Effect of translation	0.6	0.1	(0.2)	0.4	—	0.9
Balance at 31 December	496.3	64.5	85.0	2.4	130.7	778.9
Accumulated amortisation						
Balance at 1 January	76.0	—	0.9	0.8	—	77.7
Amortisation charge	56.4	—	0.6	0.2	—	57.2
Disposal of subsidiaries and banks	(0.7)	—	(0.2)	—	—	(0.9)
Disposal	(0.1)	—	—	(0.1)	—	(0.2)
Transfers and reclassifications	(0.9)	—	0.9	—	—	—
Write-offs of fully amortised and impaired items	(0.4)	—	(0.1)	—	—	(0.5)
Write-off as a result of discontinuance	(8.7)	—	(0.1)	—	—	(8.8)
Effect of translation	0.2	—	—	0.2	—	0.4
Balance at 31 December	121.8	—	2.0	1.1	—	124.9
Net book amount at 31 December	374.5	64.5	83.0	1.3	130.7	654.0
2023						
Cost net of impairment						
Balance at 1 January	233.4	64.2	82.4	2.6	119.4	502.0
Additions	12.9	144.4	0.2	0.2	—	157.7
Acquisition through business combinations	0.9	—	—	1.0	2.1	4.0
Transfers and reclassifications	150.3	(150.8)	0.5	—	—	—
Disposal	(0.1)	—	—	(0.2)	—	(0.3)
Write-offs of fully amortised and impaired items	(6.0)	(0.3)	(0.1)	(1.3)	(1.7)	(9.4)
Write-off as a result of discontinuance	(27.8)	(1.3)	—	—	—	(29.1)
Effect of translation	0.7	0.1	—	0.2	—	1.0
Balance at 31 December	364.3	56.3	83.0	2.5	119.8	625.9
Accumulated amortisation						
Balance at 1 January	44.5	—	0.6	0.5	—	45.6
Amortisation charge	43.7	—	0.3	0.1	—	44.1
Write-offs of fully amortised and impaired items	(0.8)	—	—	—	—	(0.8)
Write-off as a result of discontinuance	(11.7)	—	—	—	—	(11.7)
Effect of translation	0.3	—	—	0.2	—	0.5
Balance at 31 December	76.0	—	0.9	0.8	—	77.7
Net book amount at 31 December	288.3	56.3	82.1	1.7	119.8	548.2

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS 31 DECEMBER 2024 (CONTINUED)

19. GOODWILL AND OTHER INTANGIBLE ASSETS (CONTINUED)

The table below presents the carrying amount of goodwill allocated to relevant cash-generating units (CGU) of the following entities:

	2024	2023
CGU		
"VTB Bank", PJSC	114.0	114.0
• CIB	76.1	76.1
• MSB	26.8	26.8
• RB	11.1	11.1
Subsidiaries	16.7	5.8
Net book amount	130.7	119.8

The Group management defined in the operational structure of "VTB Bank", PJSC the following key cash flow generating units ("CGUs"):

- Corporate-Investment banking ("CIB");
- Medium and Small banking ("MSB");
- Retail banking ("RB").

Each of the abovementioned segments has its internal unified systems:

- Management system under the leadership of a separate member of the Management Board of VTB Bank;
- Decision-making process and process of allocating resources;
- Bonus system.

Management reports for each CGU are prepared on a monthly basis and are reviewed by management bodies of VTB Bank, including the Management board as part of operational decision-making.

Carrying amount of CGU

The carrying amount of the relevant CGUs was determined through allocation of the adjusted VTB shareholders' equity. VTB shareholders' equity was adjusted for investment in subsidiaries and other deductions related to regulatory Group Treasury functions. The allocation was carried out in proportion to the share of economic capital determined for each CGU in accordance with the level of risk of assets and operations.

Goodwill in the total amount of RUR 114.0 billion was recognised on the acquisition of other banks that were subsequently reorganised with their assets transferred to VTB Bank. *

Goodwill was allocated to CGUs based on the amount of acquired loans and deposits, generating cash flows.

For the purpose of impairment testing the carrying amount of the relevant CGUs together with the allocated goodwill were compared to the recoverable amount of the respective CGUs.

DCF Model

The Group determines the recoverable amounts of each CGU on the basis of value in use for a 3-year forecast period up to 2027 and post-forecast period of 2028, calculated using the VTB Bank business model and macro forecast for the development of the banking market in the Russian Federation. The Group considers it necessary to determine the own development reflected the long-term trends in the development of the economy in general and banking business in particular. Future cash flows were discounted to their present value at a rate that reflected investors expected returns in the forecasted periods. Cash flows beyond 2027 period were extrapolated using estimated total growth rate of 5.5% p.a.

The assessment is based on a moderately optimistic scenario for the development of the Russian economy and the banking market, which assumes retention of average economic growth rates of 1.5-2.0%, which is associated with the effective adoption of measures by the Government of the Russian Federation in the current geopolitical situation. It is assumed that the target inflation rate of 4.0% will be achieved in the medium term.

Estimates of future cash flows were based on the most recent financial statements, as well as figures, forecasts and budgets for the relevant CGUs, in addition to the economic and market forecasts that chief decision makers approve for internal management purposes.

The following assumptions were used in the DCF model in respect of expected cash flows and the discount rate:

COR: The Cost of Risk, representing the provision charge for loan credit losses divided by average gross loans and advances to customers for each CGU, was projected on the basis of each CGU's key strategic targets and historical data.

NIM: The Net Interest Margin was projected on the basis of a CGU's key strategic targets, expected business profitability and the historical level for each CGU.

CIR: The Cost to Income ratio was projected on the basis of a CGU's key strategic targets, expected cost reduction, efficiencies following the large-scale digitalization and the historical levels for each CGU.

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS
31 DECEMBER 2024 (CONTINUED)

19. GOODWILL AND OTHER INTANGIBLE ASSETS (CONTINUED)

DCF Model (continued)

Discount rate: The CAPM-based discount rates was determined on the basis of RUR and foreign currency risk-free interest rates, a market risk premium and beta as a measure of systematic market risk. The market risk premium and beta were derived from public sources of information, while the risk-free interest rates for the terminal period were derived both from public and internal sources of information.

The Group applied different discount rate for different future periods based on its expectation of decrease of the risk free rate.

Variations in all of these components might impact the calculation of expected cash flows and might have a material effect on the recoverable amounts of respective CGUs.

Sensitivity of recoverable amount to possible changes in key assumptions

The tables show the impact that possible changes in our key assumptions might have on the recoverable amount of the relevant CGUs in terms of the goodwill impairment recognition.

CGU	Key assumption	Reasonably possible change	Change in key assumptions resulting in recoverable amount to equal carrying amount
2024			
CIB	NIM	-0.60%	-0.30%
MSB	NIM	-0.60%	-0.60%
RB	NIM	-0.60%	-0.27%
CIB	COR	+100	+33
MSB	COR	+100	+60
RB	COR	+100	+28
2023			
CIB	NIM	-0.60%	-0.35%

20. OTHER ASSETS

	2024	2023
Other financial assets at amortised cost:		
Amounts in course of settlement	302.5	269.1
Accrued income	111.2	53.6
Trade receivables and advances issued	20.2	25.1
Other	86.3	52.4
Total other financial assets at amortised cost before allowance for impairment	520.2	400.2
Less: loss allowance	(143.9)	(135.2)
Total other financial assets at amortised cost	376.3	265.0
Other financial assets at fair value through profit or loss	465.8	40.7
Total other financial assets	842.1	305.7
Other assets related to non-financial activities	92.4	51.7
Other non-financial assets accounted at cost less impairment	51.6	35.7
Tax prepayments	49.2	44.8
Precious metals accounted at fair value	35.8	16.0
Other non-financial assets at fair value through profit or loss	0.6	—
Total other non-financial assets	229.6	148.2
Requirements related to reinsurance contracts held	6.0	5.8
Total other assets	1,077.7	459.7

The following table shows reconciliation from the opening to the closing balance of the expected credit loss (ECL) of other financial assets at amortised cost.

	2024				
	12-month ECL	Lifetime ECL not credit-impaired	Lifetime ECL credit-impaired	Purchased credit-impaired	Total
Balance at 1 January	2.9	1.0	130.8	0.5	135.2
Transfer to 12-month ECL	0.3	(0.1)	(0.2)	—	—
Transfer to lifetime ECL not credit-impaired	(0.3)	0.2	0.1	—	—
Transfer to lifetime ECL credit-impaired	—	(0.4)	0.4	—	—
Net remeasurement of ECL	3.0	0.1	(0.3)	(0.8)	2.0
Write-offs	(0.1)	(0.4)	(0.7)	(0.3)	(1.5)
Recoveries of amounts previously written off	0.8	—	0.7	1.2	2.7
Foreign exchange	(1.0)	0.4	7.1	(1.0)	5.5
Balance at 31 December	5.6	0.8	137.9	(0.4)	143.9

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS 31 DECEMBER 2024 (CONTINUED)

20. OTHER ASSETS (CONTINUED)

	2023				
	12-month ECL	Lifetime ECL not credit- impaired	Lifetime ECL credit- impaired	Purchased credit- impaired	Total
Balance at 1 January	0.7	0.9	116.3	–	117.9
Transfer to 12-month ECL	0.4	(0.1)	(0.3)	–	–
Transfer to lifetime ECL not credit-impaired	(0.1)	0.1	–	–	–
Transfer to lifetime ECL credit-impaired	–	(0.5)	0.5	–	–
Net remeasurement of ECL	1.8	0.4	1.7	0.5	4.4
Write-offs	(0.1)	–	(1.6)	(0.2)	(1.9)
Recoveries of amounts previously written off	–	–	1.6	0.3	1.9
Foreign exchange	0.2	0.2	12.6	(0.1)	12.9
Balance at 31 December	2.9	1.0	130.8	0.5	135.2

21. DUE TO OTHER BANKS

	2024	2023
Sale and repurchase agreements with other banks	1,550.0	663.7
Term loans and deposits	599.4	785.5
Correspondent accounts and overnight deposits of other banks	234.5	228.1
Total due to other banks	2,383.9	1,677.3

22. CUSTOMER DEPOSITS

	2024	2023
Government bodies	2,597.9	1,894.6
Other legal entities	10,600.5	8,829.0
Individuals	13,008.9	9,601.5
Sale and repurchase agreements	719.5	2,021.7
Total customer deposits	26,926.8	22,346.8

23. OTHER BORROWED FUNDS

	2024	2023
Funds from local central banks:	1,238.7	721.3
• Term deposits from	733.2	720.3
• Sale and Repurchase Agreements	505.5	1.0
Syndicated loans	–	1.1
Other borrowings	235.1	326.5
Total other borrowed funds	1,473.8	1,048.9

24. DEBT SECURITIES ISSUED

	2024	2023
Bonds	377.0	263.2
Promissory notes	49.1	53.7
Total debt securities issued	426.1	316.9

In 2024 bonds in amount of RUR 172.6 billion were redeemed and new bonds issued in the amount of RUR 286.4 billion. The three largest new bonds issues in the amount of RUR 200.0 billion have maturity of 2 to 5 years and coupon of 21.97% to 23.44%.

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS 31 DECEMBER 2024 (CONTINUED)

25. SUBORDINATED DEBT

	Maturity	2024	2023
Subordinated deposit	2031	59.3	59.3
Subordinated deposit	2031	19.7	19.5
Subordinated bond	2030	19.5	19.4
Subordinated deposit	2030	0.2	0.2
Subordinated Eurobonds	2024	—	24.5
Total subordinated debt		98.7	122.9

26. OTHER LIABILITIES

	2024	2023
Other financial liabilities at amortised cost:		
Amounts in course of settlement	262.5	74.8
Lease liabilities	40.3	36.0
Initial margin and other performance collateral received	31.0	29.6
Other	75.6	41.7
Total other financial liabilities at amortised cost	409.4	182.1
Other financial liabilities at fair value through profit or loss:		
Obligation to deliver securities	27.5	45.8
Other	15.5	29.7
Total other financial liabilities at fair value through profit or loss	43.0	75.5
Provisions for credit related commitments and financial guarantees (Note 31)	56.9	57.1
Total other financial liabilities	509.3	314.7
Other non-financial liabilities accounted at cost:		
Payable to employees	80.4	66.9
Liabilities to pay taxes	39.2	33.5
Provisions for performance guarantees and legal claims (Note 31)	15.1	21.2
Other	48.4	40.4
Total other non-financial liabilities accounted at cost	183.1	162.0
Total other liabilities	692.4	476.7

27. SHARE CAPITAL

Authorised, issued and fully paid share capital of the Bank comprises:

	2024		2023	
	Number of shares	Nominal amount	Number of shares	Nominal amount
Ordinary shares	5,369,933,893.0	277.0	26,849,669,465,190	277.0
• Ordinary treasury shares	(79,925,429.0)		(393,609,499,969)	
• Ordinary shares outstanding	5,290,008,464.0		26,456,059,965,221	
Type 1 preference shares	21,403,797,025,000	214.0	21,403,797,025,000	214.0
Type 2 preference shares	3,073,905,000,000	307.4	3,073,905,000,000	307.4
Total Share capital		798.4		798.4

Contributions to the Bank's share capital were originally made in RUR, foreign currency and gold bullion. All ordinary shares have nominal value of RUR 0.01, rank equally and carry one vote.

Preference shares Type 1 have a nominal value of RUR 0.01 per share, preference shares Type 2 have a nominal value of RUR 0.1 per share. Type 1 and Type 2 preference shares are non-convertible and non-voting preference. Shares with dividends payable subject to the decision of the General Meeting of VTB shareholders.

On 30 January 2023, the General Meeting of Shareholders of VTB Bank decided to increase the bank's authorised capital by a nominal amount of RUR 301.96 billion by placing additional ordinary shares.

The placement price of additional ordinary shares was determined in the amount of RUR 0.017085 per one share with nominal value of RUR 0.01.

On 25 April 2023, the Extraordinary General Meeting of Shareholders of VTB Bank decided to increase the bank's authorised capital by a nominal amount of RUR 93.0 billion by placing additional ordinary shares.

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS 31 DECEMBER 2024 (CONTINUED)

27. SHARE CAPITAL (CONTINUED)

The placement price of additional ordinary shares was determined in the amount of RUR 0.018225 per one share with nominal value of RUR 0.01.

In June 2023 additional ordinary shares with nominal value of RUR 51.5 billion were purchased by third parties (including persons having a pre-emptive right to purchase shares). Contributions received were recognized within the Bank's share capital and share premium and comprised of cash payments.

On 7 June 2024, the General Shareholders' Meeting of VTB Bank adopted a resolution on consolidation of issued ordinary shares on the following terms and conditions:

- Number of ordinary shares to be consolidated before increase in their nominal value: 26,849,669,465,190 ordinary shares of VTB Bank (PJSC);

- Nominal value of an ordinary share before consolidation: RUR 0.01;
- Number of ordinary shares to be consolidated into one ordinary share of the same category (consolidation ratio): 5,000 ordinary shares of VTB Bank (PJSC) with a nominal value of RUR 0.01 each are converted into 1 ordinary share with a nominal value of RUR 50 each (5,000:1);
- Number of ordinary shares after consolidation: 5,369,933,893,038 ordinary shares of VTB Bank (PJSC);
- Nominal value of an ordinary share after consolidation: RUR 50.

In July 2024, the Bank completed the announced consolidation of issued ordinary shares.

28. PERPETUAL BONDS AND LOAN PARTICIPATION NOTES

	Currency*	2024	2023
Perpetual loan participation notes	Other currencies	228.8	201.7
Perpetual bonds	RUR	137.2	137.2
Perpetual bonds*	Other currencies	100.8	88.9
Perpetual bonds*	Other currencies	30.5	28.7
Total perpetual bonds and loan participation notes		497.3	456.5

In December 2022, in accordance with the terms of the issue, VTB made a decision to suspend payments on perpetual loan participation notes (beginning with payment in December 2022 until the Bank resumes payment of dividends on ordinary shares) and perpetual bonds (in respect of coupon income accrued in 2023).

In fourth quarter 2023 VTB made a decision to resume payments on perpetual bonds starting coupon income with payment dates attributable to 2024.

In the second quarter of 2024, the placement of USD-denominated perpetual replacement loan participation notes was completed. The nominal value of the placed replacement perpetual loan participation notes amounted to 1.7 billion in currency equivalent.*

29. OTHER RESERVES

Movements in other reserves were as follows:

	Fair value reserve for debt and equity investment financial assets	Land and premises revaluation reserve	Insurance finance reserve	Currency translation difference	Total
2022	20.2	31.2	—	(2.7)	48.7
Total comprehensive (loss)/income for the period	(13.9)	0.4	7.2	14.6	8.3
Transfer of premises revaluation reserve upon disposal or depreciation	—	(2.5)	—	—	(2.5)
Disposal of subsidiaries	—	(0.5)	—	—	(0.5)
Acquisition of non-controlling interests and other capital transactions	(0.1)	—	—	—	(0.1)
2023	6.2	28.6	7.2	11.9	53.9
Comprehensive (loss)/income for the period, total	(66.3)	19.7	60.4	7.3	21.1
Transfer of premises revaluation reserve upon disposal or depreciation	—	(0.4)	—	—	(0.4)
Disposal of subsidiaries	—	(0.3)	—	(0.9)	(1.2)
Acquisition of non-controlling interests and other capital transactions	0.1	0.1	—	—	0.2
2024	(60.0)	47.7	67.6	18.3	73.6

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS 31 DECEMBER 2024 (CONTINUED)

30. DIVIDENDS DECLARED

In accordance with the VTB dividend policy as approved by the Supervisory Council on 29 January 2016 dividends are distributed based on an annual IFRS net profit. The Supervisory Council proposes the amount of dividends for the approval by the Annual General Meeting of VTB. The approved dividend amounts are paid out to eligible shareholders within 25 working days.

Following the decision approved by the Extraordinary General Meeting of VTB shareholders on 8 December 2016 the amount of dividends on Type 1 preference shares and Type 2 preference shares may be determined upon results of the first three months, six months and nine months of the reporting year, and/or upon results of the reporting year by the General Shareholders Meeting on the recommendation of the Supervisory Council.

The General Annual Meeting of VTB Shareholders, held in June 2024, decided not to pay dividends for 2023 on ordinary shares, as well as preference shares of the first and second types.

The General Annual Meeting of VTB Shareholders, held in June 2023, decided not to pay dividends for 2022 on ordinary shares, as well as preference shares of the first and second types.

Other changes in shareholder' equity include expenses on financing the construction of social infrastructure facilities as part of the fulfillment of the order of the major shareholder. *

31. CONTINGENCIES AND COMMITMENTS

LEGAL PROCEEDINGS

From time to time and in the normal course of business, claims against the Group are received. As at the reporting date the Group had several unresolved legal claims. Management assessed probable outflow of resources and the respective provision in the amount of RUR 7.9 billion has been made as at 31 December 2024 (31 December 2023: RUR 7.7 billion).

TAX CONTINGENCIES

Major part of the Group's business activity is carried out in the Russian Federation. Russian tax, currency and customs legislation as currently in effect is vaguely drafted and is subject to varying interpretations, selective and inconsistent application and changes, which can occur frequently and unpredictable, and may apply retrospectively.

In particular, numerous and substantial changes were introduced to the Russian tax legislation in 2022-2024 in response to the ongoing geopolitical situation. Some of the changes were designed to ease the effects of economic sanctions imposed on Russian taxpayers. Other changes sought to expand measures aimed at deterring abusive practices violating the tax legislation. In addition, certain provisions of a number of international tax treaties were suspended. *

Currently the application practice for the above as well as other legislative provisions (e.g., prohibition of taxable

base reduction and/or amounts payable when the main purpose of the transaction is non-payment (partial payment) and/or netting (recovery) of the tax amount) is not-existing or is contradictory. In this regard there is an uncertainty concerning their application and possible interpretation by Russian tax authorities. *

In addition, recent trends in law enforcement practice indicate that tax authorities and courts may take a tougher position when interpreting legislation and verifying tax obligations, including when applying this legislation to financial transactions, as well as when applying provisions aimed at identifying transactions whose main purpose is non-payment (incomplete payment) of the amount of tax. As a result, the tax authorities may file claims for those transactions and accounting methods for which they had not previously filed claims. Therefore, Management's interpretation of such legislation as applied to the transactions and activities of the Group may be challenged by the relevant state authorities. As a result, significant additional taxes, penalties and fines may be accrued by the relevant authorities.

Currently the application practice for the above as well as other legislative provisions (e.g., prohibition of taxable base reduction and/or amounts payable when the main purpose of the transaction is non-payment (partial payment) and/or netting (recovery) of the tax amount) is not-existing or is contradictory. In this regard there is an uncertainty concerning their application and possible interpretation by Russian tax authorities.

31. CONTINGENCIES AND COMMITMENTS (CONTINUED)**TAX CONTINGENCIES (CONTINUED)**

In addition, recent trends in law enforcement practice indicate that tax authorities and courts may take a tougher position when interpreting legislation and verifying tax obligations, including when applying this legislation to financial transactions, as well as when applying provisions aimed at identifying transactions whose main purpose is non-payment (incomplete payment) of the amount of tax. As a result, the tax authorities may file claims for those transactions and accounting methods for which they had not previously filed claims. Therefore, Management's interpretation of such legislation as applied to the transactions and activities of the Group may be challenged by the relevant state authorities. As a result, significant additional taxes, penalties and fines may be accrued by the relevant authorities.

The Russian transfer pricing legislation as currently in effect allows the Russian tax authorities to adjust incomes and expenses for tax purposes and make additional tax charges in respect of all "controlled" transactions if the transaction price differs from the market level of prices unless the Group is able to prove the use of market prices with respect to the "controlled" transactions. For the years ended 31 December 2024 and 31 December 2023 the Group has determined its tax liabilities arising from controlled transactions using actual transaction prices.

In August 2023 a windfall tax law related to profit of previous years was imposed in Russian Federation, stipulating that starting 1 January 2024 a one-time tax is provided for large companies with simple average profit for the 2021-2022 years exceeding RUR 1.0 billion. The excess of simple average profit for the 2021 and 2022 years over the similar amount for the 2018 and 2019 years will be taxable. By assessment of the Group's management, the Group is out of scope of the windfall tax imposed.

The Group includes companies incorporated outside of Russia that are taxed pursuant to the provisions of the tax legislation of the jurisdictions of their tax residence. Tax liabilities of the foreign companies of the Group for the years ended 31 December 2024 and 31 December 2023 were determined on the basis that non-Russian companies of the Group do not qualify as Russian tax residents, has no permanent establishment in Russia and hence were not subject to Russian profits tax except for Russian tax withheld at source (i.e. dividend, interest, certain capital gains, etc.).*

There are still uncertainties in Russian tax legislation related to the rules of taxation of foreign companies. It remains likely that with the development of these rules and a change in the approach of Russian tax authorities and courts to their interpretation and application, the

status of some or all Group's foreign companies as exempt from income tax in the Russian Federation may change. In this case, taxation of foreign companies can be carried out according to the same rules as taxation of Russian companies.

Generally, fiscal periods remain open and subject to review (except reviews of transfer pricing) by the Russian tax authorities for a period of three calendar years immediately preceding the year in which the decision to conduct a tax review is taken (exception to the general statute of limitation for the tax audits is provided by the cooperative tax compliance regime, which some of the entities of the Group have entered into). Under certain circumstances tax reviews may cover longer periods.

As at 31 December 2024 and 31 December 2023, management believes that its interpretation of the relevant legislation is appropriate and that the Group's tax, currency and customs positions should be sustained vis-à-vis tax authorities and courts.

CREDIT RELATED COMMITMENTS

The primary purpose of these instruments is to ensure that funds are available to a customer as required.

Guarantees represent irrevocable assurances that the Group will make payments in the event that a customer cannot meet its obligations to third parties. Documentary and commercial letters of credit (L/Cs), which are written undertakings by the Group on behalf of a customer authorizing a third party to draw drafts on the Group up to a stipulated amount under specific terms and conditions, are collateralized by cash deposits and therefore carry less risk than direct borrowings.

Commitments to extend credit represent unused portions of authorizations to extend credit in the form of loans, guarantees or letters of credit. With respect to credit risk on commitments to extend credit, the Group is potentially exposed to loss in an amount equal to the total unused commitments. However, the likely amount of loss is less than the total unused commitments since most commitments to extend credit are contingent upon customers maintaining specific credit standards and/or the Bank confirming its willingness to extend a loan.

The Group monitors the term to maturity of credit related commitments because longer-term commitments generally have a greater degree of credit risk than shorter-term commitments

The total outstanding contractual amount of irrevocable undrawn credit lines, letters of credit and guarantees does not necessarily represent future cash requirements, as these financial instruments may expire or terminate without being funded.

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS 31 DECEMBER 2024 (CONTINUED)

31. CONTINGENCIES AND COMMITMENTS (CONTINUED)

CREDIT RELATED COMMITMENTS (CONTINUED)

Outstanding credit related commitments are as follows:

	2024	2023
Financial guarantees issued	253.5	202.6
Undrawn credit lines (irrevocable)	31.7	23.8
Letters of credit	7.6	31.9
Less: Expected credit loss	(4.7)	(5.9)
Total credit related commitments	288.1	252.4

As at 31 December 2024 revocable loan commitments amounted to RUR 9,259.6 billion with the expected ECL of RUR 52.2 billion (31 December 2023: RUR 8,207.8 billion with the expected ECL of RUR 51.2 billion).

The expected ECL is disclosed within provision for credit related commitments.

ECL for credit-related commitments and financial guarantees are recorded within other financial liabilities (Note 26).

The table below shows credit related commitments by credit quality risk grades and by ECL stages:

	2024			Total
	12-month ECL	Lifetime ECL not credit-impaired	Lifetime ECL credit-impaired	
Loan commitments (irrevocable)				
• Pass	28.0	6.6	–	34.6
• Watch	1.6	–	–	1.6
• Sub-Standard	1.4	1.7	–	3.1
Financial guarantees				
• Pass	226.4	2.3	–	228.7
• Watch	0.6	0.6	–	1.2
• Sub-Standard	8.5	13.3	0.2	22.0
• Doubtful	–	–	1.6	1.6

	2023				Total
	12-month ECL	Lifetime ECL not credit-impaired	Lifetime ECL credit-impaired	Purchased credit-impaired	
Loan commitments (irrevocable)					
• Pass	45.1	5.8	–	–	50.9
• Watch	1.5	0.3	–	–	1.8
• Sub-Standard	2.7	0.3	–	–	3.0
Financial guarantees					
• Pass	174.5	1.4	–	–	175.9
• Watch	5.0	–	–	–	5.0
• Sub-Standard	10.3	6.9	4.1	–	21.3
• Doubtful	–	–	0.1	0.3	0.4

PERFORMANCE GUARANTEES

Performance guarantees are contracts that provide compensation if another party fails to perform a contractual obligation. Performance guarantees are initially recognised at their fair value, which is normally evidenced by the amount of fees received. This amount is amortised on a straight line basis over the life of the contract.

Performance guarantees do not transfer credit risk. The risk under performance guarantee contracts is the possibility that the failure to perform the contractual obligation by another party occurs.

As at 31 December 2024, the Group has provided performance guarantees in the gross amount of RUR 1,119.4 billion (31 December 2023: RUR 1,053.3 billion).

As at 31 December 2024 provisions for performance guarantees amounted to RUR 6.9 billion (31 December 2023: RUR 13.3 billion).

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS 31 DECEMBER 2024 (CONTINUED)

RISK

32. OPERATING ENVIRONMENT OF THE GROUP.....	49
33. FINANCIAL RISK MANAGEMENT*	50
- CREDIT RISK	51
- MARKET RISK	57
- PRICE RISK	58
- LIQUIDITY RISK AND CONTRACTUAL MATURITY ANALYSIS	58
- CURRENT AND NON-CURRENT ASSETS AND LIABILITIES	62
- GEOGRAPHICAL CONCENTRATION	63
34. FAIR VALUE MEASUREMENT.....	65
35. CAPITAL MANAGEMENT AND CAPITAL ADEQUACY*	71

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS
31 DECEMBER 2024 (CONTINUED)**32. OPERATING ENVIRONMENT OF THE GROUP**

After 24 February 2022 the economic situation in the Russian Federation was negatively affected by international sanctions imposed against certain institutional bodies, companies, banks and citizens of Russia. Sanctions similar in scale and nature were imposed against the Republic of Belarus. New restrictions and sanction packages continue to be put into effect so far.

The announced sanctions imposed by the US, the EU, the UK and a number of other countries consider, among other things the partial freezing of the gold and foreign exchange reserves of the Bank of Russia, restrictions on access to European capital markets for the Ministry of Finance of the Russian Federation and the Bank of Russia, restrictions for residents of the Russian Federation on investing in instruments denominated in USD and EUR, as well as a number of other restrictive measures relating settlements, import and export operations with certain Russian banks and companies. The supply of EUR and USD cash banknotes to the Russian Federation is prohibited. A number of foreign companies suspended their operations in Russia or announced their complete cessation.

The USA, the EU, the UK and a number of other countries have imposed an embargo on the import of Russian oil by sea and set a price-cap on Russian tanker oil at 60 USD per 1 barrel.

In connection with the current regime of sanctions restrictions, payments on interest and dividends do not go in favor of equity and debt securities holders registered outside the perimeter of the depository system of the Russian Federation. The Bank of Russia restricted exchange trading in foreign securities blocked by international depositories. In July 2022, in accordance with Federal Law 292-FZ, Russian issuers were given the opportunity to issue local "substitute" bonds in a simplified manner to replace issued blocked Eurobonds.

Standard agreements operated under the ISDA (International Swaps and Derivatives Association) were early terminated after the announcement of sanctions in February 2022, which led to limited access to international derivatives markets.

Restrictions on making settlements in foreign currencies and investing in financial instruments denominated in foreign currencies lead to a significant change in the currency structure of settlements and the open currency position. Given significant volatility in foreign exchange rates, limited cross-border financial flows and implementation of secondary sanctions effects against international counterparties, such forced changes could have a material adverse effect on the Group's financial results.

The Government and the Central Bank of Russia have taken a number of measures to support the economy, which has suffered due to the imposition of sanctions. Among other things, these measures include borrowing subsidies for affected industries, companies and individuals, payment "holidays" and easing of certain regulatory restrictions to help the financial sector maintain its capabilities to provide resources and to help customers avoid liquidity shortages. The imposed measures help to reduce the negative impact of external factors and ensured the gradual stabilization of the situation, allowing to cancel some of mitigations imposed by Central Bank of Russia, especially in terms of macroprudential policy.

In 2024 GDP growth and increase of economic activity in Russian Federation exceed expected balanced growth path that result in significant misbalance between supply and demand. The upward deviation of the Russian economy from the balanced growth path has been mainly driven by domestic demand. The expansion of private demand along with a continuously high level of public demand supports steady growth of domestic demand. The growth in consumer activity is propelled by rising real wages and lending. Significantly increased profits of companies and positive business sentiment, including due to fiscal stimulus, support high investment demand.

Households' inflation expectations and businesses' price expectations have increased in comparison with average level of those indicators in 2023. In reaction to the increase of inflationary pressures and strengthening of pro-inflationary factors Bank of Russia made consistent decisions to increase of the key rate up to the new record level of 21%.

During 2024, selected macroeconomic indicators in Russia were as follows:

	31 December 2024	30 September 2024	30 June 2024	31 March 2024	31 December 2023
Key rate of the Central Bank of the Russian Federation (% per annum)	21.0	19.0	16.0	16.0	16.0
Exchange rate of the Central Bank of the Russian Federation (rubles per 1 US dollar)	101.6797	92.7126	85.7480	92.3660	89.6883
RTS index	893.22	965.64	1,158.85	1,136.91	1,083.48

Due to the high level of uncertainty and limited up-to-date and consistent information on the financial position of the Group's counterparties and borrowers, it is hardly possible to present a reliable assessment of the impact of the changes in the economic environment on the Group's results.

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS
31 DECEMBER 2024 (CONTINUED)

33. FINANCIAL RISK MANAGEMENT*

The Group is exposed to financial risks, including credit, liquidity, market and country risks.

One of the key approaches to VTB Group's financial risks management is ensuring VTB Group activities with respect to the risk-appetite.

VTB Group risk-appetite is a system of quantitative and quality measures, which defines a target aggregated level / risk profile that VTB Group is capable and/or willing to accept taking into account requirements of interested parties in order to achieve the goals established by development strategy / business plans for the following period.

In accordance with "VTB Group Consolidated Risk Management Concept" and the Group's business model risk management system of VTB Group has a multilevel structure which includes:

- Consolidated level of the Group;
- Local level of Group members/subholdings within the Group.

Risk management organization structure in VTB Group includes:

- Collegial bodies (committees) of the Group;
- Collegial bodies (committees) of VTB Bank as a parent company of the banking group;
- Office (chief risk manager of the Group and risk competence centres of the Group);
- Local governing bodies, working collegial bodies (committees), structural divisions / authorized officers of the Group's participants.

Organization structure of risk and capital management in banking members of the Group considers: establishment of the appropriate authorities and special collegial bodies, responsible for the specific risk and capital management; appointment of the Chief Risk Officer, responsible for the complex risk management in the bank; establishment of one or several separate divisions responsible for risk and capital management (depending on extent and types of transactions performed / risks accepted – in accordance with the "pro-rata principle").

In the non-banking subsidiaries (leasing, factoring, non-state pension fund, etc.) whose activity implies exposure to financial risks the general principles of risk management organization are the same as in banking subsidiaries of Group.

The consolidated risk management function of VTB Group is centralised and is carried out by VTB Bank. The main divisions responsible for risk management at the level of Group in VTB Bank organizational structure are Department of Integrated Risk Management, Corporate Credit Risk Department, Retail Credit Risks Department, Underwriting Department, Collateral Department, Model Risk and Validation Department and Department of Expertise and Fraud Monitoring.

VTB Bank's Supervisory Council according to requirements of the Bank of Russia carries out risk management functions of Group (in particular, approves

and regularly reconsiders the risk and capital management strategy of the Group, including key risk appetite parameters, considers regular significant risks and capital adequacy of the Group and its participant's reports).

The Management Board of VTB bank has overall responsibility for risk management at VTB Group.

Additionally, on the Group level a number of collegial bodies performs day-to-day coordination of consolidated risk management activities. For effective functioning of the risk management system on the Groups' level GMC determines the conception of risk management in the Group, takes decisions in area of appropriate procedures for day-to-day and prospective risk management.

Risk management methodological and operational issues are considered by special committees and authorized divisions / risk competence centers of the Group. Functions and competences of management and collegial bodies, divisions and officials of parent bank and subsidiaries in area of risk and capital management on local and consolidated levels are determined by charters and by respective regulations of the Group participants.

VTB Bank as a holding company of the Group has the following committees: Credit and Market Risk Management (CMRMC), Retail Risk Committee (RRC) and the Finance Committee (FC).

The main objectives of FC in terms of risk management of the Group are:

- Improving the risk and capital management system on local and consolidated levels;
- Management of risks profile and capital management of the Bank on local and consolidated levels;
- Management of the interest rate risk of the Banking book (including Treasury' portfolio of securities) and the liquidity risk (including concentration of liquidity sources) of the Bank on local and consolidated levels;
- The definition of policies in the field of internal and external pricing and the formation of the principles of a funding system for operations.

The main objective of CMRMC regarding the Group's risk management is improving the management system for core types of risks (core risks include credit risks, market risks: risk of Trading book and currency risk in open currency position in the Banking Book, concentration risk (except for the risk of concentration of liquidity sources), country (political) risk on local and consolidated levels.

The main objective of RRC is identification of priority areas, approaches and standards, recommendations in retail credit risk management on consolidated level.

Information on other committees of financial risks management of VTB Group is disclosed below in sections by types of risks.

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS
31 DECEMBER 2024 (CONTINUED)**33. FINANCIAL RISK MANAGEMENT (CONTINUED)****CREDIT RISK**

Credit risk means the risk of Group' losses as a result of non-performance (improper performance) by the counterparty of its obligations to the Group Companies.

VTB Group's exposures to credit risk arise principally from banking activities such as:

- Lending (placement of funds), including participation in syndicated loans, funded and not-funded deals of risk participation;
- Issuance of unpaid letters of credit and guarantees;
- Purchase of debt securities;
- Purchase of rights to claim;
- Granting loans in gold and securities;
- Purchase (sale) of financial assets with deferred payment (delivery of financial assets);
- Trading in derivative financial instruments.

The credit risk management system ensures the management of all its subtypes and includes an assessment of the impact of sustainable development risk factors on this type of risk.

The specified system is formed from the corporate and retail credit risk management system.

As part of the credit risk management system, credit concentration risk is also assessed and controlled in order to maintain the optimal volume of requirements for one counterparty / groups of related counterparties / industries / regions, etc.

Depending on their business model, as provided for by the current development strategy, Group companies may enter into relevant transactions (operations) entailing the assumption of credit risk in relation to various counterparties (corporate clients, sovereign borrowers, financial institutions, individuals), the specifics of which are taken into account in the credit risk assessment and management methods.

At the Group level, the competence to make decisions on transactions bearing credit risk is distributed within the framework of a system of specialized collegial bodies under the VTB Group Management Committee (the main bodies are credit committees of various client segments), the composition and powers of which are determined by decisions of the VTB Group Management Committee.

The Group's collegial bodies act within the powers established in the regulations on these bodies.

In subsidiary companies' system of responsibility for making decisions on transactions bearing credit risk is provided for by the charter and/or other internal documents of the company, taking into account approaches to a consistent system of distribution of responsibility for making decisions on transactions bearing credit risk, defined by the standards (decisions) of the Groups.

The key elements of consolidated credit risk management in the VTB Group are as follows:

- Periodic review of the credit risk policies of the VTB Group, harmonising and streamlining of credit policies of the subsidiaries in accordance with the Group's credit policy;
- Setting of consolidated limits, portfolio limits (including limits on common counterparties/groups of related counterparties, countries, industry sectors), internal indicative limitations of large credit exposure;
- Unifying credit procedures and methods of credit risk assessment (credit rating systems – for corporate customers and financial institutions, and also rating (scoring) systems – for retail customers);
- Optimization of business procedures for problem (low-quality) assets, incl. with the involvement of the third parties on the terms and conditions of the contract in compliance with current legislation;
- Improving the credit decision system quality;
- Unification and standardization of the technological processes of credit products production and realization with "mass" credit conditions;
- Assessment of economic capital (Capital-at-Risk) sufficient to cover Group credit risks;
- Consolidated analytical reporting on credit risks;
- Stress-testing;
- Creating/monitoring provisions for ECL according to IFRS.

The Group-wide policies and other documents, which are adopted by the GMC and its relevant sub-committees, as well as other collegial bodies (committees) of the Group, which provide control over credit risk management in the Group, outline the main approaches and standards of risk management and organisation of credit operations in the Group. These principles should be complied with by each subsidiary bank and separate financial companies of the Group.

Subsidiary banks should implement credit risk management system as well as credit procedures in compliance with the Group's standards.

Credit risk policies are adopted by each subsidiary bank and are subject to a regular review, usually once in one or two years.

The general (typical) procedure for adopting credit policies is as follows:

- The draft credit policies or significant amendments are subject to the preliminary consideration and agreement by VTB bank;
- The credit policies and amendments should be approved by the Supervisory Council (Board of Directors) of the subsidiary bank;
- VTB bank may propose amendments to the credit policies of a subsidiary bank as part of centralised regulation and credit risk control for the Group, provided that such amendments are in line with local regulations.

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS
31 DECEMBER 2024 (CONTINUED)**33. FINANCIAL RISK MANAGEMENT (CONTINUED)****CREDIT RISK (CONTINUED)**

The responsibilities of management and executive bodies of the Group members in relation to decision making and lending transactions are determined by their constituent documents and applicable statutory legislation.

On a Group-wide basis credit risk management is overseen and co-ordinated by the following collegiate bodies:

- The GMC;
- The CMRMC;
- VTB Group Corporate Investment Business Credit Committee ("GCIBCC");
- VTB Group Medium Business Credit Committee ("GMBCC");
- The RRC.

GCIBCC and GMBCC are standing collegial bodies at GMC with making decision power (for customers attributable to corporate investment business and to medium business, respectively). GCIBCC chaired by the VTB Bank Management Board Member responsible for the group-wide risk management and GMBCC chaired by Underwriting Department representative and include representatives of divisions (Risk, Legal, Corporate Business Support, Investment Banking, Treasury etc.). The key tasks of this committee are as follows:

- Taking decisions on VTB Group risk concentration policy relevant to Corporate Investment Business Global line and Medium Business Global line customers respectively;
- Setting consolidated credit risk limits for common customers credited simultaneously by different companies of VTB Group;
- Analysis of some individual operations and large-scale transactions of Group members.

VTB Group is set to reduce the risk factors related to credit risk concentration per separate large corporate customers / group of related customers and to ensure credit risk diversification. For this purpose, the

benchmark for the share of VTB Group largest borrowers in Group's corporate loan portfolio is set. VTB Group Companies are recommended to determine reasonable local levels of similar benchmarks within their local credit policies / risk strategies, based on the Group's acceptable credit risk concentration target.

In VTB Bank the Corporate Credit Risk Department (CCRD) is responsible for corporate credit risk management on a Group-wide basis including optimization of credit risk management system, relevant Group data consolidation and credit risk management system monitoring.

Retail Credit Risk Department (RCRD), Underwriting Department and Department of Expertise and Fraud monitoring coordinate retail credit risk management across the Group and are responsible for:

- Developing unified standards of retail credit risk management in VTB Group;
- Developing systems of retail credit risk limits;
- Developing standards of decision making procedure in VTB Group;
- Developing standards of monitoring and reporting of retail credit risks (methodology and formats);
- Consolidating reports on retail lending of the Group;
- Monitoring performance and management of retail loan portfolios across the Group.

The VTB Group subsidiary banks providing retail loans apply to "Basic statements of retail credit risk management in the VTB Group", approved on the RRC and other group-wide documents (in the field of retail risk management) applicable to VTB Group retail lending.

Credit risk monitoring at the Group level is supported by regular reporting from subsidiaries to the CCRD and RCRD for assessing of credit risk exposures on a consolidated basis.

Credit risk grades

Credit risk grades	Description
Pass	Acceptable risk level assets by internal probability of default calculation viewed as target segment by the Bank in context of loan portfolio growth. Specific lending transactions could be ranked in this category on the basis of expected loss assessment (as the basic parameter of quantitative evaluation of risk in this segment).
Watch	Higher-level risk assets ranked untargeted by the Bank in context of new loans, by internal probability of default calculation.
Sub-standard	High-risk assets exposed to substantial credit risk factors or assets ranked unacceptable by the Bank in context of new loans, based on internal probability of default calculation. This category may also include loans the Group was forced to restructure. Such loans are currently serviced in accordance with the schedule but criteria for Default status rescinding for them were not yet met because not enough time has passed since restructuring or significant part of loan was not yet repaid under the terms of restructured loan.
Doubtful	Default classified assets with substantial amount of expected losses.
Non-performing loans (NPL)	The Group defines non-performing loans (NPL) as lifetime ECL credit-impaired financial assets with contractual principal and (or) interest payments overdue more than 90 days and POCI loans with principal and (or) interest payments becoming overdue more than 90 days after the date of initial recognition. Loans with no contractual payments until maturity, grace period on principal and or interest payments, as well as restructured loans are not considered NPL unless amounts due contractually become more than 90 days overdue.

33. FINANCIAL RISK MANAGEMENT (CONTINUED)**CREDIT RISK (CONTINUED)****Definitions**

Expected Credit Loss (ECL) is a probability-weighted estimate of the present value of future cash shortfalls (i.e., the weighted average of credit losses, with the respective risks of default occurring in a given time period used as weights). An ECL measurement is unbiased and should be determined by evaluating a range of possible outcomes.

An ECL measurement is based on four components used by the Group:

Exposure at Default (EAD) – an estimate of exposure at a future default date, taking into account expected changes in exposure after the reporting date, including repayments of principal and interest, and expected drawdowns on committed facilities.

Probability of Default (PD) – an estimate of the likelihood of default to occur over a given time period.

Loss Given Default (LGD) – an estimate of the loss arising on default. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, including from any collateral. It is usually expressed as a percentage of the EAD.

Discount Rate – a tool to discount an expected loss from the present value at the reporting date. The discount rate represents the effective interest rate (EIR) for the financial instrument or an approximation thereof.

Lifetime period – the maximum period over which ECL should be measured. For loans with fixed maturity, the lifetime period is equal to the remaining contractual period. For loan commitments and financial guarantee contracts, this is the maximum contractual period over which an entity has a present contractual obligation to extend credit. For credit cards issued to individuals, it is the period that is based on internal statistics, and it is equal to 2 years.

Lifetime ECL – losses that result from all possible default events over the remaining lifetime period of the financial instrument.

12-month ECL – the portion of lifetime ECLs that represent the ECLs resulting from default events on a financial instrument that are possible within 12 months after the reporting date that are limited by the remaining contractual life of the financial instrument.

Forward looking information – the information that includes the key macroeconomic variables impacting credit risk and expected credit losses for each portfolio segment. A pervasive concept in measuring ECL in accordance with IFRS 9 is that it should consider forward-looking information.

Credit Conversion Factor (CCF) – a coefficient that shows that the probability of conversion of an off-balance sheet amounts to exposure on the balance within a defined period. It can be calculated for a 12-month or lifetime period. Based on the analysis performed, the Group considers that 12-month and lifetime CCFs are the same.

Purchased or originated credit impaired (POCI) financial assets – financial assets that are credit-impaired upon initial recognition.

Default and credit-impaired assets – a loan is in default, or credit-impaired, when it meets one or more of the following criteria:

- The borrower is more than 90 days past due on its contractual payments;
- The bank has sold the borrower's debt with losses;
- The borrower meets the unlikelihood-to-pay criteria and other qualitative factors listed below:
 - Forced restructuring;
 - The borrower is deceased (retail loans);
 - The borrower is insolvent (bankruptcy and liquidation);
 - The borrower adopts the measures for non-fulfillment of obligations to the bank;
 - Other circumstances indicating the impossibility of repayment of the debt by the borrower;
 - Revocation of a license to carry out the main activity;
- Establishment of temporary financial administration in the subject of the Russian Federation (municipality of the Russian Federation) (in case of loans to them the subject of the Russian Federation);
- Creation of loan loss provision and provision for loan debts and similar debts of at least 51% of the loan;
- The occurrence of continuous overdue debts lasting more than 10 calendar days within 180 calendar days after the restructuring;
- Downgrading of the borrower's rating within 180 calendar days after the restructuring;
- Inclusion of the borrower in the "Problem exposure" checklist in accordance with the results of internal procedures for monitoring credit risk;
- Repayment of debt at the expense of proceeds from the sale of collateral.

33. FINANCIAL RISK MANAGEMENT (CONTINUED)**CREDIT RISK (CONTINUED)****Significant increase in credit risk (SICR)**

The SICR assessment is carried out on an individual basis and on a portfolio basis. For loans issued to legal entities, interbank loans and debt securities accounted for at AC or at FVOCI and loans to individuals, SICR is assessed on an individual basis by monitoring the triggers stated below. The criteria used to identify a SICR are monitored and reviewed periodically for appropriateness by the Corporate Credit Risk Department, Retail Credit Risks Department.

The Group considers a financial instrument to have experienced a SICR when one or more of the following quantitative, qualitative or backstop criteria have been met:

For loans issued to corporate and interbank borrowers:

- The number of days past due is higher than 31 days but lower than 90 days;
- A significant increase in credit risk, expressed in the relative threshold based on internal ratings. SICR is determined based on comparison between credit risk ratings as of the origination date and credit risk rating as of the reporting date for each financial asset individually. Decrease of credit risk rating sufficient to indicate SICR is determined by the Group for each credit risk rating based on relative increase in probability of default with decrease of credit risk rating;
- Information is available regarding significant increase in credit risk within a group of financial instruments with similar credit risk characteristics;
- "Potentially problem exposure" watch list status according to the internal credit risk monitoring process.

For retail loans:

- The number of days past due is higher than 31 but lower than 90 days;
- A significant increase in credit risk, expressed in the relative increase in the risk of a default (PD as a measure of the default risk) since initial recognition. SICR is determined based on comparison between credit risk ratings as of the origination date and credit risk rating as of the reporting date for each financial asset individually. Decrease of credit risk rating sufficient to indicate SICR is determined by the Group for each credit risk rating based on relative increase in probability of default with decrease of credit risk rating;
- Existence or forecast of adverse changes in commercial, financial or economic conditions that adversely affect the creditworthiness of the borrower.

If there is evidence that the SICR criteria are no longer met, the instrument will be transferred back to Stage 1. If an exposure has been transferred to Stage 2 is based on any qualitative indicator, the Group monitors whether that indicator continues to exist or has changed.

General principle of ECL measurement

For non-POCI financial assets, ECLs are generally measured based on the risk of default over one of two different time periods, depending on whether the credit risk of the borrower has increased significantly since initial recognition. This approach can be summarised in a three-stage model for ECL measurement:

- Stage 1: a group of financial instruments for which there has been recorded no significant increase in the level of the credit risk since initial recognition and provisions for this group are created in the amount of 12-month ECL, and interest income is calculated based on the gross book value.
- Stage 2: a group of financial instruments for which there has been recorded a significant increase in the level of credit risk since the initial recognition and provisions for which are created in the amount of ECL for the whole lifetime, and interest income is calculated based on the gross book value.
- Stage 3: a group of credit-impaired financial instruments, the provisions for which are created in the amount of ECL for the whole lifetime, and the interest income is accrued based on the amortised cost.

ECL for POCI financial assets is always measured on a lifetime basis (Stage 3), and at the reporting date, the Group only recognises the cumulative changes in lifetime expected credit losses since initial recognition.

The Group performs an assessment on an individual basis for credit-impaired financial assets taking into account the principles, listed below.

The Group performs an assessment on a portfolio basis for the following types of loans: retail loans, loans issued to SMEs and particular categories of corporate borrowers. This approach incorporates aggregating the portfolio into homogeneous segments based on borrower-specific information, such as delinquency, the historical data on losses and forward-looking macroeconomic information.

Principles of assessment on individual basis – ECL assessments on an individual basis are done by weighting the estimates of credit losses for different possible outcomes against the probabilities of each outcome. The Group defines at least two possible outcomes for each loan, one of which leads to credit loss in spite of the probability of such a scenario. Individual assessment is mainly based on the expert judgement. Expert judgements are regularly tested in order to decrease the difference between estimates and actual losses. Retail loans with residual above RUR 400 million are assessed individually.

33. FINANCIAL RISK MANAGEMENT (CONTINUED)**CREDIT RISK (CONTINUED)**

Principles of assessment on portfolio basis – to assess the staging of exposure and to measure a loss allowance on a collective basis, the Group combines its exposures into segments on the basis of shared credit risk characteristics, such as that exposures to risk within a group are homogeneous.

If the Group is not able to combine financial instruments on the basis of shared credit risk characteristics, and credit risk for these financial instruments considered to increase significantly from initial recognition, the Group recognizes lifetime ECL for financial assets with significantly increased credit risk.

Backtesting – the Group regularly reviews its methodology and assumptions to reduce any difference between the estimates and the actual loss of credit. Such backtesting is performed at least once a year.

The results of backtesting the ECL measurement methodology are communicated to Group Management and further steps for tuning models and assumptions are defined after discussions between authorised persons.

ECL measurement – description of estimation techniques

Distribution of legal entities loans, debt securities and credit-related contingencies is determined by principles specified in Bank's methodologies for borrower's ranking and defines homogenous segments.

The ECL is determined by predicting credit risk parameters (EAD, PD and LGD) for each future period during the lifetime period for each individual exposure or collective segment.

These three components are multiplied together and in some cases adjusted for the likelihood of survival (i.e. the exposure has been repaid or defaulted in an earlier month). This effectively calculates an ECL for each future period, which is then discounted back to the reporting date and summed up. The discount rate used in the ECL calculation is the original effective interest rate or an approximation thereof, for POCI financial assets – credit risk adjusted EIR.

The EADs are determined based on the expected payment profile, which varies by product type:

- For amortising products and bullet repayment loans, EAD is based on the contractual repayments.
- For revolving products, the EAD is predicted by taking the current drawn balance and adding a "credit conversion factor (CCF)" that accounts for the expected drawdown of the remaining limit by the time of default. These assumptions vary by product type, current limit utilisation and other borrower-specific behavioural characteristics. As assessment of the CCF for credit lines is based on the latest available historic data about residuals on balance and off-balance accounts of defaulted credit lines. For other off balance sheet exposures

CCF is determined based on available historical data or regulatory values and expert judgment.

Two types of PDs are used for calculating ECLs: 12-month and Lifetime PD:

- 12-month PDs – the estimated probability of a default occurring within the next 12 months (or over the remaining life of the financial instrument if less than 12 months). This parameter is used to calculate 12-month ECLs;
- Lifetime PDs – the estimated probability of a default occurring over the remaining life of the financial instrument. This parameter is used to calculate lifetime ECLs. An assessment of a Lifetime PD is based on the latest available historic default data and adjusted for forward looking information.

An assessment of a 12-month PD is based on:

- Statistical analysis of the internal historic default and internal/external ratings. Calibrated PD checked on the latest available information;
- Expert rating models are used in case no historical or external information is available, however expert rating models are applied to limited number of segments;
- Approach for PD calibration should lead to concordance of weighted average model PD to central tendency (average default rate for the economic cycle) and also to proportionality of PD change with change of rating grade to predictive power of a ranking model.

Forward-looking information has been incorporated into the determination of 12-month PDs by considering the dynamics of the macro-factors.

To take into account macroeconomic expectations, the PD for 12 months uses a forecast of the dynamics of macroeconomic factors. The following macroeconomic factors and their transformations are used as a basic set: nominal GDP, GDP deflator year/year, inflation rate at the end of the period. The list of macroeconomic factors can be changed if the predictive ability of the above factors changes. Predictive power is assessed at least annually.

Forecasts of macroeconomic indicators (the "base economic scenario") are reviewed at least once every year and submitted to the FC.

The impact of the macroeconomic variables on the PD has been determined by performing statistical regression analysis (using a multivariate regression model) to understand the impact changes in these variables historically had on default rates. In addition to the base economic scenario, the Group considers other possible scenarios along with scenario weighting. The scenarios are determined by a statistical analysis, taking into account the percentiles of distributions of annual growth rates of each chosen macro-factor.

33. FINANCIAL RISK MANAGEMENT (CONTINUED)**CREDIT RISK (CONTINUED)**

To calculate Lifetime PD, the Group uses different statistical approaches depending on the segment and product type, such as the extrapolation of 12-month PDs based on migration matrixes, developing lifetime PD curves based on the historical default data, approach based on an assumption of convergence of marginal PDs to the central tendency on the horizon of the economic cycle length, calculation of cumulative PD based on historical cumulative default levels or other.

In certain cases, in order to determine lifetime PD the Group may use expert judgement, which is based on comprehensive analysis of credit risk of particular borrower and/or group of borrowers, including macroeconomic projections.

The duration of the economic cycle is defined as the length of the period of fluctuations in the economic situation, covering at least one stage of recession and recovery in accordance with indicators characterizing the dynamics of economic development of the Russian Federation.

LGD represents the Group's expectation of the extent of loss on a defaulted exposure and assessed on the latest available recovery statistics. LGD is applied to non-defaulted exposures. As an exception, LGD derived from the application of model estimates based on the number of days in default is used for certain immaterial defaulted corporate loans that are not loans secured by real estate and securities, loans to credit institutions, sovereign or subsovereign borrowers.

For loans secured by real estate and securities, the Group calculates LGD based on specific characteristics of the collateral, such as market and projected collateral values.

For conventional borrowers the Group calculates LGD based on recovery of previously defaulted loans. The Group considers actual amounts recovered and projected recoveries on multi-scenario, probability weighted basis. For selected segments the Group builds model estimates based on internal statistics on loan refunds.

All cash flows received in respect of defaulted loans are discounted to the date of default using original effective interest rate.

Maximum credit risk exposure

Maximum credit risk exposure as at the reporting date has not differ substantially from gross current value of financial assets measured at amortized cost and gross credit related commitments.

Where financial instruments are recorded at fair value the amounts shown above represent the current credit risk exposure but not the maximum risk exposure that could arise in the future as a result of changes in values.

Collateral and other credit enhancements

For the purpose of monitoring the Group's credit risks at the portfolio level, risk appetite indicators and a system of credit limits are used.

The Group's risk appetite in terms of credit risk is a system of quantitative and qualitative indicators that determine the target risk profile that the Group is able and/or willing to accept, taking into account the requirements of stakeholders (shareholders, regulators, management, rating agencies, investors) in order to achieve its strategic goals.

To ensure a target risk profile and effective monitoring of the level of accepted risk, risk appetite indicators can be cascaded to the operational level (by business lines, etc.).

Issues of control of credit risks at the consolidated level are regulated in documents (standards) in the field of credit risk management of the Group.

The main tool for limiting credit risks and controlling their level is the system of credit limits. The Group's companies develop and apply systems of credit risk limits in accordance with the Group's standards, as well as taking into account the specifics of the types of credit transactions performed (counterparties) and the requirements of national regulators.

Main types of credit risk limits:

- Limits on the total level of credit risk as a whole for the loan portfolio and individual segments;
- Limits constraining the concentration of credit risks (by industry, country, large counterparties, credit products);
- Limits on the level of expected losses for transactions exposed to credit risk;
- Limits on the independent acceptance of credit risks by the Bank's structural divisions (operational offices / additional offices);
- Limits constraining the level of risk for a specific counterparty (group of related counterparties). These limits include limits on transactions with a counterparty (a group of related counterparties), including sublimits on various types of transactions with credit risk (credit, documentary limits, limits on trading operations, limits on transactions with debt securities, etc.).

As regulatory limits for credit risk at the Group level, mandatory ratios established by the requirements of the Bank of Russia are applied:

- Limit on the magnitude of large credit risks;
- Limit per borrower/group of related counterparties.

33. FINANCIAL RISK MANAGEMENT (CONTINUED)**CREDIT RISK (CONTINUED)**

The Group implements a system of limits on retail credit risks, ensuring control over their concentration. The following retail lending limits are determined at the Group level:

- Limits on retail credit operations of Group companies (limits for the countries of their location);
- Limits on retail credit products;
- Other limits established by the authorized bodies of the Group in order to limit the level of retail credit risks.

The specifics of limiting and reducing credit risks in the retail segment of the Group's business are reflected in detail in the Group's standards for managing retail credit risks.

In order to reduce the accepted credit risk, the Bank and subsidiaries operating within the framework of unified (group) and local approaches use collateral.

The main types of security for the fulfillment of the counterparty's obligations: pledge, surety, bank guarantee, state and municipal guarantees, guarantees of small business support funds.

The availability of collateral that meets the requirements of the subsidiary and its sufficiency is taken into account when determining the cost conditions of credit transactions, as well as when making decisions on a credit transaction.

When conducting an examination of collateral transactions, the market, fair and collateral value of the collateral is determined. In this case, an independent assessment of the market value of the collateral can be used. In cases where a loan is secured by a pledge, the borrower is required to insure such assets and name the Group as the beneficiary of the insurance policy. The Group performs a comprehensive assessment of the insured collateral, which provides for an assessment of the level of loss of collateral.

Collateral is taken to reduce credit risk. Where facilities are approved against security, full details, including the type, value, and the frequency of review of the security should be detailed in the Application for Credit Facility Form. A bank officer conducts inspection the physical condition of collateral offered.

The Group reassesses the fair value of pledged property with frequency stated for each form of pledge and, if necessary, requires additional collateral or other acceptable forms of credit support.

Collateral repossessed

The Group's policy is to dispose of repossessed properties in accordance with the established internal and legal procedures. The proceeds are used to reduce or repay the outstanding claim.

After finalisation of transferring procedures, these assets were accounted in accordance with the Group accounting policies and included in the relevant items in the statement of financial position.

According to the Group's policy, foreclosed property is sold in accordance with the procedure established by internal rules and legislation. Proceeds from the sale of property are used to reduce or pay off existing debt.

MARKET RISK

Market Risk, for the purpose hereof, shall mean a risk of worsening of either the Group financial result or its capital base under the IFRS due to unfavourable changes in the value of the Group assets/liabilities affected by market indicators – risk factors (foreign exchange rates, interest rates, credit spreads, stock and stock indexes, etc.).

CMRMC sets the operational and portfolio framework limits of market risk and allocates the risk appetite for Trading book and currency risk of Banking book across group members and business lines. FC sets limitations (threshold value, triggers, limits) on interest rate of the Group's Banking book as well as members of the Group.

VTB (PJSC) market risk Policy (the Policy) sets out procedures for identification and monitoring of market risks in VTB on local and consolidated level.

According to types of risk accepted and approaches to risk management, transactions of the Bank or core subsidiaries are attributable to Trading book and Banking book.

Trading Book consists of transactions (trading transactions) carried out in order to obtain profit from revaluation or hedging of other trading operations, as well as the financial result from them. Trading book consists of transactions measured at fair value.

Banking Book consists of transactions (non-trading transactions) that are not subject to revaluation at fair value (accounted at amortised cost) or transactions that are revalued regardless of market risk factors, as well as open FX positions that are not attributable to trading operations (such as: positions resulting from management decisions about participation in the capital of subsidiaries; positions related to ECL; positions related to income received, expenses paid, liquidity management by currencies not attributable to trading transactions).

33. FINANCIAL RISK MANAGEMENT (CONTINUED)**MARKET RISK (CONTINUED)**

The portfolio of Treasury debt securities belongs to the Banking Book. Also included in the Banking Book is a strategic OCP (an open currency position in the Banking Book, formed/held by decision of the Financial Committee and aimed at hedging strategic investments of various kinds or, also by decision of the Financial Committee, hedging other currency positions in the Banking Book, including those not yet reflected on the Bank's balance sheet / consolidated balance sheet of the Group) and residual OCP (open currency position of the Banking book, revalued through profit and loss, formed as a result of balance sheet conversion transactions and the conclusion of internal transactions reflected in the Banking Book).

A detailed classification of operations for the purposes of assessing and managing market risks is enshrined in the internal documents of the Group / Group companies that regulate the procedure for managing market risks at the local / group level.

Risk assessment is provided by the following directions of Market risk:

- Market risk of the Trading book (interest risk, price risk, stock market risk, commodity risk, credit risk) and Foreign exchange (FX) risk of the Banking book;
- Interest rate risk of the Banking book transactions sensitive to change in interest rates;
- Volatility of the financial result for the instruments of the revalued portfolio of instruments in the Banking Book.

PRICE RISK

The Group is exposed to the market risk in Trading book which is related to a negative revaluation of instruments due to the change of values of various risk factors including quotes of bonds, equities, commodity instruments, FX rates, interest rates, credit spreads, volatilities of risk factors and correlations between risk factors.

In order to bound Group market risk the set of limits is used. All the limits can be divided into the two following groups: framework limits (VaR-limit, Stop-Loss limit, Stress-Loss limit) and operational limits which restrict the concentration in particular indicators or types of assets in portfolio (limit for DV01, FX Delta and etc.).

The Department of Integrated Risk Management is responsible for calculation and reporting the Group Market risk profile, review of limits structure and preparation of suggestions on the mitigation and managing of Market risk in Trading book.

On a weekly basis Department of Integrated Risk Management controls the Group market risk limits utilisation. Local risk management teams control local market risk limits on a daily basis. On a weekly basis Department of Integrated Risk Management reports limits usage to the Business Departments, on a monthly basis Department of Integrated Risk Management provides detailed information on Group market risk profile of Trading book and Treasury bond portfolio to CMRMC.

Stress-test result and VaR are used for the assessment of Market risk of Trading book. Methodology used for estimation of these risk measures is approved by CMRMC and shared between all Group members.

Stress testing

The revaluation result of Group Trading book is modelled based on historical changes in risk-factors (observed in conditions of severe changes of macroeconomic indicators) and on hypothetical risk-factors changes.

The scenario analysis showed that in 2024 the largest market risk severe impacts would be due to a severe rise in RUR risk free rates and widening of credit spreads.

VaR

Parameters used for VaR estimation are the following:

- Historical period – 2 years;
- Holding period – 1 trading day;
- Confidence level – 95%;
- Method – historical simulation.

Total Group's VaR 1d 95% measure for Trading book and Treasury bond portfolio for 2024 amounts to RUR 2.3 billion (2023 RUR 4.3 billion).

LIQUIDITY RISK AND CONTRACTUAL MATURITY ANALYSIS

Liquidity risk is the risk of losses expressed in the Group's inability to finance its activities, i.e. ensure the growth of assets and fulfill obligations as they arise without incurring losses in amounts unacceptable for financial stability.

Liquidity risk, among other things, includes risks associated with the likelihood of losses upon the disposal of assets or due to the inability to close an existing position because of insufficient market liquidity or insufficient trading volumes, and the risk associated with potential changes in the cost of funding (own and market credit spreads) influencing the amount of future income of the credit institution.

33. FINANCIAL RISK MANAGEMENT (CONTINUED)

LIQUIDITY RISK AND CONTRACTUAL MATURITY ANALYSIS (CONTINUED)

Liquidity risk management within the Group is carried out as follows:

- Establishment and control of limits constraining the Group's acceptance of liquidity risk and concentration of liquidity sources;
- Preparation and submission of the Resource Plan to collegial bodies, monitoring its implementation and regular review;
- Preparation, in accordance with the established procedure, of reports on the current and forecast state of liquidity;
- Preparation / coordination of proposals/ internal documents on liquidity risk management of the Group / Group companies submitted for consideration by the authorized bodies of the Group;
- Analysis of scenarios for possible sudden (stress) changes in liquidity and individual sources of liquidity and assessment of the Group's resistance to these changes (stress testing).

Measures to reduce liquidity risk include, but are not limited to:

- Carrying out validation of liquidity risk assessment models and assessing the effectiveness of validation;
- Development of a detailed action plan for mobilizing liquid assets in case of liquidity shortage;
- Inclusion of information on liquidity risk in regular risk reporting submitted for consideration by the Management Board and the Supervisory Board of the Bank.

The main methods of controlling the level of liquidity risk include:

- Establishing and monitoring compliance with internal ratios / liquidity ratios (including for the purpose of monitoring compliance with mandatory liquidity ratios / corresponding internal risk appetite metrics established by the Bank of Russia);
- Monitoring liquidity gaps calculated taking into account scenario analysis over time periods in order to identify imbalances between the volume of receipts and payments;
- Adoption and implementation of decisions on managing assets and/or liabilities of the Bank / Group aimed at maintaining liquidity risk at a level that allows compliance with internal and regulatory liquidity ratios;
- Monitoring of key internal and external factors that can have a serious impact on the liquidity of the Bank/Group;

- Development of a detailed action plan for mobilizing liquid assets in case of liquidity shortage.

VTB and other banks of the Group are also subject to liquidity requirements set by regulatory authorities, including those set by the CBR in the form of prudential ratios.

The Department of Integrated Risk Management analyses cash flow of the Group and prepares liquidity report for FC on a monthly basis. VTB's Treasury manages short-term liquidity on an ongoing basis through its cash position and portfolio of highly liquid securities and prepares information on short-term liquidity of the Bank and reports to the FC on a weekly basis.

The Inflow column in the tables below includes gross amounts to be received by the Group within a certain time band upon contractual maturities/redemptions of financial instruments (assets/claims). Outflow column includes gross amounts to be repaid by the Group in a certain time band upon contractual maturities/redemptions of financial instruments (liabilities/ obligations except current and settlement accounts). Gap represents the difference between Inflow and Outflow columns. Gap represents the difference between Inflow and Outflow columns.

Gap Cumulative column represents the cumulative gap. FX Swap Cumulative column represents the cumulative gaps of notional amounts of foreign exchange transactions (FX Swaps, FX Spot and Forwards, NDFs). Dynamic Gap (total) Cumulative column represents the cumulative gap including FX Swap Cumulative. Opening balance represents highly liquid assets, which mostly consist of cash and correspondent accounts with other banks.

The performed analysis confirms that in spite of a substantial portion of customer accounts being on demand or short-term, diversification of these deposits by number and type of depositors, and the past experience of the Group would indicate that these customer accounts and time deposits provide, in a substantial part, a long-term and stable source of funding for the Group. Also portfolios of Treasury Securities held for trading could be used for short-term liquidity management through reverse sale and repurchase operations.

VTB Group medium-term liquidity needs are managed through interbank and customer deposits (new borrowings and renewal of existing deposits), repurchase agreements and in the form of collateralised loans (against corporate loans or securities) which allow the Group to reduce the negative medium-term liquidity gaps.

VTB Group has a substantial volume of additional funding facilities made available by Bank of Russia to bridge negative medium term liquidity gaps.

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS 31 DECEMBER 2024 (CONTINUED)

33. FINANCIAL RISK MANAGEMENT (CONTINUED)

LIQUIDITY RISK AND CONTRACTUAL MATURITY ANALYSIS (CONTINUED)

As at 31 December 2024, VTB Group had the following cash flow by remaining contractual maturities.

Time Band	Inflow	Outflow	Gap	Gap Cumulative	FX Swap Cumulative	Dynamic Gap (total) Cumulative
RUR positions						
Opening balance	–	–	1,256.7	1,256.7	–	1,256.7
Up to 1 month	1,279.7	(9,318.3)	(8,038.6)	(6,781.9)	69.4	(6,712.5)
From 1 to 3 months	2,838.3	(5,642.2)	(2,803.9)	(9,585.8)	2.8	(9,583.0)
From 3 months to 1 year	7,738.6	(8,183.8)	(445.2)	(10,031.0)	32.3	(9,998.7)
From 1 to 3 years	13,303.1	(5,907.7)	7,395.4	(2,635.6)	31.9	(2,603.7)
More than 3 years	29,129.2	(10,268.9)	18,860.3	16,224.7	29.8	16,254.5
Other currency positions						
Opening balance	–	–	663.9	663.9	–	663.9
Up to 1 month	150.8	(427.8)	(277.0)	386.9	(64.3)	322.6
From 1 to 3 months	339.3	(309.5)	29.8	416.7	(14.9)	401.8
From 3 months to 1 year	895.5	(312.7)	582.8	999.5	(27.3)	972.2
From 1 to 3 years	1,427.7	(1,299.1)	128.6	1,128.1	(32.1)	1,096.0
More than 3 years	959.0	(939.9)	19.1	1,147.2	(29.8)	1,117.4
Total						
Opening balance	–	–	1,920.6	1,920.6	–	1,920.6
Up to 1 month	1,430.5	(9,746.1)	(8,315.6)	(6,395.0)	5.1	(6,389.9)
From 1 to 3 months	3,177.6	(5,951.7)	(2,774.1)	(9,169.1)	(12.1)	(9,181.2)
From 3 months to 1 year	8,634.1	(8,496.5)	137.6	(9,031.5)	5.0	(9,026.5)
From 1 to 3 years	14,730.8	(7,206.8)	7,524.0	(1,507.5)	(0.2)	(1,507.7)
More than 3 years	30,088.2	(11,208.8)	18,879.4	17,371.9	–	17,371.9

As at 31 December 2023, VTB Group had the following cash flow by remaining contractual maturities.

Time Band	Inflow	Outflow	Gap	Gap Cumulative	FX Swap Cumulative	Dynamic Gap (total) Cumulative
RUR positions						
Opening balance	–	–	854.0	854.0	–	854.0
Up to 1 month	776.9	(8,638.2)	(7,861.3)	(7,007.3)	(168.2)	(7,175.5)
From 1 to 3 months	1,460.4	(3,848.0)	(2,387.6)	(9,394.9)	(254.2)	(9,649.1)
From 3 months to 1 year	4,759.0	(4,074.7)	684.3	(8,710.6)	(87.2)	(8,797.8)
From 1 to 3 years	9,525.6	(2,607.4)	6,918.2	(1,792.4)	(89.1)	(1,881.5)
More than 3 years	18,103.6	(1,043.8)	17,059.8	15,267.4	(91.2)	15,176.2
Other currency positions						
Opening balance	–	–	238.3	238.3	–	238.3
Up to 1 month	34.5	(110.8)	(76.3)	162.0	166.9	328.9
From 1 to 3 months	170.5	(523.1)	(352.6)	(190.6)	247.3	56.7
From 3 months to 1 year	805.8	(453.6)	352.2	161.6	85.1	246.7
From 1 to 3 years	1,089.4	(1,234.7)	(145.3)	16.3	83.9	100.2
More than 3 years	866.6	(960.6)	(94.0)	(77.7)	86.1	8.4
Total						
Opening balance	–	–	1,092.3	1,092.3	–	1,092.3
Up to 1 month	811.4	(8,749.0)	(7,937.6)	(6,845.3)	(1.3)	(6,846.6)
From 1 to 3 months	1,630.9	(4,371.1)	(2,740.2)	(9,585.5)	(6.9)	(9,592.4)
From 3 months to 1 year	5,564.8	(4,528.3)	1,036.5	(8,549.0)	(2.1)	(8,551.1)
From 1 to 3 years	10,615.0	(3,842.1)	6,772.9	(1,776.1)	(5.2)	(1,781.3)
More than 3 years	18,970.2	(2,004.4)	16,965.8	15,189.7	(5.1)	15,184.6

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS
31 DECEMBER 2024 (CONTINUED)

33. FINANCIAL RISK MANAGEMENT (CONTINUED)

LIQUIDITY RISK AND CONTRACTUAL MATURITY ANALYSIS (CONTINUED)

The tables below show undiscounted cash flows payable under financial liabilities and credit-related commitments by their remaining contractual maturity.

2024	On demand and up to 1 month	From 1 month to 3 months	From 3 month to 6 months	From 6 months to 1 year	More than 1 year	Total
Cash flows payable under non- derivative liabilities	16,182.1	5,258.6	3,519.1	3,646.5	5,505.3	34,111.6
Derivative financial instruments – gross settled:						
(Inflow)	(138.7)	(100.1)	(58.1)	(88.2)	(215.7)	(600.8)
Outflow	137.3	98.2	59.8	85.1	189.4	569.8
Derivative financial instruments – net settled:						
(Inflow)	(14.7)	(18.6)	(32.1)	(35.6)	(52.4)	(153.4)
Outflow	15.9	23.2	25.8	37.2	39.5	141.6
Credit related commitments	292.8	–	–	–	–	292.8

Included in amounts due to customers are term deposits of individuals. In accordance with the Russian legislation, the Group is obliged to repay such deposits upon demand of a depositor.

2023	On demand and up to 1 month	From 1 month to 3 months	From 3 month to 6 months	From 6 months to 1 year	More than 1 year	Total
Cash flows payable under non- derivative liabilities	13,788.3	4,139.8	2,314.2	1,994.4	4,537.7	26,774.4
Derivative financial instruments – gross settled:						
(Inflow)	(354.9)	(120.0)	(55.7)	(168.3)	(223.4)	(922.3)
Outflow	352.0	116.8	61.1	92.6	325.5	948.0
Derivative financial instruments – net settled:						
(Inflow)	(13.2)	(14.9)	(16.8)	(35.1)	(30.2)	(110.2)
Outflow	10.1	20.5	24.2	32.7	29.6	117.1
Credit related commitments	258.3	–	–	–	–	258.3

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS 31 DECEMBER 2024 (CONTINUED)

33. FINANCIAL RISK MANAGEMENT (CONTINUED)

CURRENT AND NON-CURRENT ASSETS AND LIABILITIES

The tables below show assets and liabilities by their remaining contractual maturity (expected maturity match the remaining contractual maturity) by which the Group has right to realise the assets and settle the liabilities. The Group considers assets and liabilities with remaining contractual maturity of "Less than 1 year" as current and assets and liabilities with remaining contractual maturity of "More than 1 year" and "Maturity undefined" as non-current.

2024	Less than 1 year	More than 1 year	Maturity undefined	Total
Assets				
Cash and short-term funds	2,018.1	–	–	2,018.1
Mandatory cash balances with central banks	102.5	1.6	–	104.1
Trading financial assets	765.8	–	–	765.8
Derivative financial assets	57.9	73.4	–	131.3
Due from other banks	1,317.2	363.3	–	1,680.5
Loans and advances to customers	5,437.9	17,168.8	–	22,606.7
Investment financial assets	545.1	4,623.1	237.9	5,406.1
Investments in associates and joint ventures	–	–	391.8	391.8
Assets of disposal groups	112.8	–	–	112.8
Land, premises and equipment	–	–	468.8	468.8
Investment property	–	–	109.2	109.2
Goodwill and other intangible assets	–	–	654.0	654.0
Deferred income tax asset	–	–	543.3	543.3
Other assets	701.6	351.1	25.0	1,077.7
Total assets	11,058.9	22,581.3	2,430.0	36,070.2
Liabilities				
Due to other banks	2,135.5	248.4	–	2,383.9
Customer deposits	23,398.1	3,528.7	–	26,926.8
Derivative financial liabilities	39.7	66.9	–	106.6
Other borrowed funds	1,167.6	306.2	–	1,473.8
Debt securities issued	104.0	322.1	–	426.1
Liabilities of disposal groups	61.4	–	–	61.4
Deferred income tax liability	–	–	64.9	64.9
Insurance liabilities	129.4	1,016.9	–	1,146.3
Other liabilities	612.0	78.0	2.4	692.4
Subordinated debt	84.9	13.8	–	98.7
Total liabilities	27,732.6	5,581.0	67.3	33,380.9

Management believes that although equity securities included in financial assets held for trading category have no contractual maturity these equity securities could be sold in less than one year and therefore they are included in respective contractual maturity category.

Debt securities included in financial assets held for trading category are also classified as instruments with contractual maturity less than one year as Management believes that these debt securities could be sold in less than one year and it has no intentions to hold these debt securities until maturity.

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS
31 DECEMBER 2024 (CONTINUED)

33. FINANCIAL RISK MANAGEMENT (CONTINUED)

CURRENT AND NON-CURRENT ASSETS AND LIABILITIES (CONTINUED)

2023	Less than 1 year	More than 1 year	Maturity undefined	Total
Assets				
Cash and short-term funds	1,210.8	—	—	1,210.8
Mandatory cash balances with central banks	54.2	—	—	54.2
Trading financial assets	865.4	—	—	865.4
Derivative financial assets	59.2	63.0	—	122.2
Due from other banks	872.0	210.9	—	1,082.9
Loans and advances to customers	881.6	18,976.1	—	19,857.7
Investment financial assets	177.4	3,668.0	56.2	3,901.6
Investments in associates and joint ventures	—	—	364.3	364.3
Assets of disposal groups	2.2	—	—	2.2
Land, premises and equipment	—	—	420.4	420.4
Investment property	—	—	103.7	103.7
Goodwill and other intangible assets	—	—	548.2	548.2
Deferred income tax asset	—	—	388.9	388.9
Other assets	309.8	130.4	19.5	459.7
Total assets	4,432.6	23,048.4	1,901.2	29,382.2
Liabilities				
Due to other banks	1,641.8	35.5	—	1,677.3
Customer deposits	19,085.1	3,261.7	—	22,346.8
Derivative financial liabilities	32.5	46.0	—	78.5
Other borrowed funds	774.0	274.9	—	1,048.9
Debt securities issued	179.1	137.8	—	316.9
Liabilities of disposal groups	0.3	—	—	0.3
Deferred income tax liability	—	—	48.1	48.1
Insurance liabilities	123.9	977.6	—	1,101.5
Other liabilities	400.7	72.7	3.3	476.7
Subordinated debt	26.2	96.7	—	122.9
Total liabilities	22,263.6	4,902.9	51.4	27,217.9

GEOGRAPHICAL CONCENTRATION

On 5 March 2022, the Government of the Russian Federation approved the list of foreign states and territories that commit unfriendly actions against Russia (with subsequent updates). The listed states or territories have imposed sanctions or acceded to sanctions against Russia since 24 February 2022.

In order to provide a better understanding of the impact of sanctions and unfriendly actions on the financial position of the Group, the geographic components of the concentration of assets and liabilities of the Group have been revised.

The current disclosure of risk concentration by geographic location is based on the place of incorporation of the Group's counterparties and the list of foreign countries and territories mentioned above that engage in unfriendly acts towards Russia.

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS 31 DECEMBER 2024 (CONTINUED)

33. FINANCIAL RISK MANAGEMENT (CONTINUED)

GEOGRAPHICAL CONCENTRATION (CONTINUED)

2024	Russia	Unfriendly countries	Other countries	Total
Assets				
Cash and short-term funds	1,664.6	6.7	346.8	2,018.1
Mandatory cash balances with central banks	95.0	—	9.1	104.1
Trading financial assets	748.4	14.9	2.5	765.8
Derivative financial assets	118.1	13.2	—	131.3
Due from other banks	1,543.6	71.9	65.0	1,680.5
Loans and advances to customers	20,646.5	600.2	1,360.0	22,606.7
Investment financial assets	5,336.0	33.0	37.1	5,406.1
Investments in associates and joint ventures	374.2	9.4	8.2	391.8
Assets of disposal groups	112.8	—	—	112.8
Land, premises and equipment	459.9	—	8.9	468.8
Investment property	107.7	—	1.5	109.2
Goodwill and other intangible assets	650.1	—	3.9	654.0
Deferred income tax asset	542.0	0.1	1.2	543.3
Other assets	1,061.0	6.2	10.5	1,077.7
Total assets	33,459.9	755.6	1,854.7	36,070.2
Liabilities				
Due to other banks	2,280.8	15.5	87.6	2,383.9
Customer deposits	26,230.4	97.9	598.5	26,926.8
Derivative financial liabilities	106.6	—	—	106.6
Other borrowed funds	1,466.2	—	7.6	1,473.8
Debt securities issued	426.1	—	—	426.1
Liabilities of disposal groups	61.4	—	—	61.4
Deferred income tax liability	63.2	—	1.7	64.9
Insurance liabilities	1,146.0	0.3	—	1,146.3
Other liabilities	637.4	48.5	6.5	692.4
Subordinated debt	98.7	—	—	98.7
Total liabilities	32,516.8	162.2	701.9	33,380.9
Net balance sheet position	943.1	593.4	1,152.8	2,689.3
Gross off-balance sheet position				
Credit Related Commitments	249.9	—	42.9	292.8
Performance guarantees	1,112.4	0.8	6.2	1,119.4
2023	Russia	Unfriendly countries	Other countries	Total
Assets				
Cash and short-term funds	1,098.8	19.0	93.0	1,210.8
Mandatory cash balances with central banks	50.9	—	3.3	54.2
Trading financial assets	839.9	22.6	2.9	865.4
Derivative financial assets	111.4	10.8	—	122.2
Due from other banks	1,039.8	21.0	22.1	1,082.9
Loans and advances to customers	17,744.4	990.2	1,123.1	19,857.7
Investment financial assets	3,826.8	38.2	36.6	3,901.6
Investments in associates and joint ventures	336.7	21.0	6.6	364.3
Assets of disposal groups	2.2	—	—	2.2
Land, premises and equipment	412.6	0.5	7.3	420.4
Investment property	102.2	—	1.5	103.7
Goodwill and other intangible assets	545.0	0.4	2.8	548.2
Deferred income tax asset	387.1	0.2	1.6	388.9
Other assets	428.8	18.2	12.7	459.7
Total assets	26,926.6	1,142.1	1,313.5	29,382.2
Liabilities				
Due to other banks	1,600.5	11.5	65.3	1,677.3
Customer deposits	22,019.6	89.1	238.1	22,346.8
Derivative financial liabilities	78.5	—	—	78.5
Other borrowed funds	926.5	1.1	121.3	1,048.9
Debt securities issued	311.3	1.9	3.7	316.9
Liabilities of disposal groups	0.3	—	—	0.3
Deferred income tax liability	46.9	—	1.2	48.1
Insurance liabilities	1,101.0	0.5	—	1,101.5
Other liabilities	431.2	39.1	6.4	476.7
Subordinated debt	98.4	24.4	0.1	122.9
Total liabilities	26,614.2	167.6	436.1	27,217.9
Net balance sheet position	312.4	974.5	877.4	2,164.3
Gross off-balance sheet position				
Credit Related Commitments	227.7	—	30.6	258.3
Performance guarantees	1,045.5	0.7	7.1	1,053.3

34. FAIR VALUE MEASUREMENT**FAIR VALUE OF FINANCIAL INSTRUMENTS
MEASURED AT FAIR VALUE**

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability; or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible by the Group. The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest. A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

Fair value measurements are analysed by level in the fair value hierarchy as follows: (i) Level 1 are measurements at quoted prices (unadjusted) in active markets for identical assets or liabilities, (ii) Level 2 measurements are valuations techniques with all material inputs observable for the asset or liability, either directly (that is, as prices) or indirectly (that is, derived from prices), and (iii) Level 3 measurements are valuations not based on observable market data (that is, unobservable inputs). Management applies judgment in categorising financial instruments using the fair value hierarchy. If a fair value measurement uses observable inputs that require significant adjustment based on unobservable inputs, that measurement is a Level 3 measurement. The significance of a valuation input is assessed against the fair value measurement of a financial instrument in its entirety.

**METHODS AND ASSUMPTIONS FOR LEVEL 2
FINANCIAL INSTRUMENTS**

The fair value of trading financial assets, investment financial assets measured at fair value or designated at fair value through profit or loss and derivative financial instruments valued according to Level 2 models was estimated based on DCF (projected cash flows) method using the assumption of future coupon payment, recent transactions prices and the quotes of non-active markets if based on the Group's analysis such quotes represent the best estimate of the fair value of the financial instrument as at the reporting date. Probability models were calibrated using available market information.

**VALUATION METHODS FOR LEVEL 3 FAIR VALUE
MEASUREMENTS**

In order to value Level 3 equity investments, the Group utilizes comparable trading multiples. Management determines comparable public companies (peers) based on industry, size, developmental stage and strategy. Management then calculates a trading multiple for each comparable company identified. The multiple is calculated by dividing the enterprise value of the comparable company by its earnings before interest, taxes, depreciation and amortization (EBITDA). The trading multiple is then discounted for considerations such as liquidity and differences between the comparable companies based on company-specific facts and circumstances.

Internal valuation of the fair value of joint ventures and associates designated as at fair value is performed at the time of commencing the project. Internal valuations of the fair value are performed on the quarterly basis, which are reviewed by business owners of the portfolio on at least a quarterly basis to make decisions on the best timing to exit the investment according to the investment strategy.

The Level 3 debt instruments are valued at the net present value of estimated future cash flows. The Group also considers liquidity, credit and market risk factors, and adjusts the valuation model as deemed necessary.

TRANSFERS BETWEEN LEVELS

For financial instruments that are recognised at fair value on a recurring basis, the Group determines whether transfers have occurred between Levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

Except for transfers to/(from) Level 3 in the hierarchy presented in a reconciliation of movements in Level 3 of the fair value hierarchy, Group determines whether transfers have occurred between Level 1 and Level 2 in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole).

For the twelve months ended 31 December 2024, RUR 29.0 billion of trading financial assets at fair value through profit or loss and RUR 15.3 billion of investment financial assets at fair value through profit or loss and RUR 38.9 billion of investment financial assets at fair value through other comprehensive income were transferred from Level 1 to Level 2 as their fair values are now measured using an internal market model. Previously their fair value was determined based on quoted market prices.

For the twelve months ended 31 December 2024, trading financial assets in the amount of RUR 44.0 billion and investment financial assets through other comprehensive income in the amount of RUR 38.7 billion were transferred from Level 2 to Level 1 as their fair value became measured based on quoted market prices.

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS
31 DECEMBER 2024 (CONTINUED)

34. FAIR VALUE MEASUREMENT (CONTINUED)

ASSETS AND LIABILITIES MEASURED AT FAIR VALUE

The following tables show an analysis of financial assets and liabilities recorded at fair value by level of the fair value hierarchy:

	Quoted prices in active markets Level 1	Significant observable inputs Level 2	Significant unobservable inputs Level 3	Total
2024				
Financial assets measured at fair value				
Trading financial assets	651.3	37.5	77.0	765.8
Derivative financial assets	–	119.2	12.1	131.3
Due from other banks				
Due from other banks at fair value through other comprehensive income	201.7	–	–	201.7
Loans and advances to customers				
Loans and advances to customers at fair value through other comprehensive income	57.2	–	313.9	371.1
Loans and advances to customers at fair value through profit or loss	–	–	84.5	84.5
Investment financial assets				
Investment financial assets measured at fair value through other comprehensive income	2,767.5	13.4	312.7	3,093.6
Investment financial assets measured at fair value through profit or loss	15.9	6.1	468.1	490.1
Investments in associates and joint ventures designated as at fair value through profit or loss	0.4	5.1	217.9	223.4
Other financial assets	–	0.1	465.7	465.8
Other non-financial assets measured at fair value				
Investment property	–	–	109.2	109.2
Land and premises	–	–	193.1	193.1
Precious metals within Other Assets	–	35.8	–	35.8
Financial liabilities measured at fair value				
Derivative financial liabilities	–	102.1	4.5	106.6
Other financial liabilities	27.3	2.3	13.4	43.0
2023				
Financial assets measured at fair value				
Trading financial assets	758.7	47.3	59.4	865.4
Derivative financial assets	–	112.6	9.6	122.2
Due from other banks				
Due from other banks at fair value through profit or loss	–	–	14.8	14.8
Loans and advances to customers				
Loans and advances to customers at fair value through other comprehensive income	–	56.3	249.9	306.2
Loans and advances to customers at fair value through profit or loss	–	–	45.5	45.5
Investment financial assets				
Investment financial assets measured at fair value through other comprehensive income	2,390.2	15.1	3.4	2,408.7
Investment financial assets measured at fair value through profit or loss	17.1	1.6	39.5	58.2
Investments in associates and joint ventures designated as at fair value through profit or loss	–	42.1	96.5	138.6
Other financial assets	–	0.6	40.1	40.7
Other non-financial assets measured at fair value				
Investment property	–	–	103.7	103.7
Land and premises	–	–	182.8	182.8
Precious metals within Other Assets	–	16.0	–	16.0
Financial liabilities measured at fair value				
Derivative financial liabilities	–	75.5	3.0	78.5
Debt securities issued				
Other financial liabilities	45.5	2.3	27.7	75.5

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS 31 DECEMBER 2024 (CONTINUED)

34. FAIR VALUE MEASUREMENT (CONTINUED)

MOVEMENT IN LEVEL 3 FINANCIAL INSTRUMENTS MEASURED AT FAIR VALUE

A reconciliation of movements in Level 3 of the fair value hierarchy by class of financial instruments is as follows:

	Trading financial assets	Investment financial assets		Investments in associates and joint ventures at fair value through profit or loss	Derivative financial assets and liabilities held for trading (net)	Due from other banks at fair value through profit or loss	Loans and advances to customers		Other financial assets	Other financial liabilities at fair value
		Measured at fair value through profit or loss	Measured at fair value through other comprehen- sive income				At fair value through profit or loss	At fair value through other comprehen- sive income		
2024										
Fair value at 1 January	59.4	39.5	3.4	96.5	6.6	14.8	45.5	249.9	40.1	(27.7)
Interest income and gains or (losses) recognised in income statement	(2.0)	28.7	(12.9)	87.7	1.0	1.1	8.6	32.6	71.8	10.6
• of which unrealised gains/(losses)	(2.2)	17.1	(12.9)	87.7	1.0	–	6.0	1.0	71.8	10.4
Gains/(losses) recognised in other comprehensive income	–	–	0.3	–	–	–	–	(44.2)	–	–
Purchase	70.4	411.4	324.8	–	–	–	–	–	685.0	(0.8)
Sale	(30.4)	(13.1)	(0.2)	–	–	–	–	–	–	–
Issue	–	–	–	–	–	–	53.3	170.8	–	–
Acquisition of subsidiaries	–	–	–	–	–	(13.3)	–	–	–	–
Disposal of subsidiaries	–	–	–	–	–	–	–	–	–	(0.7)
Settlement	(12.3)	–	(3.5)	–	–	(2.6)	(22.9)	(95.2)	(331.2)	7.1
Transfers into Level 3	19.4	1.6	0.9	43.8	2.6	–	–	–	–	–
Transfers out of Level 3	(27.5)	–	(0.1)	(4.4)	(2.6)	–	–	–	–	–
Transfers out of Level 3 to category not at fair value	–	–	–	(5.7)	–	–	–	–	–	(1.9)
Fair value at 31 December	77.0	468.1	312.7	217.9	7.6	–	84.5	313.9	465.7	(13.4)

	Trading financial assets	Investment financial assets		Investments in associates and joint ventures at fair value through profit or loss	Derivative financial assets and liabilities held for trading (net)	Due from other banks at fair value through profit or loss	Loans and advances to customers		Other financial assets	Debt securities issued	Other financial liabilities at fair value
		Measured at fair value through profit or loss	Measured at fair value through other comprehen- sive income				At fair value through profit or loss	At fair value through other comprehen- sive income			
2023											
Fair value at 1 January	64.9	72.5	6.7	89.1	5.7	36.3	89.0	236.1	34.4	(1.0)	(12.3)
Interest income and gains or (losses) recognised in income statement	5.4	(15.7)	2.3	2.0	4.1	(9.2)	19.6	18.6	4.7	1.0	(4.3)
• of which unrealised gains/(losses)	5.3	(15.8)	2.3	2.0	4.1	(10.8)	6.4	(3.8)	4.7	1.0	(3.4)
Losses recognised in other comprehensive income	–	–	0.6	–	–	–	–	(25.5)	–	–	–
Purchase	37.4	–	11.9	5.4	–	–	–	–	1.0	–	2.1
Sale	(38.7)	(4.4)	(1.8)	–	(3.2)	–	–	–	–	–	0.0
Issue	–	–	–	–	–	–	–	123.5	–	–	(21.7)
Modification	–	–	–	–	–	(10.7)	–	–	–	–	–
Settlement	(2.4)	–	(1.6)	–	–	(1.6)	(63.1)	(102.8)	–	–	8.5
Acquisition of subsidiaries	–	–	–	–	–	–	–	–	–	–	–
Disposal of subsidiaries	–	–	–	–	–	–	–	–	–	–	–
Transfers into Level 3	82.5	0.2	1.5	–	–	–	–	–	–	–	–
Transfers out of Level 3 to category not at fair value	(11.7)	–	(14.6)	–	–	–	–	–	–	–	–
Transfer to disposal group	–	–	–	–	–	–	–	–	–	–	–
Transfers out of Level 3	(78.0)	(13.1)	(1.6)	–	–	–	–	–	–	–	–
Fair value at 31 December	59.4	39.5	3.4	96.5	6.6	14.8	45.5	249.9	40.1	–	(27.7)

IMPACT ON FAIR VALUE OF LEVEL 3 FINANCIAL INSTRUMENTS OF CHANGES TO KEY ASSUMPTIONS

For financial instruments, which fair value is estimated using significant unobservable inputs, parameters and assumptions, the exact value of such inputs at the reporting date might be drawn from a range of reasonably possible alternatives. For each unobservable input to which the fair value is most sensitive, the Group calculates its impact on valuation by taking each individual input to the extreme point of its reasonably possible range, while keeping other inputs unchanged. The table below presents the range of fair value of the respective class of financial instruments calculated using the approach discussed above.

Should all the parameters be changed simultaneously to the extreme points of their reasonable ranges, the impact on the fair value would be more significant than disclosed in the table, however, the Group considers that it is unlikely that all parameters and assumptions will be simultaneously at their extreme points.

This disclosure is intended to illustrate the magnitude of the relative uncertainty in the fair value of financial instruments for which valuation is dependent on unobservable parameters, however, the disclosure is not indicative of future movements in fair value.

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS 31 DECEMBER 2024 (CONTINUED)

34. FAIR VALUE MEASUREMENT (CONTINUED)

IMPACT ON FAIR VALUE OF LEVEL 3 FINANCIAL INSTRUMENTS OF CHANGES TO KEY ASSUMPTIONS (CONTINUED)

The following table shows the quantitative information about significant unobservable inputs used in the fair value measurement categorised within Level 3 of the fair value hierarchy.

2024	Fair value	Effect of reasonably possible alternative assumptions	Valuation techniques	Unobservable input description
Trading financial assets	77.0	75.7-78.3	Traders price Other	Traders price n/a
Derivative financial assets and liabilities held for trading (net)	7.6	4.9-69.6	Discounted Cash flow Other	CVA n/a
Loans and advances to customers at fair value through profit or loss	84.5	83.7-85.3	Discounted Cash flow	Discount rate
Loans and advances to customers at fair value through other comprehensive income	313.9	308.8-318.5	Discounted Cash flow	Interest rates currently available for mortgages Percentage of early repayment)
Investment financial assets measured at fair value through profit or loss	468.1	394.1-561.7	Discounted Cash flow	WACC
			Scenario analysis Other	Terminal Growth Liquidity discount LFL sales CAGR
Investment financial assets measured at fair value through other comprehensive income	312.7	312.7-312.7	Other	n/a
Investments in associates and joint ventures designated as at fair value through profit or loss	217.9	170.6-281.5	Discounted Cash flow Discounted Dividend flow Other	WACC Liquidity discount LFL sales CAGR 2024-2029 Terminal Growth Penetration rate in 2032 Growth in the number of server racks per year Content cost to revenue ratio by 2025 Total fleet growth rate per year Package sales growth rate per year Base equity risk premium Senior Loan refinancing rate Recovery date of blocked deposit
Other financial assets	465.7	465.7-465.7	Other	n/a
Other financial liabilities	(13.4)	(13.4)-(13.4)	Net asset value Discounted Cash flow	n/a Discount rate

2023	Fair value	Effect of reasonably possible alternative assumptions	Valuation techniques	Unobservable input description
Trading financial assets	59.4	59.1-59.6	Traders price Other	Traders price n/a
Derivative financial assets and liabilities held for trading (net)	6.6	6.3-7.9	Discounted Cash flow Other	CVA n/a
Due from other banks at fair value through profit or loss	14.8	14.7-14.9	Fair value model	Discount rate
Loans and advances to customers at fair value through profit or loss	45.5	45.0-46.0	Discounted Cash flow	Discount rate
Loans and advances to customers at fair value through other comprehensive income	249.9	246.4-253.0	Discounted Cash flow	Interest rates currently available for mortgages Percentage of early repayment)
Investment financial assets measured at fair value through profit or loss	39.5	36.0-43.1	Discounted Cash flow	WACC
			Scenario analysis Other	Terminal Growth Liquidity discount LFL sales CAGR Trading turnover growth rate by 2032 Discount rate Probability of positive scenario (return of 50% of assets within 10 years) Liquidity discount on notional amount
Investment financial assets measured at fair value through other comprehensive income	3.4	3.4-3.4	Other	n/a
Investments in associates and joint ventures designated as at fair value through profit or loss	96.5	79.2-120.6	Discounted Cash flow Discounted Dividend flow Other	Liquidity discount WACC LFL sales CAGR 2024-2029 Terminal Growth Penetration rate in 2032 Growth in the number of server buildings per year Content cost to revenue ratio by 2025 Total fleet growth rate per year Package sales growth rate per year Base equity risk premium Senior Loan refinancing rate Recovery date of blocked deposit
Other financial assets	40.1	40.1-40.1	Other	n/a
Debt securities issued				
Other financial liabilities	(27.7)	(27.7)-(27.7)	Net asset value Discounted Cash flow	n/a Discount rate

34. FAIR VALUE MEASUREMENT (CONTINUED)**NON-FINANCIAL ASSETS AND LIABILITIES
MEASURED AT FAIR VALUE**

Investment property. Investment property is measured at fair value reflecting market conditions at the end of the reporting period (valuation date). The valuation was carried out by the Group management with the involvement of independent appraisers. Sales comparison, discounted cash flow methods or their combination was used for the revaluation. The following non-observable assumptions (Level 3) were applied in determining of the fair value of the investments properties: trade discount, discount rates, terminal capitalization rates, average annual rental indexation, vacancy rate, adjustments for location, area (volume), class and other conditions. A reconciliation of movements in carrying value of investment property is presented in Note 18.

Land and premises. Land and premises of the Group are subject to revaluation on a regular basis. The frequency of revaluation depends upon the change in the fair values. When the fair value of a revalued asset differs materially from its carrying amount further revaluation is performed. The basis used for valuation was market approach (sales comparison method). The following non-observable assumptions (Level 3) were applied in determining the fair value of land and premises: trade discount, adjustments for location, area (volume), class and other conditions. A reconciliation of movements in carrying value of land and premises is presented in Note 17.

Assets and liabilities of disposal group held for sale. Held for sale disposal groups as a whole are measured at the lower of their carrying amount and fair value less costs to sell. Reclassified financial instruments, deferred taxes and investment properties held at fair value shall be remeasured in accordance with applicable IFRSs before the fair value less cost to sell of the disposal group is remeasured.

Precious metals. Precious metals are measured at fair value using reference prices for refined precious metals. Reference prices are calculated based on London fixing prices translated into RUR using the closing rate of exchange USD to Russian roubles at the reporting date.

Exchange-tradable commodities. Commodities are measured at fair value using international market prices. Reference prices are calculated based on commodity prices translated into RUR using the closing rate of exchange USD to Russian roubles at the reporting date.

**FAIR VALUE OF FINANCIAL ASSETS AND
LIABILITIES NOT CARRIED AT FAIR VALUE**

Set out below is a comparison by class of the carrying amounts and fair values of the Group's financial instruments that are not carried at fair value in the summary consolidated statement of financial position. The table does not include the fair values of non-financial assets and non-financial liabilities. The following describes the methodologies and assumptions used to determine fair values for those financial instruments which are not already recorded at fair value in the financial statements.

Assets for which fair value approximates carrying value. For financial assets and financial liabilities that are liquid or having a short term maturity it is assumed that the carrying amounts approximate to their fair value. This assumption is also applied to customer current/settlement deposits without a specific maturity.

Fixed and variable rate financial instruments. For quoted debt instruments the fair values are determined based on quoted market prices. The fair values of unquoted debt instruments are estimated by discounting future cash flows using rates currently available for debt on similar terms, credit risk and remaining maturities.

Fair values analysis of financial assets and liabilities not measured at fair value by level in the fair value hierarchy. Level 1 (measurements at quoted prices (unadjusted) in active markets for identical assets or liabilities) includes cash and quoted debt instruments measured using unadjusted quoted price in active markets.

Level 2 (valuations techniques with all material inputs observable for the asset or liability, either directly or indirectly) includes quoted debt instruments measured using respective assumptions and unquoted financial instruments with minor credit risk and without any restrictions, measured using observable interest rates for debt instruments with identical maturity.

Level 3 (unobservable inputs) includes all other financial assets and liabilities not measured at fair value.

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS 31 DECEMBER 2024 (CONTINUED)

34. FAIR VALUE MEASUREMENT (CONTINUED)

FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES NOT CARRIED AT FAIR VALUE (CONTINUED)

Set out below is a comparison by class of the carrying amounts and fair values of the Group's financial instruments that are not carried at fair value

2024	Carrying amount	Fair value	Level 1	Level 2	Level 3
Financial assets for which fair values are disclosed					
Cash and short-term funds	2,018.1	2,018.1	377.0	1,634.7	6.4
Mandatory cash balances with central banks	104.1	104.1	—	104.1	—
Due from other banks at amortised cost	1,478.8	1,487.7	—	1,400.6	87.1
Loans and advances to customers at amortised cost	22,151.1	21,217.4	—	—	21,217.4
Investment financial assets at amortised cost	1,822.4	1,548.4	895.3	5.9	647.2
Financial assets of disposal groups	43.5	43.1	—	12.5	30.6
Other financial assets at amortised cost	376.3	376.3	—	—	376.3
Financial liabilities for which fair values are disclosed					
Due to other banks	2,383.9	2,383.9	—	2,383.9	—
Customer deposits	26,926.8	26,650.6	—	26,650.6	—
Other borrowed funds	1,473.8	1,443.3	3.7	1,255.0	184.6
Debt securities issued	426.1	410.0	86.6	52.9	270.5
Financial liabilities of disposal groups	39.4	35.4	—	—	35.4
Other financial liabilities	409.4	409.4	—	—	409.4
Subordinated debt	98.7	75.1	57.0	0.3	17.8
2023	Carrying amount	Fair value	Level 1	Level 2	Level 3
Financial assets for which fair values are disclosed					
Cash and short-term funds	1,210.8	1,210.8	330.3	861.7	18.8
Mandatory cash balances with central banks	54.2	54.2	—	54.2	—
Due from other banks at amortised cost	1,068.1	1,067.2	—	1,018.4	48.8
Loans and advances to customers at amortised cost	19,506.0	19,091.4	—	—	19,091.4
Investment financial assets at amortised cost	1,434.7	1,282.4	856.5	18.5	407.4
Financial assets of disposal groups	—	—	—	—	—
Other financial assets at amortised cost	265.0	265.0	—	—	265.0
Financial liabilities for which fair values are disclosed					
Due to other banks	1,677.3	1,674.5	—	1,674.5	—
Customer deposits	22,346.8	22,312.3	—	22,312.3	—
Other borrowed funds	1,048.9	1,038.9	—	1,038.9	—
Debt securities issued	316.9	291.5	108.1	60.1	123.3
Financial liabilities of disposal groups	0.2	0.2	—	—	0.2
Other financial liabilities	182.1	182.1	—	—	182.1
Subordinated debt	122.9	95.0	—	0.2	94.8

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS 31 DECEMBER 2024 (CONTINUED)

35. CAPITAL MANAGEMENT AND CAPITAL ADEQUACY*

Capital adequacy is of a critical importance to the Group. The Group's intention is to have a strong capital base in order to maintain investor, creditor and market participants confidence and to sustain future development of its business.

The Group applies CBR requirements to manage its capital base. The Group is subject to consolidated regulatory capital requirements which are calculated in accordance with the regulations of the CBR.

CBR has designated the Bank as a systemically important bank (SIB). Accordingly, the capital requirements calculated in accordance with the CBR rules include the risk-based capital buffers and SIB surcharge.

As at 31 December 2024 the minimum risk-based capital buffers, applicable to the Group are set to 0.3% (31 December 2023: 0.0%).

The risk-based capital buffers and SIB surcharge in the future may differ due to additional guidance from the CBR.

The Group controls its capital adequacy ratios, determined in accordance with the CBR requirements by following categories of capital: core equity adequacy ratio of the Group (N 20.1); common capital adequacy ratio of the Group (N 20.2) and total capital adequacy ratio of the Group (N 20.0).

	2024	2023
Common capital	2,081.4	1,928.8
Additional capital	256.3	370.5
Total capital	2,337.7	2,299.3
Risk-weighted assets after consolidation adjustments for N 20.1	25,511.9	21,661.4
Risk-weighted assets after consolidation adjustments for N 20.2	25,715.0	21,650.1
Risk-weighted assets after consolidation adjustments for N 20.0	25,770.2	21,674.0
Core equity adequacy ratio of the Group (N 20.1)	6.2%	6.9%
Common capital adequacy ratio of the Group (N 20.2)	8.1%	8.9%
Total capital adequacy ratio of the Group (N 20.0)	9.1%	10.6%

As at 31 December 2024 the Bank was in compliance with the CBR requirements to maintain minimum capital adequacy ratios of the Bank as a percentage of risk-weighted assets, determined in accordance with CBR's requirements by the following categories of capital: core equity adequacy ratio (N 1.1); common capital adequacy ratio (N 1.2) and total capital adequacy ratio (N 1.0).

The Bank uses the internal ratings approach approved by the Bank of Russia in order to calculate the amount of credit risk for capital adequacy ratios.

	2024	2023
Core equity adequacy ratio (N 1.1)	5.4%	5.9%
Common capital adequacy ratio (N 1.2)	7.5%	8.4%
Total capital adequacy ratio (N 1.0)	9.0%	9.9%

Other members of the Group, including those located in other countries, comply with the applicable regulatory capital requirements of the CBR, local central banks or other supervisory authorities.

In particular, insurance companies and non-state pension funds belonging to the Group are subject to

capital and financial sustainability requirements stated by the CBR. The current legislation sets concentration limits for investing for insurance companies and non-state pension funds. As at 31 December 2024, NSPF and IC belonging to the Group comply the applicable capital and concentration requirements stated by the CBR.

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS
31 DECEMBER 2024 (CONTINUED)

OTHER INFORMATION

36. RELATED PARTY TRANSACTIONS	73
37. TRANSFERS OF FINANCIAL ASSETS AND ASSETS HELD OR PLEDGED AS COLLATERAL.....	74
38. COMPOSITION OF THE GROUP*	74
39. NON-CONTROLLING INTERESTS*	74

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS 31 DECEMBER 2024 (CONTINUED)

36. RELATED PARTY TRANSACTIONS

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operational decisions as defined by IAS 24, *Related Party Disclosures*.

In considering each possible related party relationship, attention is directed to the substance of the relationship, not merely the legal form.

Transactions and balances with related parties comprise transactions and balances with Russian government-related entities and associates and joint ventures.

A government-related entity is an entity that is controlled, jointly controlled or significantly influenced by Russian government. *

Transactions and balances with related parties comprise transactions and balances with Russian government-related entities and associates and joint ventures presented in the tables below form a significant part of assets, liabilities, commitments and contingencies. *

	2024			2023		
	Government-related entities	Associates	Joint ventures	Government-related entities	Associates	Joint ventures
Statement of financial position						
Assets						
Cash and short-term funds	1,223.6	—	2.3	717.0	—	—
Mandatory cash balances with central banks	95.0	—	—	50.9	—	—
Trading financial assets	599.1	11.5	—	690.7	8.0	—
Derivative financial assets	85.5	1.2	—	71.1	1.6	—
Due from other banks	1,486.2	—	—	865.1	39.8	—
Less: expected credit loss	(0.3)	—	—	(0.3)	—	—
Loans and advances to customers	3,500.0	171.0	43.0	2,868.1	157.4	29.8
Less: expected credit loss	(24.8)	(9.4)	(2.5)	(31.6)	(9.7)	(3.1)
Investment financial assets	4,600.1	4.7	—	3,717.9	16.1	—
Less: expected credit loss	(1.6)	—	—	(0.6)	—	—
Other assets	22.0	2.4	0.1	33.3	3.0	0.6
Liabilities						
Due to other banks	2,021.8	—	8.7	1,025.6	153.1	17.5
Customer deposits	5,167.1	176.6	46.3	5,720.5	242.8	29.8
Derivatives financial liabilities	68.7	0.3	—	45.0	1.3	—
Other borrowed funds	1,466.2	—	—	910.6	—	—
Other liabilities	45.9	0.5	0.1	73.3	0.5	0.1
Credit related commitments	1.8	—	0.3	4.8	1.0	0.2
Performance guarantees issued	214.4	20.3	1.6	212.5	19.1	—

	2024			2023		
	Government-related entities	Associates	Joint ventures	Government-related entities	Associates	Joint ventures
Income statement						
Interest income calculated using the effective interest method	1,083.6	8.4	1.3	900.2	29.9	3.4
Other interest income	17.0	3.6	1.1	26.3	12.6	1.1
Interest expense	(1,407.4)	(33.6)	(2.7)	(697.1)	(16.1)	(0.5)
(Provision charge) / reversal of provision for credit losses on debt financial assets	9.2	38.4	0.6	(9.0)	13.1	(1.5)
(Provision charge) / reversal of provision for credit losses on credit related commitments	(0.3)	—	—	0.5	0.1	0.2

The key management personnel include members of the Management Board of VTB Bank and members of the Supervisory Council of VTB Bank. The aggregate remuneration for the year ended 31 December 2024 amounted to RUR 7.9 billion (for the year ended 31 December 2023: RUR 5.3 billion). Compensation of key management personnel consists primarily of short-term employee benefits, including pension contributions.

Under the Group's updated policy of key management personnel remuneration, the Management Board of VTB Bank receives 60% of the annual bonus in lump

sum, and 40% is deferred for the period of 3 years. The deferred amount is paid in three equal instalments in one, two and three years after the grant date, subject to the certain non-vesting conditions. Half of the deferred amount is paid in cash and another half is paid under a cash-settled share based payment plan.

As at 31 December 2024 the liability arising from cash-settled share-based payment transaction amounted to RUR 1.7 billion (31 December 2023: RUR 1.0 billion) and was recognized in Other liabilities.

37. TRANSFERS OF FINANCIAL ASSETS AND ASSETS HELD OR PLEDGED AS COLLATERAL

The Group transferred financial assets in transactions that did not qualify for derecognition. The following note provides a summary of financial assets which have been transferred in such a way that part or all of the transferred financial assets do not qualify for derecognition.

Transfers that did not qualify for derecognition of the financial asset in its entirety

Information about assets pledged under sale and repurchases agreements which the Group entered into in the normal course of business is presented in Notes 12, 14, 15, and 16.

The Group has loans and advances to customers that did not qualify for derecognition with carrying amount of RUR 870.4 billion (31 December 2023: RUR 336.1 billion) and associated financial liabilities with carrying amount of RUR 870.4 billion (31 December 2023: RUR 336.1 billion).

Within the securitization operations the Group transferred portfolios of mortgage and consumer loans to a mortgage agents or other special purpose vehicles in exchange for bonds issued. Besides, as part of securitization deals, the Group can enter into interest rate swaps with a mortgage agents and assumes an obligation to buy back defaulted loans until the accumulated losses on the portfolio exceed a certain level of the nominal value.

Within the securitization of mortgage loans arranged with DOM.RF and its subsidiary mortgage agents, the Group continues to recognize loans until the sale of the bonds to a third party.

Within the securitization of consumer loans, arranged with special purpose vehicles the Group continues to recognize loans until maturity due to the applicable legislation and terms of transactions does not result to transfer of substantial credit risk.

Information about assets pledged under securitization operations which the Group enters into in the normal course of business is presented in Note 15.

Assets pledged as collateral

The Group pledges assets that are on its statement of financial position in various day-to-day transactions that are conducted under the usual terms and conditions applying to such agreements. Refer to the section "(a) Transfers that did not qualify for derecognition of the financial asset in its entirety" above.

Assets held as collateral

The Group holds certain assets as collateral, which it is permitted to sell or repledge in the absence of default by the owner of the collateral, under the usual terms and conditions applying to such agreements. The Group received securities as collateral in reverse repurchase agreements with banks and customers (Notes 14, 15).

In addition, the Group held a customer deposits as collateral for irrevocable commitments under import letters of credit and guarantees. The Group is obliged to return the collateral at maturity of the import letters of credit and guarantees.

38. COMPOSITION OF THE GROUP *

Restrictions to access or use the Group's assets

Statutory, contractual or regulatory requirements, corporate laws, as well as protective rights of non-controlling interests might restrict the ability of the Group to access and transfer assets freely to or from entities within the Group and to settle liabilities of the Group.

At 31 December 2024 and 31 December 2023, the Group had no material non-controlling interests whose protective

rights significantly restricted the Group's ability to access or use the assets and settle the liabilities of the Group.

Banking regulations and regulations applicable to non-state pension funds, including solvency and liquidity requirements, may restrict the Group's ability to transfer assets to or from its regulated subsidiaries in certain jurisdictions, as well as the ability of such subsidiaries to transfer funds to the Group in the form of cash dividends or to repay intergroup loans and advances.

39. NON-CONTROLLING INTERESTS *

The Group has defined as material a non-controlling interest in subsidiaries in which it has less than 75% of the voting rights.

Some subsidiaries, whose net assets form a significant part of the Group's net assets, may also be included in the list even if the Group has more than 75% of voting rights.

TRANSLATION OF THE ORIGINAL RUSSIAN VERSION

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS

31 DECEMBER 2024 (CONTINUED)

BASIS OF PREPARATION AND PRESENTATION

40. BASIS OF PREPARATION OF SUMMARY CONSOLIDATED FINANCIAL STATEMENTS.....	76
41. SUMMARY OF SUBSTANTIAL ACCOUNTING POLICIES.....	77
42. NEW STANDARDS.....	85

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS
31 DECEMBER 2024 (CONTINUED)**40. BASIS OF PREPARATION OF SUMMARY CONSOLIDATED FINANCIAL STATEMENTS**

These summary consolidated financial statements have been prepared on the basis of the consolidated financial statements of the Bank and its subsidiaries (hereinafter, the "Group") as at 31 December 2024 and for the year then ended prepared in accordance with IFRS Accounting Standards, by copying from the consolidated financial statements of the Bank and its subsidiaries without any modifications:

- The consolidated income statement for the year ended 31 December 2024,
- The consolidated statement of comprehensive income for the year ended 31 December 2024,
- The consolidated statement of financial position as at 31 December 2024,
- The consolidated statement of changes in shareholders' equity for the year ended 31 December 2024.

The summary consolidated financial statements of the Group contain all the disclosures required by IFRS Accounting Standards, except for the consolidated statement of cash flows and other information provided in Appendix 1 to the decision of the Board of Directors of the Bank of Russia dated 24 December 2024 on requirements for credit institutions (parent credit institutions of banking groups) to disclose their financial statements and information in 2025, namely:

- Derivative financial instruments for hedging purposes and their revaluation,
- Investments in associates,
- Provisions for potential losses on credit-related contingencies and other potential losses on transactions with offshore residents,
- Treasury shares,
- Transactions (scope of transactions/amount of funds) in foreign currencies,
- Gains and losses (net gains) from dealing in foreign currencies and their revaluation,
- Income from participation in equity of other legal entities,
- Change in the cash flow hedge reserve,
- Instruments of core, additional paid-in and supplementary capital of subsidiaries owned by third parties,
- Investments in core, additional paid-in and supplementary capital instruments of financial institutions and other instruments of financial institutions that provide the overall capacity to cover losses,
- Leverage ratio,
- Short-term liquidity ratio,
- Net stable funding ratio,

- Concentration ratios,
- Cash flows during the 2024 and 2023 reporting periods,
- Risks assumed, risk assessment and risk and capital management procedures (included in the information set out in the appendix to Directive No. 4482-U),
- Shareholders (participants) and parties controlling them,
- Affiliates,
- Parties that control or exercise significant influence on the credit institution,
- Subsidiaries of the credit institution (banking group),
- Members of the management bodies and other officers of the credit institution and its controlled entities,
- Parties controlling the credit institution,
- Transactions of the credit institution, its controlling parties and controlled parties,
- Counterparties of the credit institution and the industry-specific and geographical structure of transactions with them,
- Blocked assets,
- Reorganization of the credit institution (with the exception of information about the fact of making the decision on reorganization), and
- Significant facts (events and actions) which impact the financial and business activities of the credit institution subject to reorganization in the form of merger, acquisition and transformation (with the exception of facts (events, actions), specified in paragraphs 5 and 6 of part 8 of Article 23 of the Federal Law *About Banks and Banking Activities*).

Pursuant to the above decision of the Bank of Russia's Board of Directors, the Bank does not publish the audited consolidated financial statements of the Group prepared in accordance with IFRS Accounting Standards for 2024.

Consolidated financial statements which were used as a basis of preparation of these summary consolidated financial statements have been prepared under the historical cost convention, as modified by the initial recognition of trading financial instruments based on fair value, by the revaluation of land, premises and investment properties, investment securities at fair value through profit and loss and through other comprehensive income, by assets of disposal groups held for sale measured at lower of: book value and fair value less cost to sell and also by premises, intended for sale in the normal course of business, measure at lower of: cost and net realizable value.

40. BASIS OF PREPARATION OF SUMMARY CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

The summary of substantial accounting policies applied in the preparation of the consolidated financial statements of the Group is set out below in Note 41. These policies have been consistently applied to all the periods presented, unless otherwise stated.

These summary consolidated financial statements are presented in Russian roubles (RUR), the national currency of the Russian Federation, where the Bank is domiciled.

Unless otherwise noted herein, all amounts are expressed in billions of Russian roubles rounded off to one decimal. Due to rounding, numbers presented throughout this document may not sum precisely to the totals provided and percentages may not precisely reflect the absolute figures.

These summary consolidated financial statements have been revised compared to the summary consolidated financial statements for the year ended 31 December 2024 which were approved for issue on 25 February 2025. The changes were introduced following the Central Bank of Russian Federation prescription to disclose additional information and are marked with an asterisk (*).

New and revised standards

The following amendments became mandatory for annual periods beginning on or after 1 January 2024:

- Amendments to IAS 1 – *Deferred Obligations with Covenants*. An entity shall classify its liabilities as

current or non-current based on an analysis of covenants that are required date. An entity shall separately disclosure non-current liabilities with covenants that are required to be met within twelve months after the reporting date;

- Amendments to IFRS 16 – *Sale and Leaseback Obligations*. The standard was amended with additional guidance on subsequent measurement of assets and liabilities in sale and leaseback transactions, meeting criteria for transferring control of asset in accordance with IFRS 15 – *Revenue from Contracts with Customers*.

The amendments require a seller-lessee to measure the lease liability arising from a sale and leaseback transaction involving fully variable payments in a manner that does not result in the recognition of any gain or loss on its retained rights to use the asset sold.

- Amendments to IAS 7 – *Statements of Cash Flow* and IFRS 7 *Financial instruments: disclosures – Financing Arrangements for Supplies*. The disclosure requirements in the amendments are intended to help users of financial statements understand the effect on financing arrangements on an entity's liabilities, cash flows and exposure to liquidity risk.

The above amendments did not have a material impact on the Group's summary consolidated financial statements.

41. SUMMARY OF SUBSTANTIAL ACCOUNTING POLICIES**Investments in associates and joint arrangements***Venture Capital Investments*

Investments in companies that are managed by a dedicated team within VTB Group, primarily involved in venture capital activities, as part of the Group's investment portfolio of securities at fair value through profit and loss and over which the Group may have significant influence are carried at fair value as permitted by IAS 28 which allows investments in associates and joint ventures that are held by venture capital organizations to be excluded from the scope of IAS 28 if these investments are upon initial recognition designated as at fair value through profit or loss or are classified as held for trading and accounted in accordance with IFRS 9. These venture capital investments of the Group are classified as investments in associates and joint ventures designated as at fair value through profit or loss and the changes in the fair value of such investments are accounted for similar to the changes in the fair value of financial assets designated as at fair value through profit or loss as described below, and is included in the gains less losses arising from financial instruments at fair value through profit or loss.

Financial assets*Assessment whether contractual cash flows are solely payments of principal and interest*

In assessing whether the contractual cash flows are solely payments of principal and interest, the Group considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making the assessment, the Group considers:

- Contingent events that would change the amount and timing of cash flows;
- Leverage features;
- Prepayment and extension terms;
- Terms that limit the Group's claim to cash flows from specified assets (e.g. non-recourse asset arrangements); and
- Features that modify consideration of the time value of money – e.g. periodical reset of interest rates.

Restructuring of financial assets

The Group from time to time may restructure some of its financial assets. This mostly relates to loans and receivables. The accounting treatment of such restructuring is conducted in the following basic scenarios.

41. SUMMARY OF SUBSTANTIAL ACCOUNTING POLICIES (CONTINUED)**Financial assets (continued)***Derecognition of loans and receivables as a result of restructuring*

If the terms of a financial asset are modified, the Group evaluates whether the cash flows of the modified asset are substantially different. If the cash flows are substantially different, then the contractual rights to cash flows from the original financial asset are deemed to have expired. In this case, the original financial asset is derecognised and a new financial asset is recognised at fair value.

In determining the financial assets that are subject to derecognition the Group analogizes its approach to the guidance on the derecognition of financial liabilities.

Qualitative assessment

A qualitative assessment is performed to determine whether the terms of the instrument are substantially different.

Indicators that qualitative modifications may be considered significant irrespective of any signs of quantitative modification may include:

- Change of the borrower, while changing a borrower within one group of interrelated legal entities, provided that credit risk level remained unchanged, does not lead to derecognition of the original financial asset and the recognition of a new one;
- Change of currency;
- Change of floating interest rate to fixed interest rate and vice versa;
- Change of contractual terms which leads to the reassessment of SPPI criterion, including cancellation (or introduction) of contractual right to convert debt instrument into a number of ordinary shares.

Quantitative assessment

Quantitative assessment of modification is usually applied when modification of contractual terms is not connected with the deterioration of the borrower's creditworthiness (for Stage 1 and Stage 2 financial assets).

Terms are considered to have been substantially modified when the net present value of the cash flows under the new terms, including any fees paid net of any fees received and discounted using the original effective interest rate – substantially differs (similar to quantitative assessment of modification for financial liabilities) from the present value of the remaining cash flows under the original terms.

The following thresholds are used for quantitative assessment of modification:

- Less than 10% – modification is not substantial;
- 10-20% – combined test: quantitative modification within the specified thresholds is considered substantial provided there are other changes that are secondary in terms of a separate qualitative assessment, such as, for example, amendments in restrictive terms (covenants), change of loan purpose, etc.;
- More than 20% – modification is substantial.

Financial liabilities

Financial liabilities are classified as financial liabilities at fair value through profit or loss if they are issued for the purpose of repurchasing them in the near term. They normally contain trade financial liabilities or "short" positions in securities. Derivatives with negative fair value are also classified as financial liabilities at fair value through profit or loss. Gains or losses on financial liabilities at fair value through profit or loss are recognised in the income statement.

Offsetting

Financial assets and liabilities are offset and the net amount is reported in the statement of financial position when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis, or to realize the asset and settle the liability simultaneously. Such a right of set off (a) must not be contingent on a future event and (b) must be legally enforceable in all of the following circumstances: (i) in the normal course of business, (ii) the event of default and (iii) the event of insolvency or bankruptcy. This is not generally the case with master netting agreements, and the related assets and liabilities are presented gross in the summary consolidated statement of financial position.

The Group has sale and repurchase arrangements providing for unilaterally set off receivables and respective collateral, which are enforceable in case of default (Notes 12, 14, 15, 16, 21, 22, 23).

Cash and cash equivalents

Cash and cash equivalents are items, which can be converted into cash within a day. All short-term interbank placements, including overnight placements, are included in due from other banks. Amounts which relate to funds that are of a restricted nature, and correspondent accounts in precious metals are excluded from cash and cash equivalents. Cash and cash equivalents are carried at amortized cost, which approximates fair value.

41. SUMMARY OF SUBSTANTIAL ACCOUNTING POLICIES (CONTINUED)**Regular way transactions**

Regular way transactions are purchases or sales of financial assets that require delivery of assets within the period generally established by regulation or convention in the marketplace. All regular way purchases and sales of financial assets are recognised or derecognised on the contractual settlement date which is the date when the asset is to be delivered to or by the Group. Regular way transactions are not recognised as derivatives because of the short duration of the commitment to deliver financial assets between the trade and settlement date.

Any change in the fair value of the financial assets at fair value through profit or loss to be received during the period between the trade date and the settlement date is recognised in the income statement and for financial assets available for sale is recognised in other comprehensive income for financial assets purchased. For financial assets sold on a regular way basis no changes in fair value are recognised in the income statement or in other comprehensive income between the trade and settlement date. Assets carried at cost or amortized cost are not affected by the change in fair value during the period between the trade and settlement date.

Promissory notes purchased

Promissory notes purchased are included in financial assets at fair value through profit or loss or in due from other banks or in loans and advances to customers or in investment securities held-to-maturity, depending on their substance and are recorded, subsequently remeasured and accounted for in accordance with the accounting policies for these categories of assets.

Leases

The Group applies the fair value model to right-of-use assets that meet the definition of investment property in accordance with IAS 40. The Group applies the revaluation model to right-of-use assets that relate to land and premises. The Group applies the cost model and recognise depreciation on a straight-line basis in respect of equipment.

Impairment of financial assets

The Group measures loss allowances at an amount equal to lifetime ECL, except for the following, for which they are measured as 12-month ECL:

- Debt investment securities that are determined to have low credit risk at the reporting date; and
- Other financial instruments (other than lease receivables) on which credit risk has not increased significantly since their initial recognition).

Loss allowances for lease receivables are always measured at an amount equal to lifetime ECL.

The Group considers a debt security to have low credit risk when their credit risk rating is equivalent to the globally understood definition of 'investment grade'.

Presentation of allowance for ECL in the statement of financial position

Loss allowances for ECL are presented in the statement of financial position as follows:

- Loan commitments and financial guarantee contracts: generally, as a provision;
- Where a financial instrument includes both a drawn and an undrawn component, and the Group cannot identify the ECL on the loan commitment component separately from those on the drawn component: the Group presents a combined loss allowance for both components. The combined amount is presented as a deduction from the gross carrying amount of the drawn component. Any excess of the loss allowance over the gross amount of the drawn component is presented as a provision.

Investment property

Investment property is initially recognised at cost, including transaction costs, and subsequently remeasured at fair value reflecting market conditions at the end of the reporting period. Fair value of the Group's investment property is determined on the base of various sources including reports of independent appraisers, who hold a recognised and relevant professional qualification and who have recent experience in valuation of property of similar location and category.

Investment property that is being redeveloped for continuing use as investment property or for which the market has become less active continues to be measured at fair value. Earned rental income is recorded in the income statement within income arising from non-banking activities. Gains and losses resulting from changes in the fair value of investment property are recorded in the income statement and presented within income or expense arising from non-banking activities.

Subsequent expenditure is capitalized only when it is probable that future economic benefits associated with it will flow to the Group and the cost can be measured reliably. All other repairs and maintenance costs are expensed when incurred. If an investment property becomes owner-occupied, it is reclassified to premises and equipment, and its carrying amount at the date of reclassification becomes its deemed cost to be subsequently depreciated.

Land, premises and equipment

Premises and equipment are stated at revalued amounts and cost, respectively, less accumulated depreciation and allowance for impairment where required. Land is stated at revalued amounts. Land has indefinite term of usage and, therefore, is not depreciable. Where the carrying amount of an asset is greater than its estimated recoverable amount, it is written down to its recoverable amount and the difference is recognised in the income statement. The estimated recoverable amount is the higher of an asset's fair value less costs to sell and its value in use.

41. SUMMARY OF SUBSTANTIAL ACCOUNTING POLICIES (CONTINUED)**Land, premises and equipment (continued)**

Land, premises and equipment of acquired subsidiaries are initially recorded in the statement of financial position at their estimated fair value at the date of acquisition. No accumulated depreciation on the premises and equipment acquired in the business combinations is presented in the financial statements on the date of acquisition.

Land and premises of the Group are subject to revaluation on a regular basis, approximately every three to five years. The frequency of revaluation depends upon the change in the fair values. When the fair value of a revalued asset differs materially from its carrying amount further revaluation is performed. The revaluation is applied simultaneously to the whole class of property to avoid selective revaluation.

The land and premises revaluation reserve included in equity is transferred directly to retained earnings when the surplus is realized, i.e. on the retirement or disposal of the asset or as the asset is used by the Group; in the latter case, the amount of the surplus realized is the difference between depreciation based on the revalued carrying amount of the asset and depreciation based on the asset's original cost.

Construction in progress is carried at cost less allowance for impairment, if any. Upon completion, assets are transferred to premises and equipment at their carrying value. Construction in progress is not depreciated until the asset is available for use.

If impaired, land, premises and equipment are written down to the higher of their value in use and fair value less costs to sell.

Depreciation

Depreciation is recognised on a straight-line basis over the estimated useful lives of the assets using the following basic annual rates:

	Useful life	Depreciation rates
	Maximum	Minimum
Premises	150 years	0.7% per annum
Equipment	4-20 years	5%-25% per annum

Estimated useful lives and residual values are reassessed annually.

Intangible assets other than goodwill

Following initial recognition, intangible assets are carried at cost less any accumulated amortization and any accumulated impairment losses. The useful lives of intangible assets are assessed to be either finite or indefinite. Intangible assets with finite lives are amortized using straight-line method over the useful economic lives, which normally do not exceed 5 years, and assessed for impairment whenever there is an indication that the intangible asset may be impaired. Amortization periods and amortization methods for intangible assets with finite useful lives are reviewed at least at each financial year-end.

Operations with precious metals

The Group enters into different types of transactions with precious metals including sale and purchase agreements, metal-currency swap transactions, lending and borrowing in precious metals. Correspondent accounts in precious metals (assets) are recorded within Cash and short-term funds; however, they are excluded from Cash and cash equivalents as the precious metals are considered to be a commodity rather than a financial instrument. Precious metals inventory in vault is included in Other assets.

Operations with precious metals (continued)

When the Group receives precious metals as a loan or accepts precious metals as deposits and subsequently enters into a swap transaction to exchange precious metals for cash or a similar transaction in its economic substance, it accounts for the corresponding amounts as funds raised as a liability in the appropriate line of the statement of financial position and recognizes interest expense at the effective interest rate over the life of the loan. Derivative financial instruments (derivatives) associated with such transactions, including derivatives on precious metals, separated from host contracts are included in the statement of financial position within assets or liabilities at fair value through profit or loss with any changes in fair value reflected in the income statement.

Pension insurance liabilities

The Group enters into obligatory pension insurance (OPI) contracts, non-state pension provision (NPP) contracts and formation of long-term savings (LTSP).

Insurance contracts are represented by OPI, NPP and LTSP contracts under which the Group accepts significant insurance risk from the policyholder by agreeing to compensate the policyholder if a specified uncertain future event (the insured event) adversely affects the policyholder.

Insurance risk is significant if the following condition is met: the maximum ratio of all discounted cash outflows under the contract to all discounted cash inflows is at least 105%.

The Group classifies pension insurance contracts, non-state pension provision contracts and formation of long-term savings contracts into one of the portfolios depending on the following features:

- Presence (absence) of significant insurance risk;
- Risk similarity and management under single portfolio principle;
- Belonging to an issuing organization (acquired agreement feature);
- Presence (absence) of direct participation;
- For pension insurance contracts and non-state pension provision contracts: type of accounting unit depending on the contract boundary;
- For non-state pension provision contracts and long-term savings program contracts with the boundaries limited to the date of pension entitlement: the stage of the contract.

41. SUMMARY OF SUBSTANTIAL ACCOUNTING POLICIES (CONTINUED)**Pension insurance liabilities (continued)**

The Group classifies the OPI, NPP and LTSP contracts to a profitability group based on a combination of contracts determined by the classification parameters of these contracts. The Group classifies NPP contracts by profitability group as onerous at initial recognition and other contracts.

The Group shall not include contracts issued more than one year apart in the same profitability group. Contracts issued in one calendar year shall be classified in the same profitability group and represent an annual cohort – the minimum unit of accounting.

When measuring pension obligations, the Group shall estimate all cash flows within the boundaries of existing contracts. In determining the contract boundary, the Group shall consider its substantive rights and obligations, whether they arise from a contract, law or regulation.

The boundaries of an OPI contract are determined from the date when the first premium is actually paid until the end of pension payments to the insured person.

The boundaries of LTSP contracts are determined from the date when the first premium is actually paid until the date of entitlement to non-state pension and from the date of entitlement to the end of pension payments to the insured person.

The boundaries of NPP contracts are determined from the date when the first premium is actually paid until the end of pension payments to the insured person or until the date of entitlement to non-state pension as well as from the date of entitlement to pension until the end of pension payments to the insured person.

In determining the boundary of an NPP contract, the Group considers whether the contract specifies any of the parameters that affect the determination of the contract boundary, such as:

- The actuarial rate of return (ARR) used in awarding pension.
- The mortality table.
- Rates.
- The payout amount.

The date of initial recognition of pension liabilities is the earliest of the dates:

- Start of the coverage period for a group of contracts;
- The date on which the first payment from the policyholder in the relevant group of contracts falls due; and
- For a group of onerous contracts, the date on which the group becomes onerous.

If the contract does not provide for a specific date for the first payment, then such date is the date of the first actual payment from the policyholder under this contract.

The Group applies either the BBA model or the VFA model for non-state pension insurance contracts if the criteria for direct participation contracts are met. VFA model is used for obligatory pension insurance agreements and long-term savings contracts.

Agreement with conditions of direct participation – an agreement, in relation to which, at the time of its commencement:

- The contractual terms specify that the policyholder participates in a share of a clearly identified pool of underlying items.
- The Group expects to pay to the policyholder an amount equal to a substantial share of the fair value returns on the underlying items.
- The Group expects a substantial proportion of any change in the amounts to be paid to the policyholder to vary with the change in fair value of the underlying items. An amount is substantial if it represents 70% of the overall change in the amounts to be paid to the policyholder. If the proportion of any change in the amounts to be paid to the policyholder that vary with the change in fair value of the underlying items is at least 60%, the entity reserves the right to identify such proportion as substantial individually for each contract.

Fulfillment cash flows

Cash flows that are included in the measurement of fulfillment cash flows are cash flows within the boundary of a contract that relate directly to the fulfillment of the contract, including cash flows for which the Group has discretion over the amount or timing.

The cash flows within the boundary include:

- Pension contributions of participants/depositors and insured persons.
- One-off contribution from OPI to LTSP.
- Targeted contributions of corporate depositors.
- Redemption amounts paid to participants/depositors and insured persons/transfer to other pension funds on cancellation of a contract.
- Death payments to heirs/legal successors.
- Pension payments.
- An allocation of acquisition cash flows.
- Contract administration and maintenance costs.
- Expenses for management companies and a specialized depository.
- Other cash flows related to the group of contracts.

41. SUMMARY OF SUBSTANTIAL ACCOUNTING POLICIES (CONTINUED)**Pension insurance liabilities (continued)**

Unallocated contributions are distributed by the Group at the contract group level. Experience adjustments arising from premiums received in the period that relate to future service shall adjust the contractual service margin. Experience adjustments arising from premiums received in the period that do not relate to future service are recognized within pension revenue in profit or loss.

Acquisition cash flows

Acquisition cash flows represent cash flows arising from selling, underwriting and expenses incurred in connection with the formation of a group of contracts. Acquisition cash flows include only expenses directly related to the contract portfolio.

Acquisition cash flows may be recognized as an asset prior to the recognition of the relevant group of contracts if they are paid or a liability is recognized in respect of such flows in accordance with another IFRS before the date of recognition of the relevant group of contracts. Such an asset is recognized for each such group of contracts. The Group derecognises such an asset at the time of recognition of the group of contracts and includes it in fulfillment cash flows.

Acquisition cash flows are allocated to groups of contracts using a systematic and rational method.

The group determines the revenue from insurance activities related to acquisitions costs by systematic allocation of insurance premiums intended to cover the cash flows for acquisition costs to each reporting period. At the same time, an equivalent amount is recognized as insurance expenses.

Risk adjustment

The Group uses the value-at-risk method (or the confidence interval approach) to estimate the risk adjustment.

The risk adjustment is updated each reporting date using current assumptions.

The Group applies an adjustment for non-financial risk on initial and recognition and subsequent measurement. The Group has elected not to disaggregate the change in risk adjustment for non-financial risk into an amount attributable to the result of providing insurance services and an amount attributable to insurance finance income or expenses. Changes in the risk adjustment for non-financial risk that do not relate to future services are presented in the income statement as part of insurance revenue/expenses.

Discounting

Discount rates for cash flows are determined from their distribution in time, currency and liquidity level as follows:

Commitment component	Applied discount rates
Execution cash flows	Current discount rates
Calculation of interest on margin under contracts without direct participation conditions	Discount rates determined at the date of initial recognition
Margin adjustments related to changes in performance cash flows for future services under contracts without direct participation terms	Discount rates determined at the date of initial recognition
Contractual Service Margin Adjustments for Direct Participation Contracts	Discount rate that corresponds to the rate used to allocate financial income or expenses

In the case of contracts with direct participation terms, the margin for contractual services is adjusted for changes in the fair value of the underlying assets, which include the effect of changes in the discount rate.

Margin for contracted services

The contractual service margin (hereinafter referred to as the "margin") at the reporting date represents the gain on a group of contracts that has not yet been recognized in profit or loss because it relates to deferred services on the contracts included in that group.

At each reporting date, the carrying amount of the margin for a group of contracts without direct participation terms is determined as the carrying amount of the margin at the beginning of the reporting period, adjusted for:

- The impact of new treaties;
- Interest accrued on the carrying amount of the margin during the reporting period, calculated using discount rates at the date of initial recognition;
- Changes in fulfillment cash flows for deferred services, unless:
 - The increase in cash flows from fulfillment of contracts exceeds the carrying value of the margin, which results in a loss; or
 - Reduction in cash flows from fulfillment of contracts is charged to the loss component of the liability for the remaining coverage;
- The impact of exchange rate differences on the margin; and
- The amount recognized as insurance revenue from the provision of services in the reporting period, which is determined by allocating the contractual service margin remaining at the end of the reporting period (before the allocation is made) to the current and remaining coverage periods.

41. SUMMARY OF SUBSTANTIAL ACCOUNTING POLICIES (CONTINUED)**Pension insurance liabilities (continued)**

The contractual service margin is recognized in profit or loss through amortization by allocating it equally to the coverage units.

Coverage units reflect the amount of liabilities for groups of contracts, which is determined by analyzing services provided under pension provision contracts in the group.

For contracts measured using the VFA model, the carrying amount of the contractual service margin at the end of the reporting period equals the carrying amount at the start of the reporting period adjusted for:

- The effect of any new contracts added to the group;
- Changes in the Group's share of changes in the fair value of underlying items;
- Changes in fulfillment cash flows of contracts in relation to future services;
- The effect of any currency exchange differences on the contractual service margin; and
- The amount recognized as revenue from insurance activities due to the provision of services in the reporting period.

For contracts with direct participation terms, the margin is adjusted for the variable nature of the consideration.

Loss component

A group of contracts is onerous if the fulfillment cash flows, previously recognized acquisition cash flows and cash flows arising at the date of initial recognition, together represent a net outflow. If a group of contracts is onerous, the Group recognizes a loss component in profit or loss and the margin on that group of contracts is nil.

The loss component is included in the liability for the remainder of the coverage under the group of onerous contracts. The loss component is recognized in the income statement in full on a lump sum basis at the time of conclusion.

After recognizing the loss component, the Group:

- Allocates subsequent changes in fulfillment cash flows for the remaining coverage obligation on a systematic basis between the loss component of the remaining coverage obligation and the remaining coverage liability, excluding the loss component;
- Allocates to the loss component exclusively until that component becomes zero all subsequent reductions in deferred service cash flows allocated to this group due to changes in the estimate of future cash flows and the risk adjustment for non-financial risk and all subsequent increases in the amount of the Group's share of the fair value of the underlying items.

Liability for incurred claims

The liability for incurred claims comprises the fulfillment cash flows related to past service allocated to the group at that date. The main outflows include:

- Pension payments.
- Death benefits.
- Cancellation/transfer to other pension funds charges.
- One-off contribution from OPI to LTSP.
- Actual expenses incurred in relation to groups of contracts.
- Other payments related to groups of contracts.

The liability for incurred claims is subsequently measured at each reporting date using the requirements for fulfillment cash flows. To assess the liability on incurred claims under pension contracts the Group assumes that the remaining claim settlement term does not exceed one year, the liability for incurred claims is not discounted and risk adjustment is not calculated.

Where the general model (BBA) is used, the liability for incurred claims, including losses arising on contracts with direct participation features, is discounted using current discount rates.

Finance income/(expenses) from the groups of insurance contracts

Finance income/(expenses) reflect changes in the time value of money and the impact of financial risk arising in relation to OPI, NPP and LTSP contracts.

The Group applies the OCI options for the portfolios of assets accounted at amortised cost that are underlying assets under contracts measured using the VFA. The amount that exactly matches income or expenses recognised in profit or loss on underlying assets accounted at amortised cost is included in finance income or expenses presented in profit or loss. The remaining amount of finance income or expenses from insurance contracts issued related to those underlying assets is recognised in OCI.

The Group disaggregates finance income or expense from insurance contracts without direct participation option as follows: an amount determined using systematic allocation of the total amount of expected finance income or expenses over the period of the group of underlying contracts is included in the profit or loss. Systematic allocation is calculated using the discount rates at initial recognition. The difference between the carrying value of the group of insurance contracts and the amount which would be assessed using the systematic allocation is recognised in OCI.

Other finance income/(expenses) are presented in full in profit or loss and are not subject to allocation to other comprehensive income.

41. SUMMARY OF SUBSTANTIAL ACCOUNTING POLICIES (CONTINUED)**Accounting of other insurance and reinsurance operations**

At contract conclusion the Group determines the product line with the same risk appropriate and profitability group to which a contract belongs; the composition of the groups shall not be reassessed subsequently. The Group shall not include contracts issued more than one year apart in the same profitability group. Contracts issued in one calendar year shall be classified in the same profitability group and represent an annual cohort – the minimum unit of accounting.

Insurance contracts issued, reinsurance contracts issued, reinsurance contracts held are accounted for using models and methods as follows:

- The BBA model used by default for insurance contracts without the features of direct participation;
- Premium allocation approach – simplified approach applicable to the contracts with period of coverage equal or less than one year, and to the contracts with reasonable expectations that results of assessment of liability for incurred coverage determined using PAA approach will not significantly differ from the results under BBA model.

Acquisition cash flows related to contracts measured under PAA are recognized on pro-rata basis over the period of coverage of the group of contracts.

Liability for incurred coverage under insurance contracts assessed using PAA approach is not adjusted for the purposes of accounting for the time value of money because payment schedule of insurance premiums corresponds to period of insurance coverage equal or less than one year. Liability for incurred claims is adjusted for the purposes of accounting for the time value of money because a settlement period usually exceeds one year.

Risk adjustment was determined using “down-up” approach. Risk adjustment was determined using VaR method with confidence level (percentile of a distribution) of 75%.

Discount rates for cash flows are determined using the same approaches as described above in “Pension insurance liabilities.

Finance income/(expenses) related to other insurance and reinsurance are presented in full in profit or loss and are not subject to allocation to other comprehensive income.

Provisions for liabilities and charges

Provisions for liabilities and charges are non-financial liabilities of uncertain timing or amount. They are recorded when the Group has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate of the amount of the obligation can be made.

Credit related commitments

Financial guarantees issued or commitments to provide a loan at a below-market interest rate are initially measured at fair value and the initial fair value is amortised over the life of the guarantee or the commitment. Subsequently, they are measured at the higher of this amortised amount and the amount of ECL.

For other loan commitment the Group recognizes loss allowance.

Performance guarantees

Performance guarantees are contracts that provide compensation if another party fails to perform a contractual obligation. Performance guarantees are initially recognised at their fair value, which is normally evidenced by the amount of fees received. This amount is amortized on a straight line basis over the life of the contract. At the end of each reporting period, the performance guarantee contracts are measured at the higher of the unamortized balance of the amount at initial recognition and the best estimate of expenditure required to settle the contract at the end of each reporting period, discounted to present value. Where the Group has the contractual right to revert to its customer for recovering amounts paid to settle the performance guarantee contracts, such amounts will be recognised as loans and receivables upon transfer of the loss compensation to the guarantee's beneficiary.

Perpetual Bonds and Loan Participation Notes

Due to the undefined maturity and an option for non-cumulative cancellation of coupon payments, the Group accounts for the Perpetual Bonds and Loan Participation Notes as an equity instrument and as a Tier I eligible instrument for the purpose of Capital Adequacy Ratio calculation. The CBR approved the inclusion of the subordinated loan in the statutory capital ratio calculation of the Bank. The Group accounts for the Perpetual Bonds and Loan Participation Notes denominated in the foreign currency in the amount of RUR equivalent amount using the foreign exchange rate at the reporting date with foreign exchange translation effects recorded in Retained earnings.

VTB BANK

NOTES TO THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS
31 DECEMBER 2024 (CONTINUED)

41. SUMMARY OF SUBSTANTIAL ACCOUNTING POLICIES (CONTINUED)

Perpetual Bonds and Loan Participation Notes (continued)

Issuance costs were also recorded in Retained earnings.

While coupon payments are optional at the discretion of the Bank, certain terms in the Perpetual Bonds and Loan Participation Notes may cause such payments to become mandatory. At the moment the coupon under Perpetual Bonds and Loan Participation Notes becomes mandatory, it is recorded as a dividend declaration described below.

Subsidiaries of the Group have the opportunity to buy and sell perpetual bonds and loan participation notes issued by the Bank.

Treasury perpetual bonds and loan participation notes are included in Treasury shares and bought back perpetual bonds and loan participation notes in the summary consolidated statement of changes in shareholder's equity.

Share premium

Share premium represents the excess of contributions over the nominal value of the shares issued

Presentation of statement of financial position in order of liquidity

The Group does not have a clearly identifiable operating cycle and therefore does not present current and non-current assets and liabilities separately in the statement of financial position. Instead, assets and liabilities are presented in order of their liquidity in accordance with common banking practice.

42. NEW STANDARDS

The Group has not early adopted the following issued new standards and interpretations that are mandatory for annual reporting periods beginning on or after 1 January 2025:

- Amendments to IAS 21 *Lack of currency domain capability*, applicable for periods starting on or after 1 January 2025;
- Amendments to IFRS 7 and IFRS 9 – *Amendments to classification and measurement of financial instruments*, applicable for periods starting on or after 1 January 2026;
- IFRS 18 *Presentation and disclosure of financial statements*, which replaces IAS 1 *Presentation of financial statements*, applicable for periods starting on or after 1 January 2027.

IFRS 18 establishes certain requirements, the most important of which are the following:

- On classification of income and expense in the statement of profit or loss into categories corresponding to the type of activity: operating, investing, financial. Organizations are also required to present the following subtotals: 1) operating profit or loss, 2) profit or loss before financing activities and income taxes.
- Disclosure of management-defined performance measures in the financial statements, including reconciliations to the most comparable totals and subtotals in the statement of profit or loss.
- On presentation of aggregated and disaggregated information in the main financial statements and notes.

- IFRS 19 *Subsidiaries without public reporting obligation: disclosures*, applicable for periods starting on or after 1 January 2027.

Besides, the Group has not early adopted "Annual improvements to IFRS – Volume 11" mandatory for annual periods, starting on or after 1 January 2026.

- Amendments to IAS 7 – *Accounting at historical cost*;
- Amendments to IFRS 9 – *Termination of recognition of rent liability*;
- Amendments to IFRS 10 – *Definition of "de-facto agent"*;
- Amendments to Implementation Guide of IFRS 7 – *Disclosure of deferred difference between fair value and transaction price*;
- Amendments IFRS 7 – *Gain or loss on derecognition*;
- Amendments IFRS 1 – *Hedge accounting by a first-time adopter of IFRS*;
- Amendments to Implementation Guide of IFRS 7 – *Introduction*;
- Amendments to Implementation Guide of IFRS 7 – *Credit risk disclosures*;
- Amendments IFRS 9 – *Transaction price*.

The management of the Group does not expect the amendments listed above to have a material effect on the Group's summary consolidated financial statements, excluding IFRS 18, for which the Group is currently in the process of analyzing the impact on the summary consolidated financial statements.